

bunq

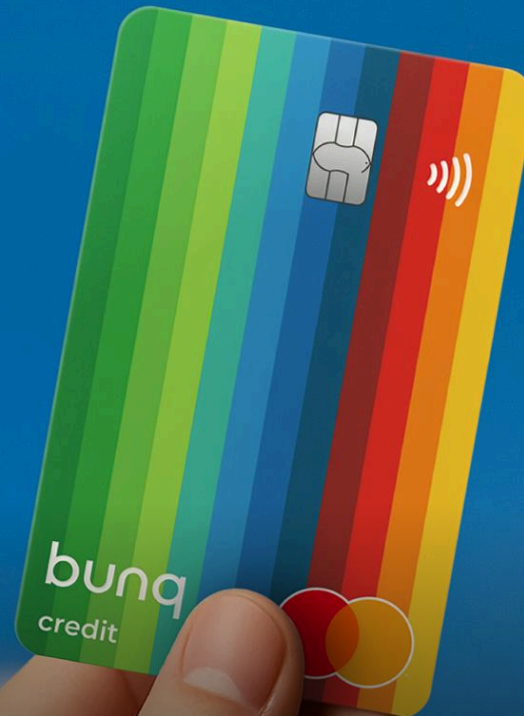
BANK OF THE FREE

2025 Annual Report & Financial Statements



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2025 Highlights

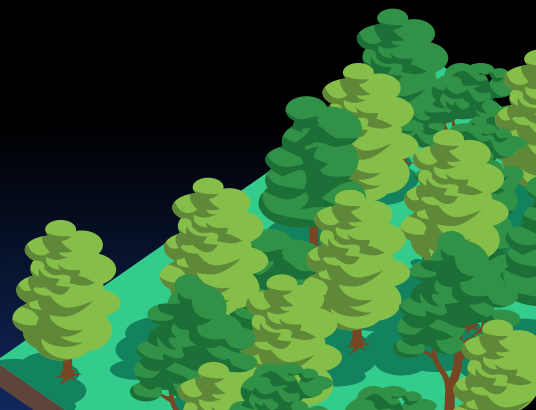
Expansion

Received US broker-dealer license approval and filed for de novo license



We reached

22 M
users



45 M
trees pledged
by our users

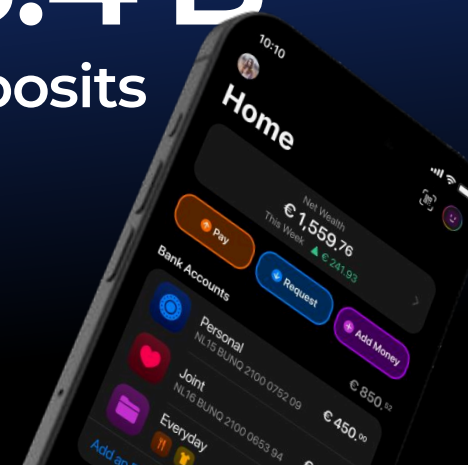


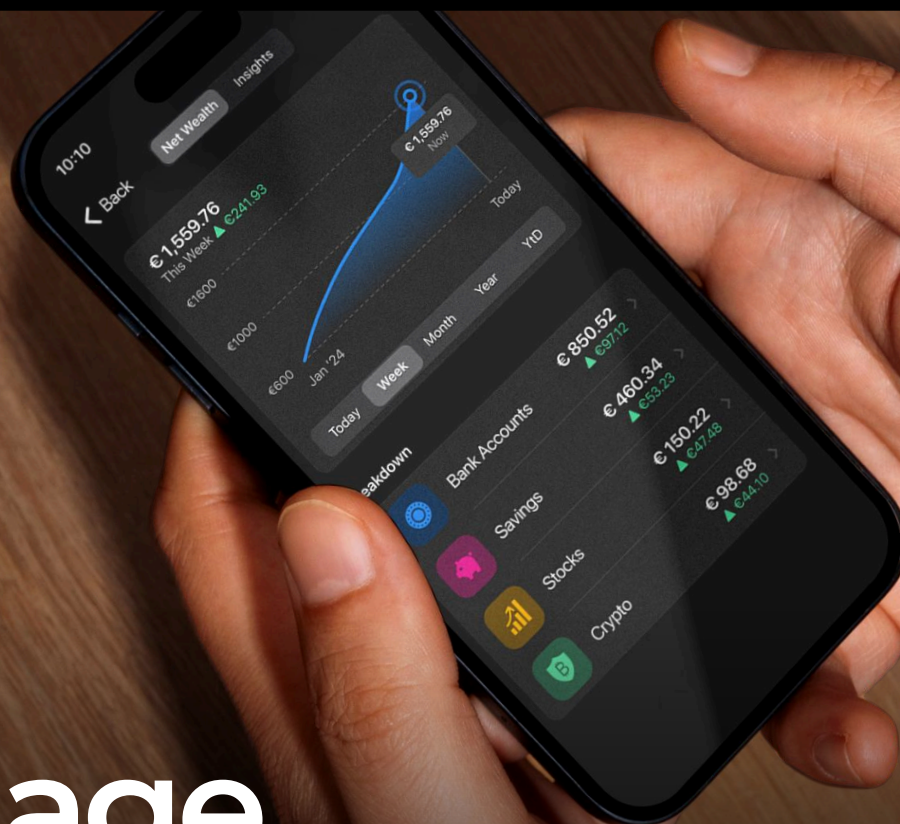
Safety

95% lower fraud impact rates
than industry benchmarks

Trusted by our users

€8.4 B
in deposits





Message from our CEO

**Ali Niknam**

Founder and CEO

Since launching our app a decade ago, our users have told us the same thing: they want to bank like a local wherever they go. That's what inspired us to build the first global bank. And in 2025, we took our biggest step yet with our US broker-dealer license approval.

It has always been our dream to bring Europe's most trusted bank to the US, and we are incredibly proud of reaching this first milestone and excited for what's next. For bunq, everything we do is in service to our users, and so many of our European users have ties to America and vice versa. We want to make life easy for both groups. The broker-dealer license was a major first step, but it is only the start.

In fact, 2025 had many of these milestones and firsts. We expanded our product offering, launched new partnerships, introduced crypto investing, and celebrated reaching 22 million users.

All while laying the groundwork for what comes next: more innovation, broader expansion, and more ways for our users to live life on their own terms, exemplified by our application for a US de novo banking license.

Truly, I cannot thank our users enough for their trust, feedback, and loyalty to bunq and what we stand for. I have always believed that when you put users' needs first, you cannot fail. As 2025 proved that belief, I am grateful and excited to continue on this path in the years ahead. We build with the long term in mind and will keep investing in bunq so our users can benefit from a bank that grows with them.



2025 in review

2025 in review

bunq bank of The Free

Looking back on 2025

We made major progress in 2025 in our mission to make life easy for our users. This year marked an important milestone as we welcomed our 22nd millionth user and officially entered the US. At the same time, we continued improving and expanding the tools that help our users manage, protect, and grow their wealth.

Expanding globally

A key step in our journey toward becoming the first global bank was the filing and approval of our US broker-dealer license, marking our first official move into the American market. Behind the scenes, we also spent the year preparing our US de novo banking license application,

which we announced on January 6, 2026.

As Europe's second-largest neobank, we want bunq to support users through every stage of life, from business to family to everything in between, wherever they are in the world. In response to growing demand, we introduced a number of new products and improvements throughout the year.

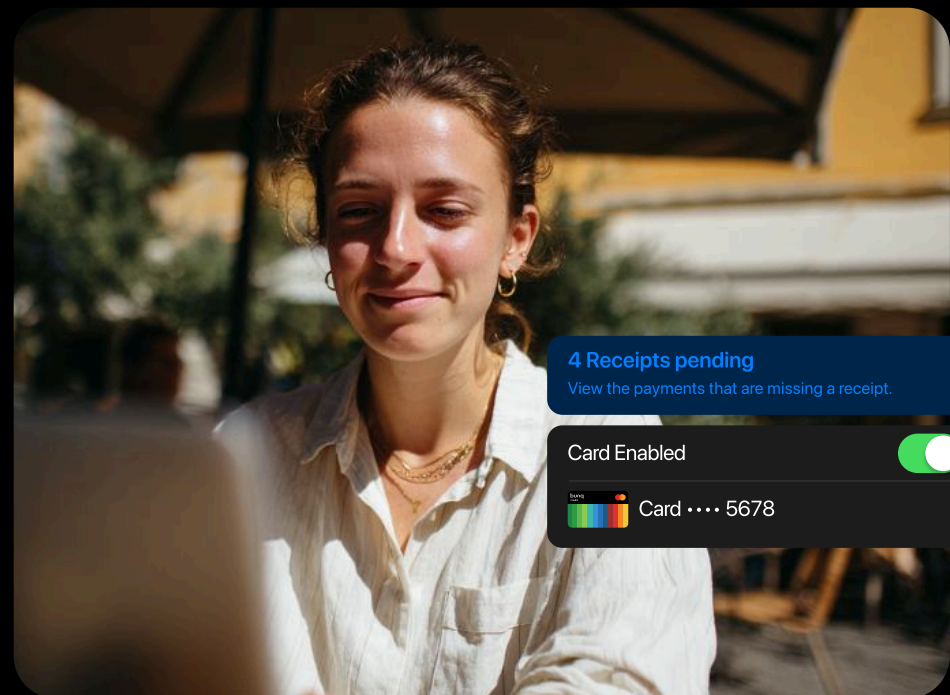
Helping users grow their wealth

We believe users should stay in control of how they grow their wealth. In 2025, we expanded our Stocks and ETFs offering with more than 100 additional companies and sectors, increasing trading coverage by 30%.

We also launched bunq Crypto in partnership with Kraken, designed to make crypto investing simple and accessible for both newcomers and experienced users. Shortly after, we introduced flexible staking, giving users another way to earn from their investments.

As European interest rates continued to decline, we stayed focused on delivering value. We launched Term Deposits with market-leading returns and expanded users' ability to pay, deposit, and save in more than 30 currencies. To help users better understand their overall financial progress, we also introduced Net Wealth, bringing key income streams together in one clear overview.

In short, no matter how or where users choose to manage their finances, bunq continues to give them the flexibility to do so with confidence.



bunq Business

For entrepreneurs, we focused on reducing the hassle of financial administration so they can spend more time growing their business. This year, we introduced Employee Cards and bulk receipt scanning. We also launched a dedicated insurance offering to make it easier for business owners to add extra protection when they need it.



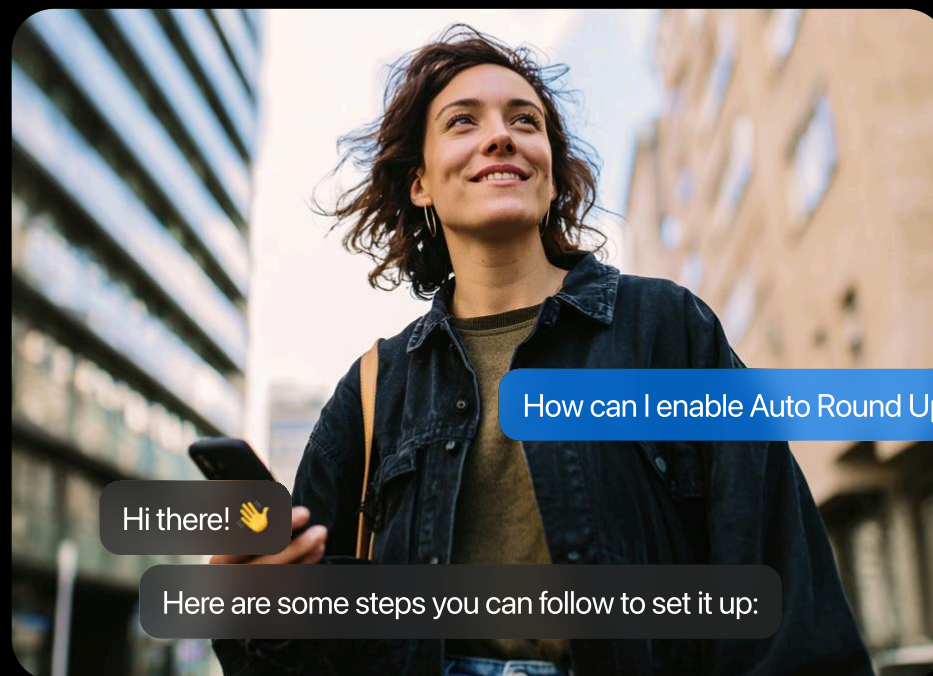
Families

We know that building healthy money habits early matters more than ever. With new Pocket Money and Child Savings features, alongside age-appropriate guidance, parents can now help their children develop financial confidence from the start.

Innovation and safety

As the first GenAI-powered bank, 2025 was also a year of innovation we are proud of. Finn, our in-app AI support, marked its first anniversary with response times 25% faster than the industry standard and a 90% user satisfaction rating.

We continued investing in the infrastructure and processes that keep users safe and introduced a refreshed app interface shaped directly by user feedback.





Sustainability

Finally, our users reached an incredible milestone of their own. By the end of 2025, they had helped plant 45 million trees through their everyday spending.

This year, we also rose to third place in the Dutch Fair Bank Guide, in recognition of our commitment to sustainability and ethical business practices. As always, bunq remains driven by its users, and we are excited for what comes next.

2025 in review

Helping your money do more for you



Bitcoin

€ 74,200.12 ▲ 0,21%



bunq Crypto

Driven by user demand for a simple, transparent, and trustworthy way to invest in crypto, we launched bunq Crypto, empowering users to safely and effortlessly invest in the cryptocurrency market. bunq Crypto removes the complexity of traditional platforms. Backed by the security of a fully licensed bank and a partner with global expertise in safeguarding digital assets, users can open an account in seconds and seamlessly trade over 300 cryptocurrencies, including Bitcoin, Ethereum, and Solana.

Crypto Staking

With 65% of users saying not knowing when to buy or sell is their biggest barrier to making a profit on their digital assets, we made history by becoming the first European challenger to launch flexible crypto staking. This feature empowers users to earn rewards on their digital assets, with full flexibility and no lock-up periods.

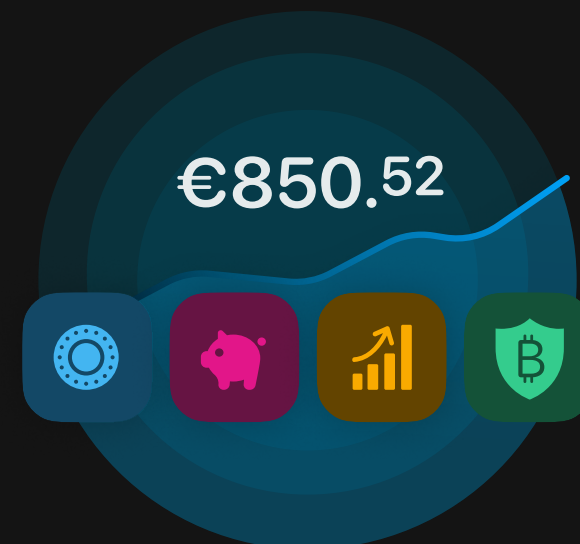


Crypto Alerts

To help users stay in control, bunq also introduced instant crypto alerts. Those with an active crypto wallet will automatically be notified when coins in their favorites list rise or fall by more than 5% within 24 hours or hit a new all-time high. Additional alerts notify users when their coins pass round-number milestones, offering timely insights on changes without the need to constantly check price charts.

Term Deposits

bunq has always offered competitive savings rates, and our new savings option, Term Deposits, places bunq among the highest-yielding options—decisively outperforming nearly all major national banks. With Term Deposits, bunq users can lock in their money for a fixed period and benefit from significantly higher, guaranteed interest rates. On a global scale, bunq's rates also rank within the top five highest interest offerings among international financial institutions, solidifying bunq's position as a leading destination for savers seeking strong returns without the complexity.

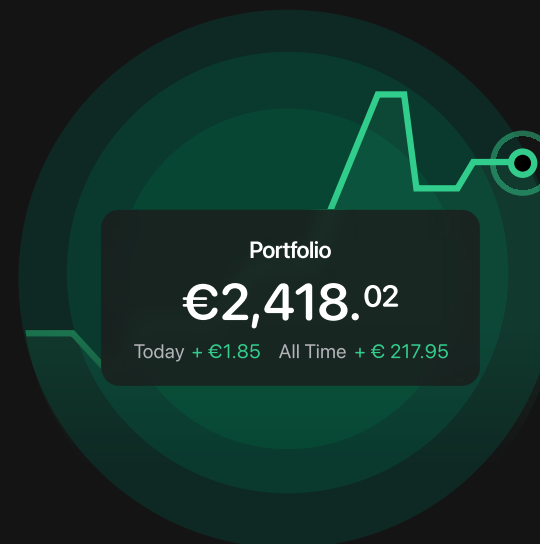


Net Wealth

bunq is about easy, accessible finance management. Our new Net Wealth feature shows all of users' total income, with their savings, crypto and stocks investment and interest in one place. Users can filter by time, specific accounts, breakdowns and evolution over time to put them in control and help make informed, educated decisions on how to best make their money work for them.

International Currencies

In 2025 bunq expanded the currencies its users can pay and deposit in to aid international lifestyles and prevent them from being caught out by exchange rates. Users can now pay and deposit in more than 30 currencies, with CZK, DKK, HKD, NOK, NZD, PLN, RON, and SEK all added as options. We also expanded our high interest rates for savings in 7 new currencies: AED, NOK, AUD, PLN, ZAR, TRY, and MXN to help make life easy.



bunq Stocks

We added more than 100 new top-traded Stocks and ETFs, including major brands like Samsung, Oracle, TSMC, Alibaba, BYD, RyanAir, increasing our users' trading coverage by more than 30%. Users can now also choose from top investment sectors like the Russell-2000, Nuclear, Quantum Computing, and highly requested commodities like Gold, Silver, and Rare Earth Metals.

2025 in review

Making every part of life easy

Business

To help Business users, we added a suite of new applications aimed at taking away the admin so that they can focus on what matters: growing their company.



Employee cards now allow business owners to take control of their team's expenses in real-time, with new image recognition features helping them and their employees bulk-scan receipts directly into the app, and seamlessly sync with accounting software—saving time and money.

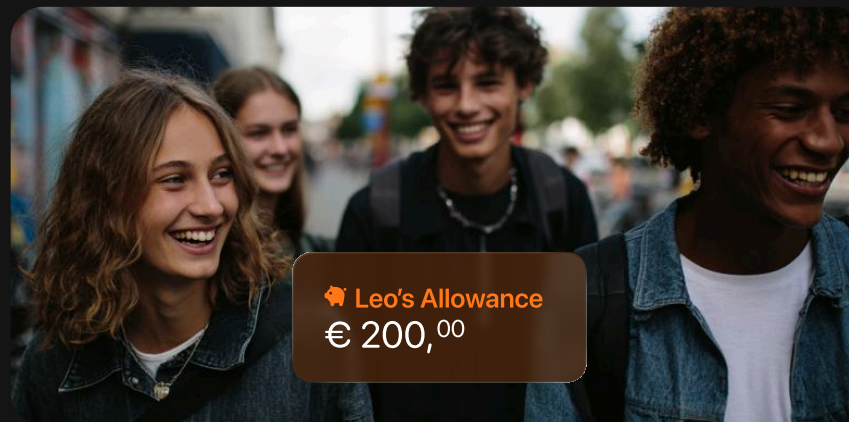


We partnered with Insify to offer Business users Professional liability and Disability insurance products to protect business owners and entrepreneurs from unforeseen circumstances, so they can grow their companies with confidence.

Family

bunq users can now give their children a financial head start with dedicated savings accounts, and automated, guidance-backed pocket money features.

Parents can now set up savings goals and scheduled savings transfers, according to tips provided by the bunq app, according to their child's age.



Effective money management starts from healthy habits, and with bunq's Pocket Money feature, parents can set up scheduled pocket money payments, tailored to the child's age, and help organize those funds through separate accounts.

2025 in review

Innovation that serves you

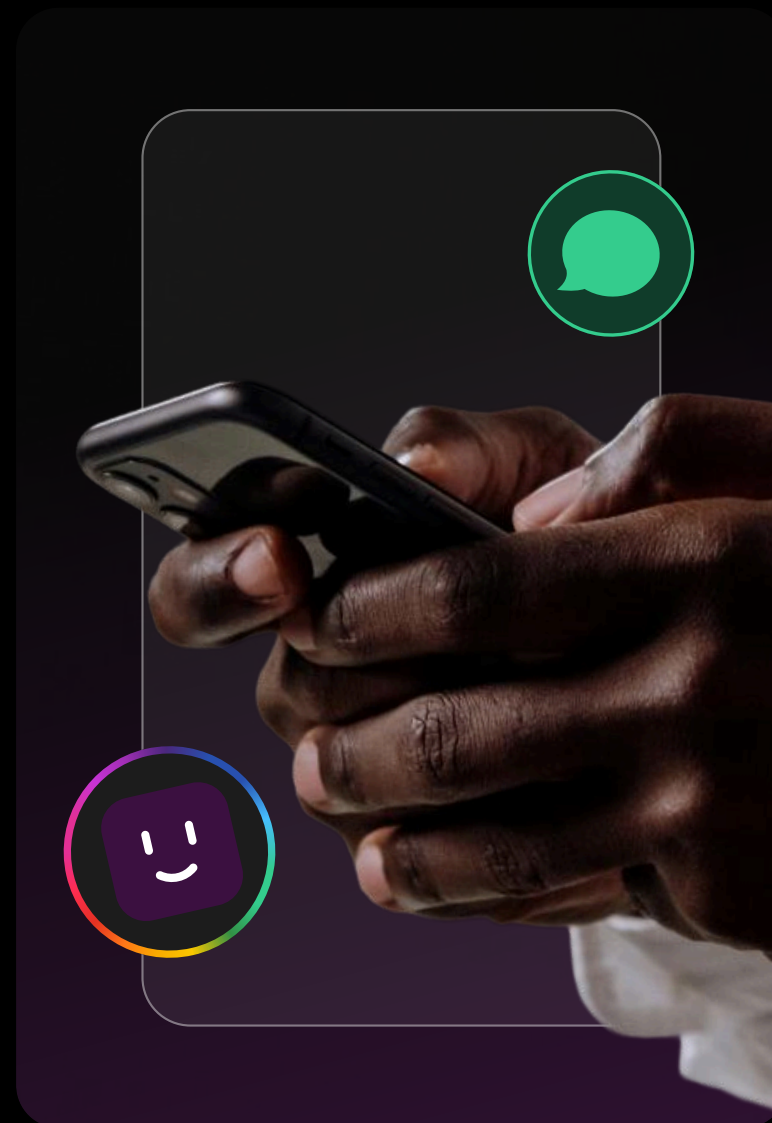
bunq V5

In 2025—the 10th anniversary of the first bunq app launch—we introduced a complete app redesign alongside a suite of new features. Shaped by extensive user feedback, the new design offers a cleaner interface and more intuitive navigation, making it easier for users to stay in control of their money. Users can now access bunq's most popular features with just a tap, including everyday Bank Accounts, Savings Accounts, Cards, Stocks, and bunq Crypto.



World-leading AI

We marked the one-year anniversary of Finn—our GenAI-powered support available to bunq users 24/7. Finn resolves support queries in just 47 seconds, significantly faster than the industry average of one minute, and ensures that any request requiring deeper expertise is routed directly to the right human specialist. Today, Finn supports around 97% of all user support activity and offers real-time, AI-powered speech-to-speech translation, a first in the banking sector.



Safety

Fraud is evolving fast, and it doesn't discriminate between neobanks, traditional banks, or even social platforms. It goes where people are, and increasingly, that's online. That is why we innovate and build products that truly keep our users safe, as one of the first banks to win the right to use AI and machine learning for anti-money laundering screening, and our monitoring consistently flagging anomalies at industry-leading speeds.



With bunq's robust fraud prevention systems, coupled with the Sardine risk platform, the bunq platform sees 82% fewer fraudulent incoming funds compared to industry peers, and bunq users are 95% less likely to fall victim to fraud compared to industry benchmarks.

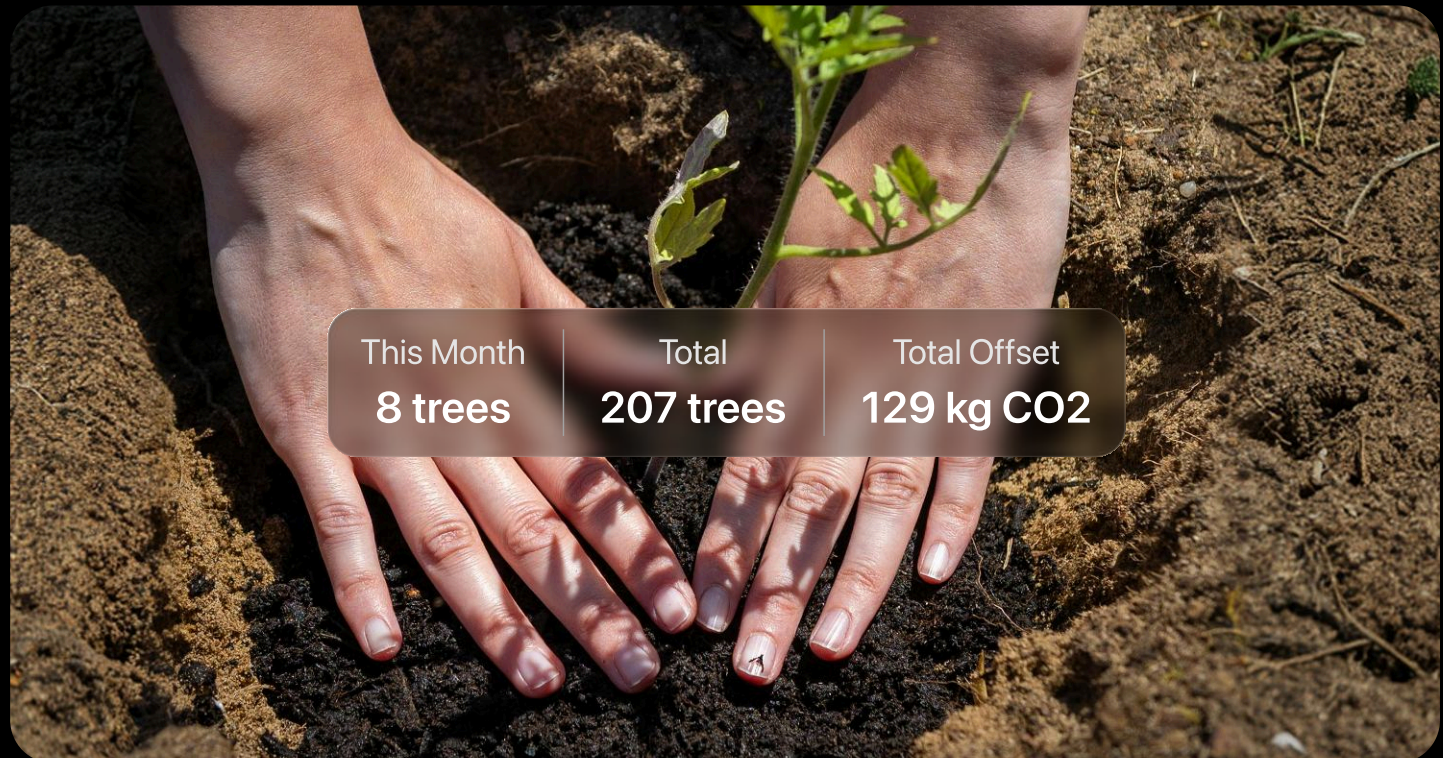
We provide 24/7 support, including access to a SOS hotline in case of any urgent issues, only communicate through the bunq app, to ensure security, and users can act fast by blocking their cards if notice anything suspicious and request chargebacks without having to get in touch.

As part of our continuous protection of our users, we've added additional notifications in the bunq app to fortify actions that could increase the risk of scams. This includes changing daily limits, IBAN name-checks and approving logins.

Delaying payments for suspicious transfers (high-value transactions to new counterparties, for example, or multiple concurrent payments made from different locations with our GPS tracking features) is a powerful tool bunq has long employed to prevent victims losing funds.

Helping the planet with every purchase

2025 marked the biggest year for tree commissions since our users started back in 2019. For every €1,000 spent, they earn 1 tree. bunq Pro users plant 1 tree for every €250 spent, while bunq Elite users plant 1 tree for every €100 spent. This now totals 45 million trees, with 18 million of those being ordered in 2025 alone. This impressive achievement not only reduces carbon emissions but also stabilizes coastlines, nurtures marine life, and supports local communities in Kenya and Madagascar, where our reforestation efforts are making a significant impact.





Our culture

What we're all about

In 2012, bunq set out to build the first truly user-centric bank, designed around people, not profit. In 2015, we launched the bunq app and introduced a new way to bank, one that gives users the freedom to live life on their own terms. Since then, bunq has continued to grow, securing the first EU greenfield banking license in 35 years, becoming Europe's second-largest neobank,

and setting a new standard for user-focused innovation as the first AI-powered bank.

bunq exists to make life easy. Whether managing everyday finances, running a business, or traveling the world, users bank on their own terms. Our platform adapts to their lifestyle so they can spend, save, and invest effortlessly, wherever life takes them.



Who we serve



The bunq platform serves 22 million users across Europe, including digital nomads, couples, entrepreneurs, parents, and students. What unites them is that traditional banks were not built for the way they live. They cross borders, live flexibly, and manage money on the go.

Our users are represented by Eva, our user champion. She is the modern global citizen who lives, works, and travels across countries without boundaries. Traditional banking was never designed for her lifestyle. bunq was. Every product begins with her needs, empowering her to live, work, and grow wherever she chooses.

What we stand for



User-centricity

Our users are at the heart of everything we do. Every product and feature starts with their needs.



Trust

As the bank for those who live beyond borders, trust is the foundation of everything we build. It ensures money works securely, transparently, and wherever users are.



Simplicity

Banking should be effortless. bunq removes complexity so users can focus on what truly matters.



Sustainability

We're dedicated to helping our users spend and invest in accordance with their values.



Our milestones

March 2012

Our story begins

In the wake of the economic crisis, a group of ambitious innovators set out to radically change the banking industry. bunq is founded.

November 2015

Public launch

After years of hard work setting up the infrastructure, building, and testing our mobile app, we finally released bunq to the general public. We were met with shock, praise, and excitement for the future.

September 2014

EU banking permit

A watershed moment for not just bunq, but Europe's entire financial landscape: bunq becomes the first bank in 35 years to receive an EU banking license.

October 2019

Expansion across EU

Having initially expanded into selected European countries, we decided to open our doors to all markets in the European Union. And we weren't stopping there...

December 2022

First profitable EU neobank

We achieved another milestone by becoming the first profitable EU neobank. This was not just a win for us; it was a win for user-centric, sustainable banking.

July 2021

bunq is a unicorn

We successfully completed the largest ever Series A round made by a European fintech. With a €193 million investment that led to a valuation of €1.6 billion, we welcomed our first investing partner, Pollen Street Capital. We're here to stay!

December 2023

bunq becomes first GenAI-powered bank

Our GenAI platform, Finn, is launched to users, providing 24/7, always-on support.

December 2024

Speech-to-speech translation

We become the first bank in the world to launch real-time speech-to-speech translation, aided by AI.

October 2025

bunq steps into the US

FINRA approves bunq's broker-dealers license. This move marks our first step in bringing our user-centric products across the Atlantic.

April 2025

bunq Crypto goes live

Driven by user demand, we launched our simple, safe and transparent crypto trading offering, combining the security of a bank with the expertise of our partner, Kraken.

January 2026

bunq files for US banking license

By applying for a de novo banking license, we make a major step in our mission to make life easy for the rapidly-growing group of global citizens who live and work between the US and Europe.

Banking that makes life easy

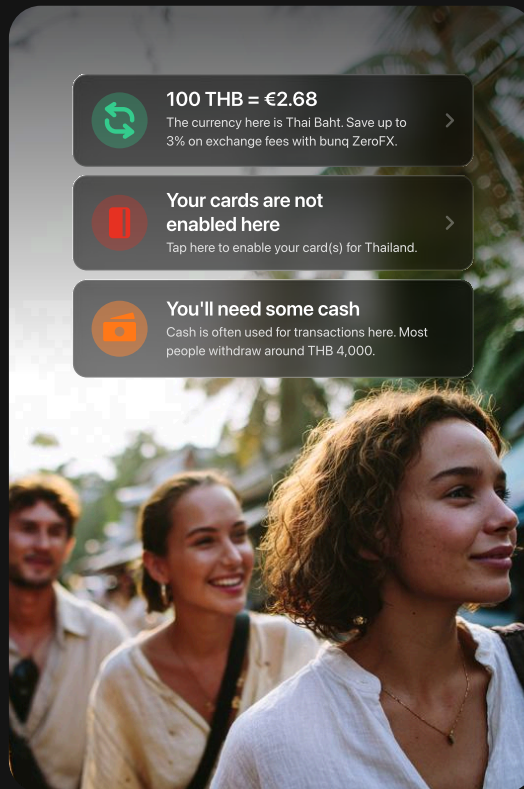
Whether users are starting a business, building a family, or beginning a new chapter abroad, bunq gives them the tools to spend, save, and share money their way.



Product offering

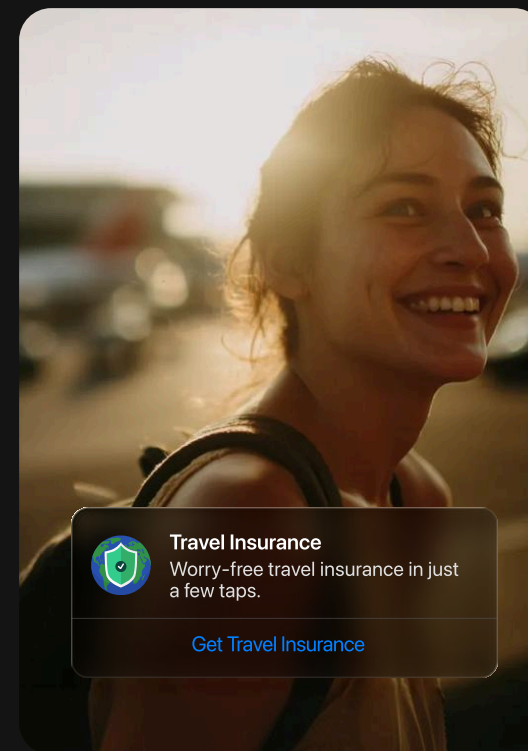
Expats: Settle in, stress-free

Starting fresh in a new country should be exciting, not complicated. Expats can open a fully functional bunq account in less than five minutes. There is no paperwork, no BSN, and instant support in 38 languages—the most offered by any bank.



International payments and transfers are seamless. Users always get the best exchange rate abroad through ZeroFX and can hold, spend, and save in multiple currencies directly in the bunq app.

Whether exploring or relocating, bunq ensures travelers have peace of mind. Worldwide Travel Insurance covers everything from medical emergencies to car rentals, and the integrated eSIM keeps users connected wherever they go.





Couples: Shared money, shared goals

Couples can easily budget, spend, and save together without worrying about administration. Each partner has a personal account and can create up to 25 money pots, either personal or shared. Joint Accounts can be set up in seconds, offering shared spending limits, individual cards, and complete transparency.



Joint Savings Accounts are just as simple. Couples can set a goal together and earn up to 2.01% interest, paid weekly.

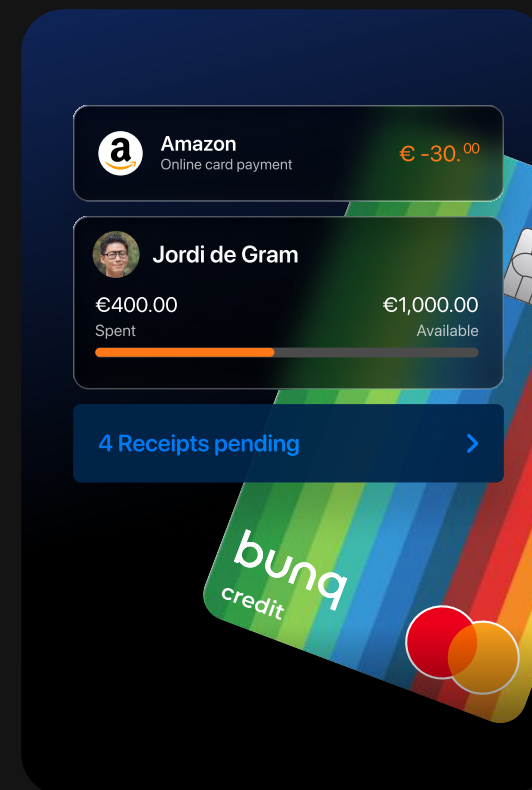
Businesses: Get set up for success in minutes

bunq Business Accounts are fast, simple, and fully online. Entrepreneurs can open an account in 5 minutes and manage their operations effortlessly, whether they are freelancers or manage large teams.



Businesses can automate bookkeeping, categorize expenses instantly, and manage multiple money pots for projects or departments in 22 foreign currencies, each with local IBANs. Integrations with accounting tools keep finances organized so leaders can focus on growth, not admin.

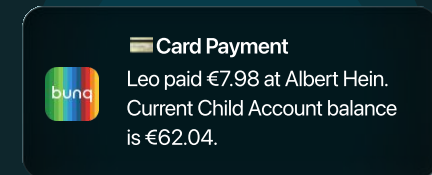
With Employee Cards, companies can set spending limits, track expenses, and request receipts automatically. Teams get the freedom to operate efficiently while maintaining full financial oversight.





Parents: Help your child build smart money habits

Parents can empower their children with safe, independent banking. bunq's child accounts provide kids with their own card and account to spend, save, and learn financial independence, while parents stay fully in control through the app.



Instant notifications show every transaction as it happens, and custom spending limits make it easy for parents to guide kids while maintaining their independence. bunq's AI assistant, Finn, helps them set Savings Goals and stay on track by calculating how much to save and when, while bunq.me links let family or friends contribute with ease. Kids learn healthy financial habits early, while parents stay effortlessly in control.

Corporate governance

Board structure and composition

bunq B.V. has a two-tiered board model, with a Managing Board and a Supervisory Board.

The composition of the Managing Board was as follows during the reporting year:

Mr. A. Niknam (CEO) – appointed December 1, 2013

Mr. K. Wulteputte (CRO) – appointed September 1, 2024

Mr. R. Kasiman (CIO) - appointed July 1, 2021 - resigned as of March 31, 2025

Mr. P. Bhatia (CFO) - appointed January 20, 2025 - resigned as of March 1, 2026

Corporate governance statement

During 2025 and up to the date of signing of these financial statements, the CFO and CIO have resigned their formal roles on the Managing Board and taken up non-executive director and advisory roles within the bunq Group.

The composition of the Supervisory Board is disclosed under the Report Supervisory Board on page 55.

bunq always welcomes everyone, regardless of race, gender, sexuality. At bunq, people are appreciated for their objective, measurable contributions. The Managing Board and

Supervisory Board currently don't meet the 'balanced composition' requirement, according to which 30% of the board should consist of women. However, many significant positions at bunq are held by women and by people with a wide variety of backgrounds. The very thing that makes bunq successful is our strict focus on objective results, as it inherently opens up the possibility of a highly diverse and open-minded work environment, where everyone's personality and skill is what makes a difference.

The Group offers variable rewards for its staff and management, but during 2025 these did not exceed the regulatory threshold in the Netherlands, or the maximum of 100% of fixed pay for employees and management in Ireland.

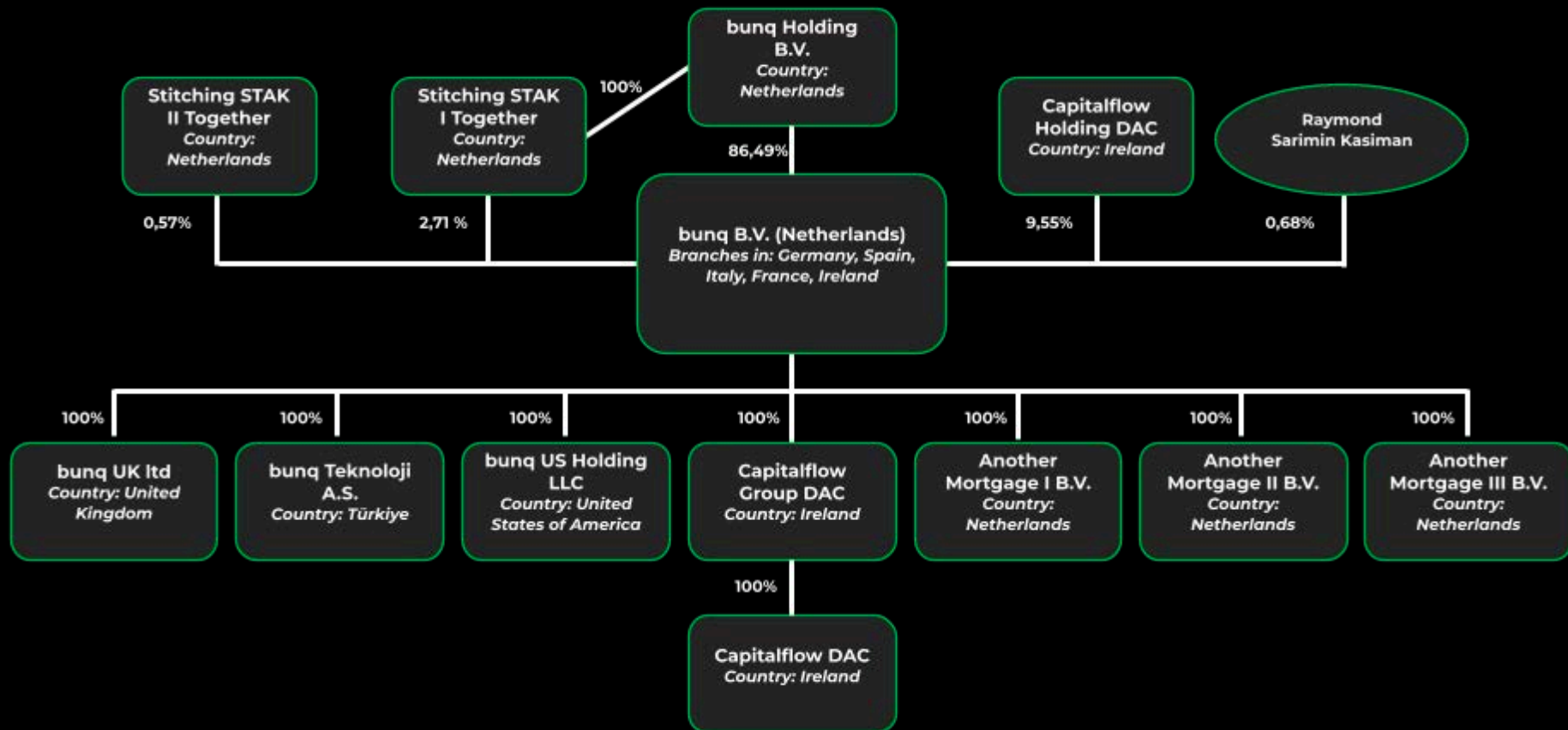
Neither bunq nor Capitalflow Group has staff who earn more than EUR 1 million, something we have to report according to the Act on Financial Supervision (Wet op het financieel toezicht). The total remuneration of bunq's Managing Board (3 persons at year end) in 2025 was EUR 944 thousand (2024: EUR 685 thousand).

bunq fully subscribes and adheres to the Dutch Banking Code. bunq deviates from the Dutch Banking Code regarding the distribution of responsibilities of the CEO.

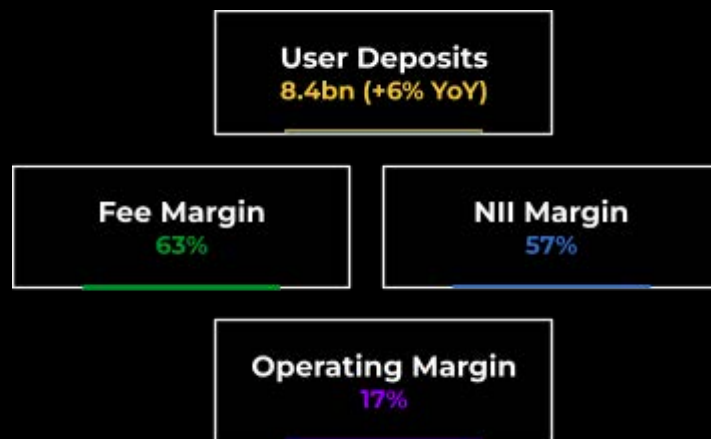
All bunq employees take the Banker's Oath.

Organization

bunq holds its investment in mortgages in three separate entities. Another Mortgage I B.V. and Another Mortgage II B.V. and its eligible mortgages for Long Term Refinancing Operations are in Solitaire I B.V. (a bankruptcy remote entity). The bunq mortgage label is administered in Another Mortgage III B.V., and during 2025 eligible mortgages from this entity were securitized into Solitaire II B.V. in a similar transaction.



Financial Results

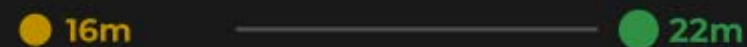


'Continued growth in support of our mission'

2025 was testament to bunq's long-term strategy, as user growth and sustained profitability amidst a dynamic financial landscape reaffirmed the strength of our core business and user focus. A raft of product innovation brought and kept more users to the bunq community, contributing to healthy core and interchange revenue streams.

Through our AI-native approach, bunq continues to scale its impact without scaling complexity. This effective operating model allows bunq to serve more users while staying focused, fast and efficient, which is reflected in the resilience of its growth.

bunq's platform users



% of growth by countries in 2025



Financial Performance Overview

Interest Income

bunq's approach to interest income is anchored in its commitment to user value. As macroeconomic interest rates declined throughout 2025, bunq made a deliberate choice to partially absorb these movements, ensuring users continued to benefit from competitive savings rates through the MassInterest bonus feature. To further strengthen this offering, bunq introduced term deposits and expanded foreign currency savings during the year, providing users with access to higher, stable interest returns and reinforcing bunq's position as a platform that actively works to help its users' build wealth.

In response to this commitment, both existing and new users deepened their relationship with bunq, growing the total deposit base to EUR 8,4bn (2024: EUR 7,96bn).

bunq actively optimized its investment portfolio in line with its capital position, redeploying liquidity from central bank balances into higher-yielding assets. Investments at amortised cost nearly doubled to EUR 2,2bn (2024: EUR 1,1bn), the mortgage portfolio grew by approximately EUR 211m to EUR 1,5bn, and lending to customers expanded to EUR 1,1bn (2024: EUR 874,4m), bringing total non-ECB deployed assets to approximately EUR 4,8bn. This active balance sheet management underpinned the resilience of bunq's Net Interest Income ('NII'), which reached EUR 158,7m at an NII margin of 57%.

Fee Income

bunq's fee strategy is equally rooted in user value. The introduction of a free subscription plan during 2025 lowered the barrier to entry for new users, broadening access to the bunq platform and meaningfully expanding the active user base. This directly contributed to a significant increase in card transaction volumes, with interchange income growing 38% year-over-year, bunq's strongest performing fee driver in 2025.

Beyond the free plan, bunq launched a significant number of new features during the year, deepening the everyday financial experience for users. These included crypto trading and crypto staking, personalized cards and a simplified sign-up experience, alongside the continued development of bunq's investment offering. Together, these additions strengthened everyday engagement and reinforced bunq's position as a comprehensive financial platform.

This broader and deeper offering contributed to strong growth in bunq's primary user base, which increased by almost 25% year-over-year. Primary users, defined as those who manage their core day-to-day financial lives through bunq, represent the highest-value segment of the platform and are a leading indicator of long-term revenue durability.

The expansion of bunq's partner ecosystem further supported this trajectory. During 2025, bunq added several new partners integrating its financial services offering via API into their own platforms. This is only the beginning of what bunq sees as a significant and scalable growth avenue, underpinned by the strength and flexibility of its technology infrastructure.

Total fee income reached EUR 80,8m (2024: EUR 80,2m), with net fee income of EUR 50,8m. The movement in net fee income reflects increased transaction-based costs associated with higher interchange volumes, a direct and expected consequence of the platform's growing user activity.

Net Fee & Interest Income

Total net operating income of EUR 198,6m reflects bunq's continued commitment to offering competitive savings rates to users, a strategic choice that prioritized long-term deposit growth and user loyalty over short-term income maximization for users in a declining rate environment. Despite this, an NII margin of 57% demonstrates the efficiency of bunq's capital deployment across its growing asset portfolio.

To deliver a more comprehensive banking experience and support ongoing user growth, bunq maintained a competitive fee structure. Net fee income margin was 63%, reflecting the cost of scaling interchange activity across a growing user base.

Operating Expenses & Efficiencies

bunq continued to grow its user base while preparing to enter new markets, including the US. Internal generative AI tools further strengthened operational efficiency, allowing bunq to scale with limited organizational growth. FTEs increased by a modest 15 to a total of 665.

Total operating expenses were EUR 164,0m (2024: EUR 160,0m), an increase of EUR 4,0m, primarily driven by targeted investments in personnel and Sales & Marketing in support of continued user growth and retention.

Capitalflow

Capitalflow marked a significant milestone in 2025, surpassing EUR 1bn in own-origin assets under management, reflecting the continued confidence of borrowers in Capitalflow in Ireland. Capitalflow contributed EUR 7,5m to the Group's total result before tax, a 63% increase from the prior year, underpinned by the strength of its growing loan book.

Result before Tax

bunq recorded a result before tax of EUR 34,6m, marking bunq's third consecutive year of profitability, supported by a resilient and diversified income base, primarily reflecting the reduction in interest income as a result of bunq's strategic decision to prioritize user value through competitive savings rates in a declining rate environment.

KPIs 2024 vs 2025

**Transactional Revenue****+38%** *growth***Customer Deposits****+6%** deposit growth **+5%** retention**Operational Efficiency****-€6m** Costs* **-6%** cost to fee income**excluding Marketing Acquisition costs*

User Quality Metrics

Financial performance alone does not capture the depth of bunq's relationship with its users. The metrics below reflect the quality of bunq's growing user base and the durability of its platform engagement.

Primary Banking Adoption

bunq measures the share of its Monthly Active Users ('MAUs') who use bunq as their primary banking relationship: defined as users evidencing regular income inflows, recurring payment obligations, and sustained transaction activity. In the Netherlands that share is at an outstanding 73%, and at 60% across all our markets, reflecting the strength and adoption of primary users.

A pillar in our NPS* score

Users who would not recommend the platform stood at approximately 7% in 2025, well below the industry benchmark of 15–25% for digital banks and significantly below traditional incumbents.

Deposit Retention

bunq tracks the evolution of user deposit balances from the point of first use. On average, users hold 120% of their initial deposit balance with bunq over time indicating that users not only remain on the platform but deepen their financial relationship with it. This metric reinforces the sustainability of bunq's deposit base and reduces reliance on acquisition-driven growth.

Looking Ahead

bunq is well positioned for sustained long-term profitability and growth.

New product mix: The introduction of crypto, stocks, term deposits and our new free plan has broadened bunq's offering and strengthened everyday engagement. bunq will continue expanding our product set with features that deepen user activity and help them grow with bunq.

Innovation: We will continue enhancing the platform with new solutions that simplify life for personal and business users, creating new opportunities in the market. We are expanding our footprint with Banking-as-a-Service through partners like Blockrise and Bitvavo.

Investment & Capital structure: Our treasury team maintains a disciplined approach to capital allocation, ensuring a strong and resilient position for future expansion. This framework supports strategic opportunities, deposit growth, and robust financial safeguards across the business.

Expansion: We continue to expand our footprint thoughtfully and relentlessly by preparing entry into new markets, including the US, while also broadening our European reach with new virtual IBANs.

*NPS: Net Promoter Score

Risks

The Three Lines of Defense

The risk management of the organization is structured following the three lines of defense model. The operational departments responsible for identifying, mitigating and reporting the risks are the first line of defense. The second line of defense (in bunq terminology - "Ground Control") keeps oversight over the first line's effectiveness to identify and mitigate risks.

Compliance and Risk functions are in the second line of defense. The second line must be independent from the first line of defense. In bunq the second line reports to the Chief Risk Officer. The objective of the Second line is to monitor and support from a distance the first line in keeping the promises made to the user.

Internal audit (in bunq terminology - "System Checkers") provides independent assurance over the adequacy and compliance of the first and second line of defense. Internal audit tests whether policies and processes are designed adequately and effectively. They also test whether the first and second line of defense operate adequately, in line with bunq values and principles, and whether they are compliant with laws and regulations.

Importantly, in this model those responsible for risk-taking are also accountable for managing the associated risks, maintaining a good risk awareness and culture across the organization.

Risk Governance

The Supervisory Board and Managing Board define the governance structure of bunq in order to achieve business objectives while fostering a sound risk culture and strengthening the management body's oversight of the institution's activities.

The Supervisory Board has four sub-committees: the Risk Committee, the Audit Committee, the Recruitment and Selection Committee and the Remuneration Committee (REMCO). The Management Board has one sub-committee: the Asset and Liability Management Committee (ALCO).

Branches are reporting to the Management Board via their legal representatives (typically the Head of Branch). Subsidiaries are reporting to the Management Board via bunq representatives that also sit in their respective boards. Where applicable, (heads of) second lines in subsidiaries and branches functionally report to the bunq Chief Risk Officer.

The Management Board, ALCO, the Supervisory Board, and its sub-committees are provided with detailed reporting on trends and developments in their respective areas. Comprehensive risk dashboards are reported on a monthly and quarterly basis. The quarterly reports consist of a full overview of all risk categories, whereas the monthly reports provide more focused updates.

Risk Management Approach

A user-centric company. At bunq, we manage risk starting from Eva's wishes. Our risk framework is aligned to Eva's eight core wish categories, of which Continuity of Service, Safety of Service, and Fairness of Service are currently the most relevant to our most material risks. These themes reflect traditional banking risk categories in a way that is more meaningful for our users: keeping bunq available and resilient, protecting Eva's money and data, and ensuring our products continue to deliver fair value.

Eva's Wish List	Risk Driver Definition	Risk Mitigation
Continuity of Service		
Financial Stability	Capital Risk The risk of a lack of capital, affecting the ability to grow and to meet the minimum capital requirements.	Capital is managed to support regulatory requirements, resilience, and sustainable growth across varying business and market conditions.
	Funding Risk The risk of failing to fund increases in assets at reasonable cost or at all.	Funding and liquidity are managed to meet obligations and support growth in an efficient and diversified manner.
Operational Continuity	Infrastructure Resilience The risk of system failures (Hardware, Software, Network Issues).	Infrastructure resilience supports the availability and performance of critical systems, applications, and network services. bunq's scalable cloud architecture, continuous infrastructure monitoring, and built-in system redundancies ensure a consistent user experience 24/7/365.
	Business Continuity (BC) and Disaster Recovery (DR) The risk of ineffective BC & DR processes.	Business continuity and disaster recovery planning support timely recovery of critical services following significant disruptions. bunq aims to keep recovery times low and ensure minimum impact on the user experience even under extreme scenarios.
	Change Management The risk of ICT changes leading to disruptions due to a poorly managed change process.	A solid change management process – including rigorous testing, impact assessments, and approvals before deployment – enables innovation while maintaining stability, building confidence in both users and employees.
	Cybersecurity The risk of malicious actors damaging bunq by abusing its ICT systems. This includes data encryption, data breach prevention and response.	bunq's industry-leading Cybersecurity capabilities help protect systems, data, and users while supporting secure and reliable digital banking services.
Partner Service Continuity	Third Party Management + IT Third Party Risk The risk of insufficient oversight of third parties, leading to operational disruptions and/or liability due to behavior of or interaction with partners, suppliers, distributors or outsourcing partners.	Third-party risk management supports resilient service delivery and appropriate oversight of key suppliers, partners, and outsourced services. bunq selects its partners carefully and requires them to meet the highest standards.

Safety of Service

Data Protection

Data Protection

The risk of failing to comply with regulations on the use of user data, leading to privacy concerns of our users and loss of their interest in our product.

Data protection controls support the secure, lawful, and responsible use of personal data across our products and operations.

Money Protection

Customer Due Diligence (CDD) and KYC Processes Risk

The risk of accidental non-compliance with KYC and CDD requirements, including the risk of having an ineffective process.

Customer due diligence supports safe onboarding, appropriate customer acceptance, and ongoing compliance with applicable financial crime requirements.

Sanctions Violations Risk

The risk of accidental non-compliance with Sanction Screening requirements, including the risk of having an ineffective process.

Sanctions controls are designed to identify restricted parties and transactions and support compliance with applicable sanctions requirements.

External Fraud

The risk of bunq or user losses due to particular transactions being executed or influenced by criminals or due to a full account takeover by criminals.

Fraud controls aim to protect users and bunq from unauthorized activity, scams, and account compromise.

Risk Culture

The risk management culture is a subset of the broader company culture. Its pillars are **Ownership**, **Data-Centric Decisions** and **Effective Communication**.

- **Ownerships** are how responsibilities are allocated and evaluated within the organization. An Ownership is created when data supports the identification of a need or a problem (for Eva or Adam) so that full accountability for that problem can be assigned to a member of the organization.
- **Data-centric decisions**, meaning decisions are made based on data/evidence of a problem. From a risk perspective, this means assessing risks based on the available data and the level of risk they represent. This approach manifests in all Ownerships having Key Performance Indicators (KPIs).
- **Effective communication** is enforced by tight communication protocols to avoid ambiguity and set clear expectations when looking for a solution. bunq employees are aware of the risks that miscommunication creates and adhere to communication guidelines.

To achieve its strategic objectives, bunq's modus operandi is characterized by the same traits of many scale-ups in the tech sector: a risk-based approach:

- To be able to deliver on Eva's expectations, bunq has no appetite for risks that would have a destructive impact, such as failing to comply with regulations, large financial losses, major operational disruptions, or lag in growth.
- On the other hand, bunq has an appetite for innovation in a controlled manner, without adverse impact on our users. bunq has processes and systems in place to detect any false steps and correct the initial action; as a learning organization, some of bunq's valued qualities are speed and resilience.
- Hence bunq's risk management focus ranges from prescriptive and preventive measures against catastrophic events to detective and corrective measures against milder threats.
- For a number of catastrophic scenarios, regardless of the effectiveness of the preventive measures, a contingency plan is created.
- As the organization and internal processes mature, bunq has reduced the weight put on reactive measures and increased its focus on systematic periodic control testing across all risk areas and functions.

To summarize, bunq's risk management puts a strong emphasis on:

- Ownership of the risks inherent to business processes lies with the first line of defense.

- Learning from experience or, put differently, systematically capitalizing on the setbacks that may happen, rather than avoiding failures completely.
- Close monitoring of processes; quick detection is the first step to reduce the losses of an unanticipated, and perhaps unforeseeable, adverse event.
- Forward looking risk management to prevent large losses using tools such as scenario analysis, (regulatory and event) horizon scanning, product and model approval and review processes, suppliers and counterparties risk assessments, other risk assessments, and control testing activities for higher-risk business processes.

Ultimately, a good risk culture is a product of day-to-day actions and the way key decisions are made and communicated through cooperative and constructive dialogue. A sound risk culture enables the organization to do the right thing, even in challenging circumstances.

All the principles of risk culture presented here are strengthened by clear communication around them from senior management: the "tone at the top" reinforces at all times the company-wide commitment to delivering a high quality product by setting up sound and resilient internal processes and governance.

Risk Appetite

bunq's Risk Appetite Statement expresses the degree to which bunq is willing to take a range of risks in order to fulfill its promise to its users and therefore achieve its business objectives. The Risk Appetite Statement is updated regularly and when bunq's risk profile changes materially. bunq expresses its Risk Appetite using qualitative appetite statements supported, where needed, by quantitative Key Performance Indicators ("KPIs") with thresholds that function as early warning and limit levels.

The Management Board monitors Risk Appetite KPIs on at least a monthly basis and instigates action plans in cases where thresholds are breached. The Risk Committee of the Supervisory Board discusses the Risk Appetite and KPIs during their regular meetings.

The Risk Appetite Statement is deployed as a set of operational rules and controls to be adopted by the first line of defense, which are embedded into relevant policies and procedures.

External Fraud

Fraud is evolving fast, and it doesn't discriminate between neobanks, traditional banks, or even social platforms. It goes where people are, and increasingly, that's online. At bunq, we design our platform with user safety at its core. As a technology company built by engineers, we continuously invest in strengthening our financial crime controls, fraud mitigation processes, and user protection features. We continuously adapt these systems to stay ahead of emerging threats. The result is that the bunq platform sees far fewer incoming fraudulent funds compared to industry benchmarks, and bunq users are far less likely to become victims of fraud.

Sustainability

Our mission is built around our users, empowering them to make a positive impact on the planet through their daily finances. This principle guides our approach to Environmental, Social, and Governance (ESG) matters. We give our users the power to build a better world by ensuring their money is a force for good through a robust and transparent framework.

Our commitment is codified in our Socially Responsible Investment (SRI) Policy, which ensures user funds are never used to finance or invest in companies whose activities are not socially or environmentally responsible. This policy is a living document, updated in 2025 to reflect the latest standards and expectations. Our exclusion criteria are strict and absolute. We do not finance any business activities in the following sectors:

- Fossil fuel extraction and power generation (including oil, gas, and coal)
- Nuclear energy
- Mining activities
- Weapons and tobacco industries
- Gambling and adult entertainment industries

By applying these clear, non-negotiable standards, we ensure bunq's assets are resilient to climate risk and that our users' money actively contributes to a sustainable future.

In early 2026, we completed a comprehensive Climate & Environmental Risk Identification and Materiality Assessment. This involved looking into both physical and transitional risks to identify and prioritize the ESG topics that matter most to our users and our business.

The assessment is guided by a rigorous methodology aligned with the regulatory expectations of the European Central Bank (ECB) and our internal risk management framework. We use both quantitative and qualitative data to assess risks, classifying their potential Likelihood, Impact, and Time Horizon to ensure ESG considerations are fully integrated into every business decision. This proactive approach allows us to continuously refine our impact and set the stage for future sustainability initiatives.

In order to consistently classify C&E risk exposures, the parameters for Likelihood, Impact, Time Horizon used in the 2026 assessment were:

Likelihood	Definition
Highly Unlikely	Expected to occur within 2-5 years
Unlikely	Expected to occur within 1-2 years
Possible	Expected to occur within 12 months
Likely	Expected to occur within 6 months
Highly Likely	Expected to occur within 3 months

Impact	Definition
Major	The incident threatens business continuity or regulatory compliance, including malicious data breaches in critical or important functions, breach of MTD, impact to >10% of clients or >100,000 clients, >30% of financial counterparts, >10% of daily transaction volume/value, duration >24 hours or >2 hours of downtime, or severe regulatory, financial, or reputational consequences.
High	The incident significantly disrupts operations or customers, impacting critical or non-critical functions beyond RTO, affecting >1,000 users (critical) or >10,000 users (non-critical), causing financial loss $\geq$ €100,000, a GDPR-reportable non-malicious data breach, or substantial reputational damage requiring senior management escalation.
Medium	The incident causes material operational or customer impact, including any actual function downtime, complete Eva unavailability, partial disruption of critical or important functions, financial loss between €50,000 and €100,000, a sensitive data breach, or visible reputational impact such as customer complaints or niche media coverage.
Low	The incident has limited and contained impact, affecting moderately important features or 10–1,000 Evas, with no function downtime or full Eva loss, financial loss between €5,000 and €50,000, no sensitive data breach, and minimal reputational impact.
Hiccup	The incident has negligible impact, affecting low-importance features or fewer than 10 Evas, with no downtime, no Eva usability loss, no data breach, financial loss below €5,000, no public attention, and quick resolution through normal operations.

Horizon	Definition
Short-term	Within one year ($\leq$ 1 year)
Medium-term	Between 1 and 5 years (1-5 years)
Long-term	More than 5 years ($>$ 5 years)

Using the parameters, material risks are therefore defined as risks carrying a likelihood of either Likely or Certain, and an impact of either Medium or High, as illustrated below. Those risks falling within the highlighted section are deemed to be material C&E risks.

Likelihood / Impact				Horizon	
Highly Likely	Level 0	Level 1	Level 2	Level 4	
Likely				Level 3	
Possible			Level 2		
Unlikely			Level 1		
Highly Unlikely	Level 0		Level 1		
	Hiccup	Low	Medium	High	Major

In the 2025 assessment, Credit risk was assessed on a portfolio level which consists of: Residential mortgages, Commercial Real Estate (CRE), Asset Finance (AF), and Asset Backed Securities, CLO's and Residential Mortgages Backed Securities (ABS & RMBS).

The below table outlines the material risks in the short term (ST, < 1 year), medium term (MT, 1 - 5 years) and long term (LT, > 5 years), against 11 unique risk factors under each portfolio:

C&E risk factor	Material C&E risks per portfolio - Credit risk				
	Mortgages	CRE	AF	ABS & RMBS	CLO's
1. Extreme weather events	LT		MT		
2. Sea level rise & weather changes	ST MT LT	ST MT	ST MT		
3. Water usage / scarcity					
4. Waste production & pollution	MT LT				
5. Biodiversity & ecosystems					
6. Emissions	MT LT	MT	MT		
7. Energy efficiency	MT LT		MT		
8. Environmental policies		ST MT	ST MT		
9. Legal risk					
10. Technological changes		MT	MT		
11. Consumer & investor sentiment					

A general assessment was conducted on Liquidity Risk. The below table illustrates the material risks identified against the risk factors, on a short, medium and long term:

C&E risk factor	Material C&E risks
	<i>Liquidity risk</i>
1. Extreme weather events	LT
2. Sea level rise & weather changes	ST MT LT
3. Water usage / scarcity	
4. Waste production & pollution	
5. Biodiversity & ecosystems	
6. Emissions	
7. Energy efficiency	
8. Environmental policies	
9. Legal risk	ST MT LT
10. Technological changes	
11. Consumer & investor sentiment	

Market risk was assessed on a sub-risk level which consists of: Credit Spread Risk, Foreign Exchange (FX) Risk and Interest Rate Risk. The material risks identified from these sub-risks based on the time horizons are:

C&E risk factor	Material C&E risks per portfolio - Market risk		
	<i>Credit spread risk</i>	<i>FX risk</i>	<i>Interest rate risk</i>
1. Extreme weather events			
2. Sea level rise & weather changes			
3. Water usage / scarcity			
4. Waste production & pollution			
5. Biodiversity & ecosystems			
6. Emissions			MT LT
7. Energy efficiency			MT LT
8. Environmental policies			ST MT LT
9. Legal risk			
10. Technological changes			MT LT
11. Consumer & investor sentiment			

Operational risk was also assessed on a sub-risk level which consists of: Business Continuity Risk, Reputational Risk and Litigation and Liability Risk. The material risks identified from these sub-risks based on the time horizons are:

C&E risk factor	Material C&E risks per portfolio - Operational risk		
	Business continuity	Reputational	Litigation & liability
1. Extreme weather events	LT		
2. Sea level rise & weather changes			
3. Water usage / scarcity			
4. Waste production & pollution			
5. Biodiversity & ecosystems			
6. Emissions			
7. Energy efficiency			
8. Environmental policies			ST MT LT
9. Legal risk			
10. Technological changes			
11. Consumer & investor sentiment		LT	

Similar to Credit risk, Strategic risk was also assessed on a portfolio level which consists of: Residential mortgages, CapitalFlow Group (CFG), CLO's and Deposits. The material risks identified from these portfolios based on the time horizons are:

C&E risk factor	Material C&E risks per portfolio - Strategic risk			
	Mortgages	CFG	Deposits	CLO's
1. Extreme weather events				
2. Sea level rise & weather changes		MT LT		
3. Water usage / scarcity				
4. Waste production & pollution				
5. Biodiversity & ecosystems				
6. Emissions				
7. Energy efficiency				
8. Environmental policies				
9. Legal risk		MT LT		
10. Technological changes				
11. Consumer & investor sentiment		LT	LT	LT

Risks are deemed immaterial when their likelihood were assessed as Unlikely or Rare, or their impact were assessed as None, Minor or Low. This can either be due to no transmission channel being identified for the C&E driver to impact on a specific risk, or the quantitative or qualitative data substantiates the likelihood and impact assessments.

Capital position

The DNB supervises bunq B.V. on a stand-alone basis whereby Capitalflow Group is not consolidated. DNB also supervises bunq B.V. consolidated on the level of bunq holding B.V. We refer to the financial statements of bunq holding B.V. for the consolidated capital position at year-end.

The table below shows bunq's capital ratios as of year-end:

EUR ('000)	2025	2024
Total risk weighted assets (RWA)	1,648,838	1,347,927
Available common equity tier 1 capital (CET1)	384,519	351,527
CET1 ratio %	23,32%	24,98%
Leverage ratio	4,20%	4,10%

Total risk exposure amount

EUR ('000)		2025		2024
	Amount	TREA	Amount	TREA
Cash and balances with central banks	4.072.552	-	5.057.649	-
Loans and advances to banks	90.830	14.118	96.120	19.300
Investments at amortized cost (bonds)	236.919	26.054	271.059	52.380
Investments at amortized cost (mortgages)	1.462.491	188.863	1.251.646	174.449
Investments at amortized cost (loans to corporates)	147.053	53.229	115.638	32.953
Investments at amortized cost (securitizations)	1.583.677	299.173	326.621	75.348
Debt securities	205.546	31.160	130.409	25.150
Derivative assets	40.612	3.019	36.005	3.617
Advances to customers	606	606	713	713
Right-of-use assets	5.251	4.523	6.185	5.219
Tangible fixed assets	5.215	4.852	6.312	5.873
Inventory		461	744	744
Intangible assets	2.753	-	3.926	-
Accounts receivables	3.494	6.317	29.429	3.660
Goodwill	43.422	-	43.422	-
Other assets	40.583	20.415	48.243	18.320
Participation in subsidiaries	-	-	-	-
Capitalflow loans	1.063.991	623.318	873.676	615.346
Total assets	9.004.995	1.276.108	8.297.796	1.033.072
Off balance exposure	65.862	9.746	63.540	1.580
CVA	-	11.954	-	8.395
Off balance sheet commitments	102.714	-	18.564	-
Operational risk	-	351.030	-	304.879
Total risk exposure amount	9.173.571	1.648.838	8.379.900	1.347.927

Liquidity ratios

	2025	2024
Liquidity coverage ratio	350%	294%
Net stable funding ratio (NSFR)	232%	349%

In the LCR's high quality liquid assets (HQLA) buffer, bunq includes the withdrawable portion of its Central Bank Reserves, plus its liquid tradable assets that classify as Level 1 (EU-member state central government bond portfolio) and Level 2B (eligible portion of the asset-backed security portfolio), with the respective applicable haircuts and measured at market value.

On the net liquidity outflow line, bunq includes a deposit outflow following CRR directives (5% of stable deposits, 15% category 1 deposits, 20% category 2 deposits, 40% wholesale deposits), an outflow for additional collateral calls resulting from a negative market scenario on bunq's derivative portfolio, as well as any expenses to be paid in the 30-days after reporting date. bunq's liquidity inflows comprise mostly of interest income from mortgages and intracompany loan with CFG, 50% of principal repayments for the same loans and any receivables that will be settled in the 30-days after reporting date. bunq also considers its on demand checking accounts with other banks as inflows, as those are withdrawable at any point in time but can't be added to the HQLA buffer.

The NSFR ratio accounts for the available amount of stable funding as a numerator, where 100% of equity, 95% of stable deposits, 90% of non-stable retail deposits and 50% of wholesale deposits are included. As a denominator - required amount of stable funding - bunq's HQLA is included with haircuts aligned with the LCR classifications, plus all other loans and assets with the respective CRR haircuts based on asset class, encumbrance status and maturity bucket.

bunq had a strong liquidity position throughout the entire year, as measured by both regulatory liquidity ratios, which were well above the regulatory minimum of 100% at all times.

Going concern

The shareholders, excluding the Stak, have expressed support for the company's growth and finance plan. They are prepared to provide contingency financial support or take the necessary measures in order that the company can maintain capital above the required levels.

The financial plan and mitigating measures have been discussed and agreed in the Management Board and Supervisory Board.

Both capital and liquidity ratios are well above the regulated threshold in the forecast.

Subsequent events

No events occurred after the reporting date that require adjustment to or disclosure in these financial statements

We would like to thank all bunq employees for their dedication, hard work and commitment in making the bank of The Free what it is today, and for laying the foundation of what it will become in the near future. Moreover, we would love to thank all bunq users for their continuous support and valuable feedback.

Amsterdam, 28 May, 2026

A. Niknam
K. Wulterputte

Supervisory Board Report

In 2025, bunq continued to strengthen its position as Europe's second largest neobank. This progress was marked by reaching 22 million users on our platform.

During the year, bunq continued to develop its product offering in line with its long-standing commitment to user-centric innovation. Rather than detailing individual launches, the Supervisory Board notes the overall positive impact of these developments on user satisfaction and operational performance. This is reflected in a Net Promoter Score (NPS) of +30, which remains significantly higher than that of larger incumbents in bunq's core markets. At the same time, bunq remained focused on delivering a consistent, high quality user experience as it expanded across jurisdictions, strengthening its operations and addressing underlying challenges to ensure its user centric approach continues to scale alongside its growth.

bunq also made further investments in strengthening the quality and resilience of the organisation by hiring talented professionals across a broad range of functions and jurisdictions. These efforts were complemented by continued progress in the application of artificial intelligence, further enhancing Finn's capabilities. Together, these developments contributed to improved efficiency and stronger internal controls in several key processes, supporting the reduction of operational and financial risks and related costs. These improvements also had a positive effect on the overall user experience, contributing to a reported user satisfaction rate of 90%.

With regard to governance, a structured evaluation process was initiated early in 2025 in cooperation with an external expert firm. This process included individual interviews and group sessions with all members of the Supervisory Board (SB) and Managing Board (MB). Based on this open and constructive evaluation, the SB formulated a number of action points aimed at further improving both its composition and effectiveness. Several of these actions have already been implemented and are delivering positive results. In 2025, Ronald Latenstein took over as Chair of the Supervisory Board as Gisella Eikelenboom ended her term after five years at bunq.

Throughout the year, the Supervisory Board held numerous formal meetings, including plenary sessions as well as meetings of the Audit Committee and the Risk Committee. These meetings were well prepared and focused, among other matters, on stakeholder interests, strategic alternatives, associated risks, and mitigating measures. In addition, regular informal interactions took place between members of the SB and MB, enabling timely information exchange and close alignment. Through these interactions, the SB remained committed to guiding bunq's strategic direction while safeguarding sustainable growth, operational excellence, and continued trust from its expanding global user base.

From a financial perspective, 2025 marked the third consecutive profitable year for bunq, while we continued to invest significantly in international expansion and strategic partnerships designed to support future growth and enhance value for users. These results

were achieved against a backdrop of geopolitical uncertainty, persistent inflation, declining interest rates, and increasing regulatory requirements. As a result, maintaining strong cost discipline and continuing to introduce efficiencies, including through the further use of artificial intelligence, remains essential. User deposits remained stable, and capital and liquidity positions were consistently maintained above regulatory requirements. Further diversification of the asset-side product offering remains an important driver for future growth.

Looking ahead to 2026, bunq intends to further leverage the scalability of its platform by expanding into additional jurisdictions, notably the United States and the United Kingdom, alongside continued growth across Europe. bunq also aims to broaden its lending offering and establish additional partnerships that strengthen the overall value proposition for users. These initiatives support the continued scaling of the business and its ability to serve an increasingly international user base.

Throughout 2025, bunq maintained a constructive and transparent dialogue with its home supervisors, De Nederlandsche Bank (DNB) and the Authority for the Financial Markets (AFM), as well as regulators in existing and prospective international markets. These engagements supported clear communication, timely reporting, and structured follow-up, contributing to the ongoing refinement of bunq's governance, processes, and monitoring framework.

Composition

At the time of this writing, the board consists of the following members:

Mr R. Latenstein - appointed April 16 2025 - DNB approved on 1 July 2025

Mr. J. Scott– appointed November 26, 2021 - Reappointed on 8 January 2026

Mr. J. Hüpscher- appointed December 22, 2023

Ms. G. Eikelenboom– appointed February 13, 2020, resigned 15 May 2025

On 1 July 2025, Mr R. Latenstein was appointed Chairperson of the Supervisory Board, taking on the role from Ms. G. Eikelenboom.

Mr. Latenstein has been appointed for a term of 4 years ending in 2029.

Mr. Hüpscher has been appointed for a term of 4 years ending in 2027. Mr. Hüpscher is a member of the board at team.blue (formerly TransIP, where he also served as CEO, and SIDN.

Mr. Scott has been appointed for a term of 4 years ending 2025. Mr. Scott was nominated by bunq's shareholder Capitalflow Holding DAC. Capitalflow Holding is managed by Pollen Street Capital. Mr Scott is a partner of Pollen Street Capital plc. bunq has passed a Shareholders and Supervisory resolutions reappointing him on 8 January 2026

With the exception of Mr. Scott, all members of the Supervisory Board are independent and have no relationship other than their role of Supervisory Board member with bunq, its affiliates, shareholder, or Managing Board.

The supervisory board met 10 times in 2025, with the majority attending in person each time. Topics that were discussed were, among others, bunq's growth strategy, financial performance and forecasts, product and business development, marketing, capital and liquidity planning, risk management, compliance and the relationship with the regulator.

Throughout the year, the board continued the lifelong learning program implemented during 2023. Set out in the Dutch banking code and adopted by bunq, the lifelong learning program was incorporated to the rules of the Supervisory Board in order to ensure that the expertise of the members of the Supervisory Board is maintained and, where necessary, broadened. By systematically covering relevant developments regarding corporate governance, in particular within the finance industry and the banking sector, the lifelong training program allows for board members to meet any training needs and subsequently improve how they perform in their role.

The supervisory board also met with the Dutch Central Bank (DNB) and external auditors multiple times in 2025.

Overall the board was satisfied with the outcome of these meetings and will continue to have monthly meetings throughout 2026.

During the year, the Supervisory Board split its sub-committee, the Risk and Audit Committee into a separate Risk Committee and an Audit Committee. Each committee has the following members:

- Mr. J. Scott– Chairperson
- Mr. R. Latenstein

The Risk Committee focuses on all matters related to risks and controls in the organization. The Committee met 3 times during 2025 on July 23, September 16 and November 18.

The Audit Committee met 3 times in 2025, on June 24, September 11 and November 11. The internal auditors have a direct reporting line to the Audit Committee. The Audit Committee held meetings with the external auditor to agree on the audit approach and to discuss the outcome of the audit on the financial statements. The audit plan and audit findings were discussed in the Supervisory Board. The internal auditor was present during all decision-making meetings of the Risk and Audit Committee in 2025.

The separation of the sub-committee was approved by the Supervisory Board on May 27, and prior to this the Risk and Audit Committee met 3 times on January 21, March 18 and May 20.

The Remuneration Committee met 2 times in 2025, on May 6 and November 4. The Supervisory Board also maintains direct contact with the Head of Human Resources and regularly meets senior staff.

On 26 May, 2026, the supervisory board discussed the 2025 financial statements with the management board. The board will continue to monitor how the company will set itself up for future growth and international expansion. In doing so, the board will maintain an open dialogue with the management board and all of the company's stakeholders.

Finally, the Supervisory Board would like to express its sincere appreciation to the Managing Board and all bunqers for their dedication and hard work throughout 2025. Their continued commitment remains fundamental to bunq's success.

Amsterdam, 28 May, 2026

Mr R. Latenstein

Mr. J. Scott

Mr. J. Hüpscher

A man with curly hair is sitting at a desk in a home office, looking at a smartphone. A large computer monitor is visible in the foreground, and a bookshelf is in the background.

Consolidated financial statements

Consolidated statement of financial position

As at 31 December 2025

	Notes	2025 EUR ('000)	2024 EUR ('000)
Assets			
Cash and balances with central banks	14	4.072.552	5.057.649
Loans and advances to banks	15	90.830	96.120
Investments at amortized cost	16	2.173.194	1.093.042
Derivative assets held for risk management	17	40.612	36.005
Loans and advances to customers	18	1.064.597	874.390
Mortgages	19	1.462.491	1.251.646
Inventory	20	461	744
Other assets	21	84.328	77.672
Corporate income tax asset	12	5.931	3.333
Property, plant and equipment and right of use assets	22	10.466	12.497
Intangible assets	23	46.175	47.348
Deferred tax asset	12	-	5.466
Total Assets		9.051.637	8.555.912

	Notes	2025 EUR ('000)	2024 EUR ('000)
Liabilities			
Loans and advances owed to banks	24	27.867	9.184
Customer deposits	25	8.427.026	7.962.008
Other liabilities	27, 28	117.157	116.523
Derivative liabilities held for risk management	17	12.719	26.193
Provisions	26	5.788	3.252
Deferred tax liability	12	353	754
Total liabilities		8.590.910	8.117.914
Equity			
Share capital	29	148	148
Share premium	29	405.725	406.475
Retained earnings		54.854	31.375
Total equity		460.727	437.998
Total liabilities and equity		9.051.637	8.555.912

The consolidated financial statements were approved by the Managing and Supervisory Boards, and authorized for issue on 28 May 2026 and were signed on its behalf by:

Ali Niknam

Founder & Chief Executive Officer

Kris Wulteputte

Chief Risk Officer

Mr. R. Latenstein

Supervisory board - Chair

Mr. J. Hüpscher

Supervisory board

Mr. J. Scott

Supervisory board

The accompanying notes form an integral part of the consolidated financial statements.

Consolidated statement of comprehensive income

For the year ended 31 December 2025

	Notes	2025 EUR ('000)	2024 EUR ('000)
Interest income	5	276.069	352.227
Interest expense	5	(117.415)	(155.631)
Net interest income		158.654	196.596
Fee income	6	80.761	80.167
Fee expense	6	(29.928)	(22.164)
Net fee income		50.833	58.003
Gains and losses from derivatives and financial instruments	7	661	1.292
Impairment losses on financial instruments	8	(11.584)	(10.558)
Net operating income		198.564	245.333
Personnel expenses	9	(62.548)	(52.956)
Depreciation and amortisation	10	(5.793)	(5.804)
Other expenses	10	(95.622)	(101.231)
Total operating expenses		(163.963)	(159.991)
Result before tax		34.601	85.342
Income tax expense	12	(12.217)	(21.696)
Result for the period		22.384	63.646
Other comprehensive income		-	-
Net result and other comprehensive income		22.384	63.646
Net result and other comprehensive income attributable to			
Equity holders of the Group		22.384	63.646

Consolidated statement of changes in equity

For the year ended 31 December 2025

	Share Capital	Share Premium	Total Share Capital and Share Premium	Retained Earnings	Unappropriated Result	Total Retained Earnings	Total Equity
	EUR ('000)	EUR ('000)	EUR ('000)	EUR ('000)	EUR ('000)	EUR ('000)	EUR ('000)
Balance as per January 1st 2024	145	374.228	374.476	(85.332)	53.164	(32.168)	342.205
Appropriation of result	-	-	-	53.164	(53.164)	-	-
Net result for the period	-	-	-	-	63.646	63.646	63.646
Shares issued	3	31.497	31.500	-	-	-	31.500
Share options granted	-	-	-	647	-	647	647
Balance as per December 31st 2024	148	405.725	405.976	(31.521)	63.646	32.125	437.998
Appropriation of result	-	-	-	63.646	(63.646)	-	-
Net result for the period	-	-	-	-	22.384	22.384	22.384
Shares issued	-	-	-	-	-	-	-
Share options granted	-	-	-	345	-	345	345
Balance as per December 31st 2025	148	405.725	405.976	32.470	22.384	54.854	460.727

Consolidated statement of cash flows

For the year ended 31 December 2025

	2025	2024
	EUR ('000)	EUR ('000)
Net Result	22.384	63.646
Adjustments for:		
Depreciation of property, plant and equipment and right-of-use assets	2.684	2.011
Amortization of intangible assets	2.430	3.636
Impairment losses	11.584	10.558
Results from hedge accounting	661	1.292
Provisions	2.536	2.470
Net Change in:		
Amortization of premiums paid on Mortgages	679	125
Amortization of premiums paid on Bonds	3.521	32
Loans and advances owed to banks	18.683	(15.793)
Loans and advances to customers	(191.410)	(146.279)
Inventory	(283)	205
Other assets	(6.672)	28.289
Customer deposits	465.018	1.041.672
Other liabilities	634	2.049
Derivative assets	(18.081)	(17.660)
Deferred taxes	5.065	10.147
Corporate income tax	(9.000)	(17.470)
Cash flows from operations	310.433	968.930

	2.025	2.024
	EUR ('000)	EUR ('000)
Acquisition of investments at amortized costs	(1.106.608)	(555.173)
Proceeds from redemption of bonds	38.300	9.000
Acquisition of mortgages	(231.051)	(468.318)
Acquisition of tangible fixed assets	(607)	(5.417)
Acquisition of intangible assets	-	(161)
Cash flows from investing activities	(1.299.967)	(1.020.069)
Proceeds from equity contributions	-	33.311
Lease payments	(853)	(658)
Cash flows from financing activities	(853)	32.653
Cash balance on January 1st	5.153.769	5.172.254
Net change in balance	(990.387)	(18.485)
Cash balance on December 31st	4.163.382	5.153.769
Cash Balance with central banks	4.072.552	5.057.649
Cash balances held at other banks	90.830	96.120
Total	4.163.382	5.153.769
The Net result includes the following:		
Interest received	276.069	352.227
Interest paid	(117.415)	(155.631)

Notes to the consolidated financial statements

1. Basis of preparation

1.1 Reporting entity

bunq B.V. (the 'Company') was incorporated on March 26th, 2012, and is domiciled in the Netherlands. The Company's registered office is at Basisweg 32, 1043AP Amsterdam. The Company is registered at the Commercial Register of Amsterdam under number 54992060.

The principal activities of the Company are banking activities. The ultimate parent of the Group is bunq Holding B.V.

1.2 Basis of accounting

These financial statements are prepared in accordance with International Financial Reporting Standards ('IFRS') as issued by the International Accounting Standards Board ('IASB') and adopted by the European Union ('EU'), and the relevant articles of Part 9 of Book 2 of the Dutch Civil Code.

The financial statements, as at and for the year ended 31 December 2025, were authorized for issue by the Managing and Supervisory Boards on 28 May 2026.

1.3 Basis of consolidation

The consolidated financial statements incorporate the financial statements of the company and entities controlled by the company (its subsidiaries), together 'the Group', made up to 31 December each year.

Control is achieved when the Group:

- Has power over the investee;
- Is exposed to, or has rights to, variable returns from its involvement with the entity; and
- Has the ability to affect those returns through its power over the entity.

The Group reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control listed above.

Subsidiaries are fully consolidated from the date on which control is obtained, and no longer consolidated from the date that control ceases; their results are included in the

consolidated financial statements up to the date that control ceases. Uniform accounting policies are applied consistently across the Group.

Intra-Group balances and transactions, and any unrealized income and expenses (except for foreign currency transaction gains or losses) arising from intra-Group transactions, are eliminated. Unrealized losses are eliminated in the same way as unrealized gains, but only to the extent that there is no evidence of impairment.

1.4 Going concern

These financial statements were prepared under a going-concern assumption. The going concern assumption is a significant accounting judgment. The going concern of bunq is based on the profitable forecasts prepared in alignment with SREP requirements. The financial plan has been discussed and agreed in the Management Board and Supervisory Board.

Both capital and liquidity ratios are well above the regulated threshold in the forecast, as well as in the Group's stress test scenarios as part of the SREP.

1.5 Functional currency

These consolidated financial statements are presented in euro, which is the Group functional currency. All amounts have been rounded to the nearest thousand, except when otherwise indicated.

On consolidation, the results and financial position of all foreign operations that have a functional currency different from the Group's functional currency are translated into the Group's functional currency as follows:

- All transactions in the foreign entity are converted into Euro amounts at the exchange rates at the dates of the transactions; and
- Foreign currency asset and liability positions are translated into the Group's functional currency at the exchange rate at the reporting date.

Any gains or losses resulting from foreign currency exchange differences are reported in the statement of profit or loss in the period in which they arise.

1.6 Changes in material accounting policies

1.6a Amendments to existing standards

In the current year, the Group has applied the following amendment to IFRS Accounting Standards issued by the IASB, which is mandatorily effective for an accounting period that begins on or after 1 January 2025. Its adoption has not had any material impact on the disclosures or on the amounts reported in these financial statements.

Amendments to IAS 21 'The Effects of Changes in Foreign Exchange Rates': Lack of Exchangeability (issued August 2023).

The amendments specify how to assess whether a currency is exchangeable, and how to determine the exchange rate when it is not. The amendments did not have a material impact on the Group's financial statements.

1.6b New standards, amendments and interpretations not yet effective

The IASB has issued the following new standards. These new standards will become effective on 1 January 2027 if they are endorsed by the EU. bunq will not early adopt these standards.

IFRS 18 'Presentation and Disclosures in Financial Statements'

IFRS 18 replaces IAS 1, carrying forward many of the requirements in IAS 1 unchanged and complementing them with new requirements. In addition, some IAS 1 paragraphs have been moved to IAS 8 and IFRS 7. Furthermore, the IASB has made minor amendments to IAS 7 and IAS 33 'Earnings per Share'.

IFRS 18 introduces new requirements to:

- present specified categories and defined subtotals in the statement of profit or loss;
- provide disclosures on management-defined performance measures ('MPM's) in the notes to the financial statements; and
- improve aggregation and disaggregation.

The Group will apply the new standard from its mandatory effective date of 1 January 2027. Retrospective application is required, and so the comparative information for the financial year ending 31 December 2026 will be restated in accordance with IFRS 18. The Group is still in the process of assessing the impact of the new accounting standard, particularly with respect to the structure of the Group's statement of profit or loss, the statement of cash flows and notes to the financial statements. The Group is also assessing the impact on information is grouped in the financial statements, including for items currently labelled as 'other'.

IFRS 19 'Subsidiaries without Public Accountability: Disclosures'

Issued in May 2024, IFRS 19 allows for certain eligible subsidiaries of parent entities that report under IFRS Accounting Standards to apply reduced disclosure requirements. Given that bunq is not an entity that can apply IFRS 19, this new standard does not impact bunq.

1.6c Amendments to existing standards not yet effective

The IASB has issued amendments to several standards, some of which have not yet been endorsed by the EU. bunq will not early adopt the amendments that have been endorsed by the EU.

Amendments to the Classification and Measurement of Financial Instruments - Amendments to IFRS 9 and IFRS 7

In May 2024, the IASB issued Amendments to IFRS 9 and IFRS 7, Amendments to the Classification and Measurement of Financial Instruments (the Amendments). The Amendments include:

- A clarification that a financial liability is derecognised on the 'settlement date' and the introduction of an accounting policy choice (if specific conditions are met) to derecognise financial liabilities settled using an electronic payment system before the settlement date;
- Additional guidance on how the contractual cash flows for financial assets with environmental, social and corporate governance (ESG) and similar features should be assessed;
- Clarifications on what constitute 'non-recourse features' and what are the characteristics of contractually linked instruments; and
- The introduction of disclosures for financial instruments with contingent features and additional disclosure requirements for equity instruments classified at fair value through other comprehensive income (OCI).

The Amendments are effective for annual periods starting on or after 1 January 2026. The Group does not anticipate that the amendments will have a material effect on the Group's financial statements.

Annual Improvements to IFRS Accounting Standards - Volume 11

In July 2024, the IASB issued nine narrow scope amendments as part of its periodic maintenance of IFRS accounting standards. The amendments impact IFRS 1 *First-time Adoption of International Financial Reporting Standards*, IFRS 7 *Financial Instruments: Disclosure and its accompanying Guidance on implementing IFRS 7*, IFRS 9 *Financial Instruments*, IFRS 10 *Consolidated Financial Statements* and IAS 7 *Statements of Cash Flows*.

The amendments will be effective for reporting periods beginning on or after 1 January 2026, and are not expected to have a material impact on the Group's financial statements.

Contracts Referencing Nature-dependent Electricity - Amendments to IFRS 9 and IFRS 7

In December 2024, the IASB issued Amendments to IFRS 9 and IFRS 7 - *Contracts Referencing Nature dependent Electricity*. The amendments apply only to contracts that reference nature-dependent electricity.

The amendments will take effect for annual reporting periods starting on or after 1 January 2026. The Group does not expect that the amendments will have a material impact on its financial statements.

Amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates: Translation to a Hyperinflationary Presentation Currency

On 13 November 2025, the IASB issued Amendments to IAS 21 Translation to a Hyperinflationary Presentation Currency, which requires an entity whose functional and presentation currency is hyperinflationary to restate the comparative amounts of a foreign operation with a non-hyperinflationary functional currency using the general price index under IAS 29.

The Amendments are effective for annual periods starting on or after 1 January 2027. The Group does not anticipate that the amendments will have a material effect on the Group's financial statements.

2. Material accounting policies

2.1 Net interest income

Effective interest

Interest income or expense is recognized within net interest income using the effective interest method.

The effective interest method is the method of calculating the amortized cost of a financial asset or liability (or Group of assets and liabilities) and of allocating the interest income or interest expense over the relevant period. The effective interest rate is the rate that exactly discounts the expected future cash payments or receipts through the expected life of the financial instrument, or when appropriate, a shorter period, to:

- the gross carrying amount of the financial asset; or
- the amortized cost of the financial liability.

When calculating the effective interest rate for financial instruments other than purchased or originated credit-impaired assets, the Group estimates future cash flows considering all contractual terms of the financial instrument but excluding the impact of future credit losses.

Purchased or originated credit impaired ('POCI') financial assets are assets that are credit impaired on initial recognition. For POCI assets, the EIR determined at initial recognition reflects the ECL at the date in determining the future cash flows expected to be received from the financial asset.

The calculation of the effective interest rate includes transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability.

Amortized cost and gross carrying amount

The 'amortized cost' of a financial asset or financial liability is the amount at which the financial asset or financial liability is measured on initial recognition minus the principal repayments, plus or minus the cumulative amortization using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any expected credit loss allowance. The 'gross carrying amount of a financial asset' is the amortized cost of a financial asset before adjusting for any expected credit loss allowance.

Amortized cost and gross carrying amount

The effective interest rate of a financial asset or financial liability is calculated on initial recognition of a financial asset or a financial liability. In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit-impaired) or to the amortized cost of the liability. The effective interest rate is revised as a result of periodic re-estimation of cash flows of floating-rate instruments to reflect movements in market rates of interest. The effective interest rate is also revised for fair value hedge adjustments at the date on which amortization of the hedge adjustment begins.

However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortized cost of the financial asset. If the asset is no longer credit-impaired, then the calculation of interest income reverts to the gross basis.

For information on when financial assets are credit-impaired, see note 2.5.

2.2 Net fee income

Fee and commission income and expenses that are integral to the effective interest rate on a financial asset or financial liability are included in the effective interest rate (see note 2.1). Other fees – including product fees, loans and advances fees and other fees – are recognized on a continuous basis over the period that the related service is provided.

A contract with a customer that results in a recognized financial instrument in the Group's financial statements may be partially in the scope of IFRS 9 and partially in the scope of IFRS 15. If this is the case, then the Group first applies IFRS 9 to separate and measure the part of the contract that is in the scope of IFRS 9 and then applies IFRS 15 to the residual portion. There are no significant payment terms in relation to the fee income received by the Group. Refunds are issued on a case-by-case basis and therefore there are no obligations recognized in relation to these or any other warranties.

Performance obligations in contracts with customers are summarized as follows:

Banking fees

- The Group provides banking services to retail and corporate customers;
- Fees are charged on a monthly basis and are based on fixed rates reviewed periodically within the Group; and
- Transaction based fees for interchange, foreign currency transactions and overdrafts are charged to the customer's account when transactions take place.

Revenue from account service and servicing fees is recognized over time as the services are provided.

Revenue related to transactions is recognized at the point in time when the transaction takes place.

Loans and advances fees

- The Group charges fees relating to the initiation and administration of originating a loan;
- The performance obligation is the performance of administration in order to ensure the loans granted are received by the customer; and
- These fees are charged at the initiation of lending of the loan.

Revenue from loans and advance fees are recognized at a point in time when the lent amount reaches the customer account.

Other fee and commission expenses relate mainly to transaction and service fees, which are recognized as the services are received.

2.3 Leases

The Group as lessee

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a

contract conveys the right to control the use of an identified asset, the Group uses the definition of a lease in IFRS 16.

The Group recognizes a right-of-use asset and a lease liability at the inception date of the lease. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use assets are subsequently depreciated on a straight-line basis over the shorter of the expected life of the asset and the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group's incremental borrowing rate. The Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by analyzing its borrowings from various external sources and makes certain adjustments to reflect the terms of the lease and type of asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments;
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group is reasonably certain to exercise, lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is subsequently measured by adjusting the carrying amount to reflect the interest charge, the lease payments made and any reassessment or lease modifications. The lease liability is remeasured if the Group changes its assessment of whether it will exercise a purchase, extension or termination option.

When the lease liability is re-measured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group also leases IT equipment with contract terms of one to three years. These leases are short-term and/or leases of low-value items, and therefore do not fall within the scope of

IFRS 16. The Group has elected not to recognize right-of-use assets and lease liabilities for these leases.

The Group as lessor

When the Group acts as a lessor, it determines at lease inception whether the lease is a finance lease or an operating lease. To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset. The Group applies the derecognition and impairment requirements in IFRS 9 to the net investment in the lease. The Group further regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease.

The present value of the lease payments is recognized as a receivable under Loans and advances to customers. The difference between the gross receivable and the present value of the receivable is unearned finance lease income. Lease income is recognized over the term of the lease using the net investment method (before tax), which reflects a constant periodic rate of return.

2.4 Taxation

Income tax expense comprises current and deferred tax. It is recognized in profit or loss except to the extent that it relates to a business combination, or items recognized directly in equity or in OCI.

The Group has determined that interest and penalties related to income taxes, including uncertain tax treatments, do not meet the definition of income taxes, and therefore has accounted for them under IAS 37 '*Provisions, Contingent Liabilities and Contingent Assets*', and has recognized the related expenses in 'other expenses'.

Current tax

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax payable or receivable is the best estimate of the tax amount expected to be paid or received that reflects uncertainty related to income taxes, if any. It is measured using tax rates enacted or substantively enacted at the reporting date. Current tax also includes any tax arising from dividends.

Current tax assets and liabilities are offset only if certain criteria are met.

Deferred tax

Deferred tax is recognized in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes.

Deferred tax is not recognized for:

- temporary differences on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss;
- temporary differences related to investments in subsidiaries to the extent that the Group is able to control the timing of the reversal of the temporary differences and it is probable that they will not reverse in the foreseeable future; or
- taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax assets are recognized for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Future taxable profits are determined based on the reversal of relevant taxable temporary differences. If the amount of taxable temporary differences is insufficient to recognize a deferred tax asset in full, then future taxable profits, adjusted for reversals of existing temporary differences, are considered, based on business plans for individual subsidiaries in the Group. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized; such reductions are reversed when the probability of future taxable profits improves.

Unrecognized deferred tax assets are reassessed at each reporting date and recognized to the extent that it has become probable that future taxable profits will be available against which they can be used. Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantively enacted at the reporting date, and reflects uncertainty related to income taxes, if there is any.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Group expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset only if certain criteria are met.

2.5 Financial assets

Initial recognition and measurement

Financial assets, excluding trade debtors, are initially recognized when the Group becomes party to the contractual provisions of the asset. Trade debtors are recognized when cash is advanced to the borrowers.

Financial assets are initially recognized at fair value plus transaction costs that are directly attributable to their acquisition (except those assets classified at fair value through profit or loss). Trade debtors without a significant financing component are initially measured at the transaction price. The fair value of a financial instrument at initial recognition is generally its transaction price. bunq applies settlement date accounting when recognizing financial instruments.

Classification and subsequent measurement

On initial recognition, a financial asset is classified and measured in the following categories

Amortized cost

Financial assets are measured at amortized cost if their contractual terms give rise to cash flows that are solely payments of principal and interest on the principal amount outstanding and they are held within a business model whose objective is to hold assets to collect contractual cash flows.

Assets are measured at amortized cost using the effective interest rate method (note 2.1), less any impairment losses. Interest income, foreign exchange gains and losses and impairment are recognized in profit or loss. Any gain or loss on derecognition is recognized in profit or loss.

At fair value through profit or loss ('FVTPL')

All financial assets not classified as measured at amortized cost as described above are measured at FVTPL. On initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortized cost or FVOCI at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Net gains and losses, including any interest or dividend income, are recognized in profit or loss.

Business model assessment

The Group makes an assessment of the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realizing cash flows through the sale of the assets;

- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and its strategy for how those risks are managed;
- how managers of the business are compensated (e.g., whether compensation is based on the fair value of the assets managed or the contractual cash flows collected); and
- the frequency, volume, and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of

how the Group's stated objective for managing the financial assets is achieved and how cash flows are realized.

The Group's Irish lending business comprises primarily loans to customers that are held for collecting contractual cash flows. In the Dutch business the loans comprise mortgages, sales from these portfolios are very rare.

Payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g., liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest ('SPPI'), the Group considers:

- the contractual terms of the instrument, checking consistency with basic lending criteria;
- the impact of the time value of money;
- features that would change the amount or timing of contractual cash flows; and
- other factors, such as prepayment or extension features.

The Group holds a portfolio of long-term fixed-rate loans for which the Group has the option to propose to revise the interest rate at periodic reset dates. These reset rights are limited to the market rate at the time of revision. The borrowers have an option to either accept the revised rate or redeem the loan at par without penalty. The Group has determined that the contractual cash flows of these loans are SPPI because the option varies the interest rate in a way that is consideration for the time value of money, credit risk, other basic lending risks and costs associated with the principal amount outstanding.

Derecognition

Financial assets are derecognized when the contractual rights to receive cash flows have expired or the Group has transferred substantially all the risks and rewards of ownership.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognized) and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognized in OCI is recognized in profit or loss.

The Group enters into transactions whereby it transfers assets recognized on its statement of financial position but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. In such cases, the transferred assets are not derecognized. Examples of such transactions are securities lending and sale-and-repurchase transactions.

When assets are sold to a third party with a concurrent total return swap on the transferred assets, the transaction is accounted for as a secured financing transaction similar to sale-and repurchase transactions, because the Group retains all or substantially all of the risks and rewards of ownership of such assets.

In transactions in which the Group neither retains nor transfers substantially all of the risks and rewards of ownership of a financial asset and it retains control over the asset, the Group continues to recognize the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

In certain transactions, the Group retains the obligation to service the transferred financial asset for a fee. The transferred asset is derecognized if it meets the derecognition criteria. An asset or liability is recognized for the servicing contract if the servicing fee is more than adequate (asset) or is less than adequate (liability) for performing the servicing.

The Group securitizes various loans and advances to customers and investment securities, which generally result in the sale of these assets to consolidated securitizations vehicles and in the Group transferring substantially all of the risks and rewards of ownership. The securitization vehicles in turn issue securities to investors (bunq). Interests in the securitized financial assets are generally retained in the form of senior or subordinated tranches, or other residual interests (retained interests).

Modifications

If the terms of a financial asset are modified, then the Group evaluates whether the cash flows of the modified asset are substantially different. If the cash flows are substantially different, then the contractual rights to cash flows from the original financial asset are deemed to have expired. In this case, the original financial asset is derecognized and a new

financial asset is recognized at fair value plus any eligible transaction costs. Any fees received as part of the modification are accounted for as follows:

- fees that are considered in determining the fair value of the new asset and fees that represent reimbursement of eligible transaction costs are included in the initial measurement of the asset; and
- Other fees are included in profit or loss as part of the gain or loss on derecognition.

If cash flows are modified when the borrower is in financial difficulties, then the objective of the modification is usually to maximize recovery of the original contractual terms rather than to originate a new asset with substantially different terms. If the Group plans to modify a financial asset in a way that would result in forgiveness of cash flows, then it first considers whether a portion of the asset should be written off before the modification takes place (see below for write-off policy). This approach impacts the result of the quantitative evaluation and means that the derecognition criteria are not usually met in such cases.

If the modification of a financial asset measured at amortized cost or FVOCI does not result in derecognition of the financial asset, then the Group first recalculates the gross carrying amount of the financial asset using the original effective interest rate of the asset and recognizes the resulting adjustment as a modification gain or loss in profit or loss. For floating-rate financial assets, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs or fees incurred, and modification fees received adjust the gross carrying amount of the modified financial asset and are amortized over the remaining term of the modified financial asset.

Modification gains or losses on financial assets are recognised either together with impairment losses if the modification is due to the borrower's financial difficulties, or as interest income using the effective interest rate method for other modifications, and are disclosed separately in accordance with IFRS 7.

Impairment of financial assets

The Group recognizes loss allowances for expected credit losses ('ECL's) on financial assets measured at amortized cost. This includes debt instruments and lease receivables.

A financial asset will attract a loss allowance equal to either:

- 12-month ECLs (losses resulting from possible defaults within the next 12 months); or
- lifetime ECLs (losses resulting from possible defaults over the remaining life of the financial asset).

The latter applies if there has been a significant deterioration in the credit quality of the asset; albeit lifetime ECLs will always be recognized for trade receivables, contract assets or lease receivables without a significant financing component.

Financial instruments for which 12-month ECL are recognized are referred to as 'Stage 1' financial instruments. Financial instruments allocated to Stage 1 have not undergone a significant increase in credit risk since initial recognition and are not credit impaired.

Lifetime ECL are the ECL that result from all possible default events over the expected life of the financial instrument or the maximum contractual period of exposure. Financial instruments for which lifetime ECL are recognized but that are not credit-impaired are referred to as 'Stage 2' financial instruments. Financial instruments allocated to Stage 2 are those that have experienced a significant increase in credit risk since initial recognition but are not credit impaired.

Financial instruments for which lifetime ECL are recognized and that are credit-impaired are referred to as 'Stage 3' financial instruments.

Loss allowances for ECL are presented in the statement of financial position as follows:

- financial assets measured at amortized cost: as a deduction from the gross carrying amount of the assets; or
- loan commitments: as a provision.

For more details on the impairment of financial assets, see the risk management section.

Measurement of ECL

ECL are a probability-weighted estimate of credit losses. They are measured as follows:

- financial assets that are not credit-impaired at the reporting date: as the present value of all cash shortfalls (i.e., the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive);
- financial assets that are credit-impaired at the reporting date: as the difference between the gross carrying amount and the present value of estimated future cash flows;
- undrawn loan commitments: as the present value of the difference between the contractual cash flows that are due to the Group if the commitment is drawn down and the cash flows that the Group expects to receive; and

When discounting future cash flows, the following discount rates are used:

- financial assets other than purchased or originated credit impaired ('POCI') financial assets and lease receivables: the original effective interest rate or an approximation thereof;
- POCI assets: a credit-adjusted effective interest rate;
- lease receivables: the discount rate used in measuring the lease receivable;

- undrawn loan commitments: the effective interest rate, or an approximation thereof, that will be applied to the financial asset resulting from the loan commitment.

Restructuring

If the terms of a financial asset are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the borrower, then an assessment is made of whether the financial asset should be derecognized and ECL are measured as follows.

- If the expected restructuring will not result in derecognition of the existing asset, then the expected cash flows arising from the modified financial asset are included in calculating the cash shortfalls from the existing asset (see risk management section);
- If the expected restructuring will result in derecognition of the existing asset, then the expected fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of its derecognition. This amount is included in calculating the cash shortfalls from the existing financial asset that are discounted from the expected date of derecognition to the reporting date using the original effective interest rate of the existing financial asset.

Credit impaired financial assets

At each reporting date, the Group assesses whether financial assets carried at amortized cost, and finance lease receivables are credit impaired (referred to as 'Stage 3' financial assets). A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the borrower or issuer;
- a breach of contract such as a default or past-due event;
- the restructuring of a loan or advance by the Group on terms that the Group would not consider otherwise;
- it is becoming probable that the borrower will enter bankruptcy or another financial reorganization; or
- the disappearance of an active market for a security because of financial difficulties.

A loan that has been renegotiated due to a deterioration in the borrower's condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment. In addition, a retail loan that is overdue for 90 days or more is considered credit-impaired even when the regulatory definition of default is different.

Purchased or Originated Credit Impaired (POCI) assets

POCI assets are financial assets that are credit-impaired on initial recognition. Impairment on a POCI asset is determined based on lifetime ECL from initial recognition. POCI assets are recognized initially at an amount net of ECL and are measured at amortized cost using a credit-adjusted effective interest rate. In subsequent periods any changes to the estimated lifetime ECL are recognized in profit or loss. Favorable changes are recognized as an impairment gain even if the lifetime ECL at the reporting date is lower than the estimated lifetime ECL at origination.

Write-off

Loans and debt securities are written off (either partially or in full) when there is no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Group determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at the individual asset level.

Recoveries of amounts previously written off are recognized when cash is received and are included in impairment losses on financial instruments in the statement of profit or loss and OCI.

Financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's procedures for recovery of amounts due.

Offsetting of financial assets and financial liabilities

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realize the asset and settle the liability simultaneously.

2.6 Financial liabilities***Initial recognition and measurement***

Financial liabilities are initially recognized at fair value plus transaction costs that are directly attributable to their acquisition or issue.

Classification and subsequent measurement

Financial liabilities are classified as measured at amortized cost or at fair value through profit or loss.

The Group has not designated any liabilities as fair value through profit or loss and holds no liabilities as held for trading. Financial liabilities are measured at amortized cost using the effective interest method (note 2.1). Amortized cost is calculated by taking into account any issue costs and any discounts or premiums on settlement. Interest expense and foreign exchange gains and losses are recognized in profit or loss. Any gain or loss on derecognition is also recognized in profit or loss.

Derecognition

The Group derecognizes financial liabilities when its contractual obligations are discharged, cancelled or expired, or when the financial liability is substantially modified.

Modifications

The Group derecognizes a financial liability when its terms are modified, and the cash flows of the modified liability are substantially different. This assessment is based on a qualitative and quantitative test, where the quantitative test involves comparing the present value of modified cash flows, discounted at the original EIR of the instrument, against the carrying amount. Substantial modifications occur when the discounted modified cash flows differ by greater than 10% of the carrying value of the instrument. In the case of substantial modifications, a new financial liability based on the modified terms is recognized at fair value. The difference between the carrying amount of the financial liability derecognized and the consideration paid is recognized in profit or loss. Consideration paid includes non-financial assets transferred, if any, and the assumption of liabilities, including the new modified financial liability.

If the modification of a financial liability is not accounted for as derecognition, then the amortized cost of the liability is recalculated by discounting the modified cash flows at the original effective interest rate and the resulting gain or loss is recognized in profit or loss. For floating-rate financial liabilities, the original effective interest rate used to calculate the modification gain or loss is adjusted to reflect current market terms at the time of the modification. Any costs and fees incurred are recognized as an adjustment to the carrying amount of the liability and amortized over the remaining term of the modified financial liability by re-computing the effective interest rate on the instrument.

2.7 Cash and cash equivalents

Cash and cash equivalents comprises cash in hand, restricted balances held with central banks and highly liquid financial assets with original maturities of three months or less from the date of acquisition that are subject to an insignificant risk of changes in their fair value and are used by the Group in the management of its short-term commitments.

Cash and cash equivalents are carried at amortized cost in the statement of financial position.

The statement of changes in cash flows has been determined using the indirect method.

All significant cash movements have been categorized under cash flows from operating activities, cash flows from financing activities and cash flows from investment activities.

2.8 Fair values of financial assets and liabilities

All financial assets and liabilities are recognized initially at fair value. The fair value of a financial instrument is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

When one is available, the Group measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as 'active' if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Group uses valuation techniques that maximize the use of relevant observable inputs and minimize the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

Valuation techniques include net present value and discounted cash flow models, comparison with similar instruments for which observable market prices exist. The objective of valuation techniques is to arrive at a fair value measurement that reflects the price that would be received to sell the asset or paid to transfer the liability in an orderly transaction between market participants at the measurement date.

The Group uses widely recognized valuation models to determine the fair value of common and simple financial instruments, such as interest rate swaps, that use only observable market data and require little management judgment and estimation. For more complex instruments, the Group uses proprietary valuation models, which are usually developed from recognized valuation models. Some or all of the significant inputs into these models may not be observable in the market and may be derived from market prices or rates or estimated based on assumptions. Valuation models that employ significant unobservable inputs require a higher degree of management judgment and estimation in the determination of fair value. Management judgment and estimation are usually required for the selection of the appropriate valuation model to be used, determination of expected future cash flows on the financial instrument being valued, determination of the probability of counterparty default and prepayments, determination of expected volatilities and correlations and selection of appropriate discount rates.

Fair value estimates obtained from models are adjusted for any other factors, such as liquidity risk or model uncertainties, to the extent that the Group believes that a third-party market participant would take them into account in pricing a transaction. Fair values reflect the credit risk of the instrument and include adjustments to take account of the credit risk

of the Group entity and the counterparty where appropriate. For measuring derivatives that might change classification from being an asset to a liability or vice versa – e.g., interest rate swaps – fair values take into account both credit valuation adjustment (CVA) and debit valuation adjustment (DVA) when market participants would take this into consideration in pricing the derivatives.

Model inputs and values are calibrated against historical data and published forecasts and, where possible, against current or recent observed transactions in different instruments and against broker quotes. This calibration process is inherently subjective, and it yields ranges of possible inputs and estimates of fair value. Management uses judgment to select the most appropriate point in the range.

The best evidence of the fair value of a financial instrument on initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received. If the Group determines that the fair value on initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique for which any unobservable inputs are judged to be insignificant in relation to the difference, then the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value on initial recognition and the transaction price. Subsequently, that difference is recognized in profit or loss on an appropriate basis over the life of the instrument but no later than when the valuation is wholly supported by observable market data, or the transaction is closed out.

If an asset or a liability measured at fair value has a bid price and an ask price, then the Group measures assets and long positions at a bid price and liabilities and short positions at an ask price.

Portfolios of financial assets and financial liabilities that are exposed to market risk and credit risk that are managed by the Group on the basis of the net exposure to either market or credit risk are measured on the basis of a price that would be received to sell a net long position (or paid to transfer a net short position) for the particular risk exposure. Portfolio-level adjustments – e.g. bid-ask adjustment or credit risk adjustments that reflect the measurement on the basis of the net exposure – are allocated to the individual assets and liabilities on the basis of the relative risk adjustment of each of the individual instruments in the portfolio.

The fair value of a financial liability with a demand feature (e.g. a demand deposit) is not less than the amount payable on demand, discounted from the first date on which the amount could be required to be paid.

The Group recognizes transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

2.9 Derivatives held for risk management purposes and hedge accounting

Derivatives held for risk management purposes include all derivative assets and liabilities that are not classified as trading assets or liabilities. All derivatives are measured at fair value in the statement of financial position. The Group applies IAS 39 and the EU carve out in its hedge accounting approach.

The Group designates certain derivatives held for risk management as hedging instruments in qualifying hedging relationships. On initial designation of the hedge, the Group formally documents the relationship between the hedging instrument(s) and hedged item(s), including the risk management objective and strategy in undertaking the hedge, together with the method that will be used to assess the effectiveness of the hedging relationship.

The Group makes an assessment, both on inception of the hedging relationship and on an ongoing basis, of whether the hedging instrument(s) is (are) expected to be highly effective in offsetting the changes in the fair value of the respective hedged item(s) during the period for which the hedge is designated, and whether the actual results of each hedge are within a range of 80–125%. This is consistent with the risk management strategy of bunq.

When a derivative is designated as the hedging instrument in a hedge of the change in fair value of a recognized asset or liability or a firm commitment that could affect profit or loss, changes in the fair value of the derivative are recognized immediately in profit or loss. The change in fair value of the hedged item attributable to the hedged risk is recognized in profit or loss. If the hedged item would otherwise be measured at cost or amortized cost, then its carrying amount is adjusted accordingly.

If the hedging derivative expires or is sold, terminated, or exercised, or the hedge no longer meets the criteria for fair value hedge accounting, or the hedge designation is revoked, then hedge accounting is discontinued prospectively. However, if the derivative is novated to a central counterparty clearing house (CCP) by both parties as a consequence of laws or regulations without changes in its terms except for those that are necessary for the novation, then the derivative is not considered expired or terminated.

Any adjustment up to the point of discontinuation to a hedged item for which the effective interest method is used is amortized to profit or loss as an adjustment to the recalculated effective interest rate of the item over its remaining life.

On hedge discontinuation, any hedging adjustment made previously to a hedged financial instrument for which the effective interest method is used is amortized to profit or loss by adjusting the effective interest rate of the hedged item from the date on which amortization begins. If the hedged item is derecognized, then the adjustment is recognized immediately in profit or loss when the item is derecognized.

The Group does not have any cash flow or net investment hedges.

2.10 Loans and advances

The 'loans and advances to banks' caption in the statement of financial position includes loans and advances measured at amortized cost (see note 15); these are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortized cost using the effective interest method. The 'loans and advances to customers' caption in the statement of financial position includes:

- Loans and advances measured at amortized cost (see note 18); they are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortized cost using the effective interest method;
- Lease receivables (see 18).

When the Group purchases a financial asset and simultaneously enters into an agreement to resell the asset (or a substantially similar asset) at a fixed price on a future date (reverse repo or stock borrowing), the consideration paid is accounted for as a loan or advance, and the underlying asset is not recognized in the Group's financial statements.

2.11 Property, plant and equipment

Recognition and measurement

Items of property and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses.

Purchased software that is integral to the functionality of the related equipment is capitalized as part of that equipment.

If significant parts of an item of property and equipment have different useful lives, then they are accounted for as separate items (major components) of property and equipment.

Any gain or loss on disposal of an item of property and equipment is recognized within other income in profit or loss.

Depreciation

Depreciation is calculated to write off the cost of items of property and equipment less their estimated residual values using the straight-line method over their estimated useful lives and is generally recognized in profit or loss. Land is not depreciated. The estimated useful lives of property and equipment for the current and comparative periods are as follows:

- Leasehold improvements: 5 years;
- Office equipment: 5 years.

Depreciation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

2.12 Inventory

Inventory is recognized at the costs of acquiring the finished goods and the direct costs to convert the finished goods into inventory.

Costs are subsequently recognized at the lower of cost and net realizable value. Net realizable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

The Group periodically assesses inventory for any indicators of impairment.

If Inventory is written down due to carrying value being greater than the Net Realizable Value and the Fair Value Less Costs to Sell, the loss is recognized in the statement of comprehensive income.

2.13 Intangible assets

Goodwill

Goodwill arising on the acquisition of subsidiaries is measured at cost less accumulated impairment losses.

Goodwill has an indefinite useful life and the Group has adopted an accounting policy to test for impairment at minimum annually, or earlier when there are indicators of impairment present.

The complexity of business combinations combined with often limited access to financial data of the target before the acquisition can make the acquisition accounting impossible to conclude before the reporting date. IFRS 3 takes such limitations into account and introduces a 12-month measurement period. It is a period during which the acquirer can make retrospective adjustments to acquisition accounting if it obtains new information about facts and circumstances that existed at the acquisition date. Such adjustments should be applied retrospectively together with changes in comparative data, e.g. depreciation charges.

Software

Software acquired by the Group is measured at cost less accumulated amortization and any accumulated impairment losses. Expenditure on internally developed software is recognized as an asset when the Group is able to demonstrate that the product is technically and commercially feasible, its intention and ability to complete the development and use the software in a manner that will generate future economic benefits, and that it can reliably measure the costs to complete the development. The capitalized costs of internally developed software include all costs directly attributable to developing the software and capitalized borrowing costs and are amortized over its useful life. Internally developed software is stated at capitalized cost less accumulated

amortization and any accumulated impairment losses. The Group does not recognize any such software.

Subsequent expenditure on software assets is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is recognized in profit or loss as it is incurred.

Software is amortized on a straight-line basis in profit or loss over its estimated useful life, from the date on which it is available for use. The estimated useful life of software for the current and comparative periods is three to five years.

Amortization methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

Intangibles recognized through acquisition

Intangible assets have been recognized through the acquisition of the Capitalflow and tricount. The assets form part of the identifiable assets and constitute a distribution network and existing customer relationships.

Amortization is calculated to write off the cost of intangible assets less their estimated residual values using the straight-line method over their estimated useful lives and is generally recognized in profit or loss.

The estimated useful lives for current and comparative periods are as follows:

- Distribution network: 2 - 5 years;
- Customer relationships: 1 - 5 years;
- Brand name: 5 years.

Amortization methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

2.14 Impairment of non-financial assets

At each reporting date, the Group reviews the carrying amounts of its non-financial assets (other than deferred tax assets) to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

Goodwill is tested annually for impairment.

For impairment testing, assets are grouped together into the smallest Group of assets that generates cash inflows from continuing use that is largely independent of the cash inflows of other assets or CGUs. Goodwill arising from a business combination is allocated to CGUs or Groups of CGUs that are expected to benefit from the synergies of the combination.

The recoverable amount of an asset or CGU is the greater of its value in use and its fair value less costs to sell. Value in use is based on the estimated future cash flows, discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU.

An impairment loss is recognized if the carrying amount of an asset or CGU exceeds its recoverable amount.

The Group's corporate assets do not generate separate cash inflows and are used by more than one CGU. Corporate assets are allocated to CGUs on a reasonable and consistent basis and tested for impairment as part of the testing of the CGUs to which the corporate assets are allocated.

Impairment losses are recognized in profit or loss. They are allocated first to reduce the carrying amount of any goodwill allocated to the CGU, and then to reduce the carrying amounts of the other assets in the CGU on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. For other assets, an impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

2.15 Employee benefits

Short-term employee benefits are expensed as the related service is provided. A liability is recognized for the amount expected to be paid if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

The Group's remuneration policy has been designed in line with applicable national and international regulations, including the Act on Remuneration Policies for Financial Institutions ('Wet beloningsbeleid financiële ondernemingen' or 'Wbfo') as included in the Dutch Financial Supervision Act, and the remuneration policy under Solvency II.

2.16 Share-based payments

The Group engages in equity-settled share-based payment transactions in respect of services received from its employees.

For such schemes, the fair value of the award is measured by reference to the fair value of the shares or share options granted on the grant date. Typically share options are purchased by employees at, or at a discount to their fair value. All cash receipts are immediately reflected in retained earnings within equity. The cost of the employee services received in respect of the share options granted is thereby measured as the portion of the fair value of the options granted that is not covered by the consideration paid by the

employees. This expense is recognized in profit or loss over the vesting period, in accordance with the vesting schedule, with a corresponding credit to equity.

The fair value of the awards or options granted is determined using a pricing model, which takes into account the current share price, the risk-free interest rate, the expected volatility of the company's share price over the life of the option or award, any applicable exercise price and other relevant factors. Only those vesting conditions that include terms related to market conditions are taken into account in estimating fair value. Non-market vesting conditions are taken into account by adjusting the number of shares or share options included in the measurement of the cost of employee services so that, ultimately, the amount recognized in profit or loss reflects the number of vested shares or share options, with a corresponding adjustment to equity. Where vesting conditions are related to market conditions, the charges for the services received are recognized regardless of whether or not the market-related vesting condition is met, provided that any non-market vesting conditions are also met.

Based on the specific service condition requirements set out in the scheme terms and conditions, a participant leaving the scheme after a certain point could trigger a contractual cash payment. As a result of this, the proportion of the option price relating to the amounts vesting beyond this point are initially recognized as a liability, and are subsequently transferred to equity on a monthly basis as they vest.

3. Use of estimates and judgements

In preparing these financial statements, management has made judgements, estimates and assumptions that affect the application of the Group's accounting policies and the reported amounts of assets, liabilities, income, and expenses. Actual results may differ from these estimates.

The principal judgements and estimates, including the related assumptions, mainly concern the measurement of financial instruments (including the identification of impairments for credit losses), goodwill, provisions, fair values and legal matters. Changes in judgements and analyses may lead to changes in the provisions and valuations over time. For further information, see 'Credit Risk' in the risk management section as well as the disclosure on the financial statements in respect of goodwill, provisions, fair values and legal matters.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognized prospectively.

4. Fair value of financial statements

The Group measures fair values using the following fair value hierarchy, which reflects the significance of the inputs used in making the measurements.

- **Level 1:** Inputs that are quoted market prices (unadjusted) in active markets for identical instruments;
- **Level 2:** Inputs other than quoted prices included within Level 1 that are observable either directly (i.e., as prices) or indirectly (i.e., derived from prices). This category includes instruments valued using quoted market prices in active markets for similar instruments; quoted prices for identical or similar instruments in markets that are considered less than active; or other valuation techniques in which all significant inputs are directly or indirectly observable from market data; and
- **Level 3:** Inputs that are unobservable. This category includes all instruments for which the valuation technique includes inputs that are not observable, and the unobservable inputs have a significant effect on the instrument's valuation. This category includes instruments that are valued based on quoted prices for similar instruments for which significant unobservable adjustments or assumptions are required to reflect differences between the instruments.

Financial instruments measured at fair value

This table analyses financial instruments measured at fair value at the reporting date, by the level in the fair value hierarchy into which the fair value measurement is categorised. The amounts are based on the values recognised in the Consolidated Statement of Financial Position.

2025 EUR ('000)	Level 1	Level 2	Level 3	Total
Financial assets measured at fair value through profit or loss (FVTPL)				
Derivative assets held for risk management	-	40.612	-	40.612
Financial liabilities measured at fair value through profit or loss (FVTPL)				
Derivative liabilities held for risk management	-	(12.719)	-	(12.719)

2024 EUR ('000)	Level 1	Level 2	Level 3	Total
Financial assets measured at fair value through profit or loss (FVTPL)				
Derivative assets held for risk management	-	36.005	-	36.005
Financial liabilities measured at fair value through profit or loss (FVTPL)				
Derivative liabilities held for risk management	-	(26.193)	-	(26.193)

Derivative assets and liabilities held for risk management include interest rate swaps. Interest rate swaps relate to contracts taken out by the Group with other counterparties (financial institutions) in which the Group either receives or pays a floating rate of interest in return for paying or receiving, respectively, a fixed rate of interest. The payment flows are typically netted against each other, with the difference being paid by one party to the other.

Most swaps are fully collateralised and require daily margin settlement, which significantly reduces the Group's credit risk. The valuation techniques include forward pricing and swap models, using present value calculations by estimating future cash flows and discounting them with the appropriate yield curves incorporating funding costs relevant for the position.

Financial instruments not measured at fair value

This table sets out the fair values of financial instruments not measured at fair value and analyses them by the level in the fair value hierarchy into which each fair value measurement is categorised.

2025 EUR ('000)	Level 1	Level 2	Level 3	Total	Carrying Value
Financial assets measured at amortized cost					
Cash and balances with central banks	-	4.072.552	-	4.072.552	4.072.552
Loans and advances to banks	-	90.830	-	90.830	90.830
Investments at amortized cost	488.573	1.692.903	-	2.181.476	2.173.194
Loans and advances to customers	-	-	1.089.762	1.089.762	1.064.597
Mortgages	-	-	1.431.507	1.431.507	1.462.491
Financial liabilities measured at amortized cost					
Loans and advances owed to banks	-	(27.867)	-	(27.867)	(27.867)
Customer deposits	-	(8.427.026)	-	(8.427.026)	(8.427.026)

2024 EUR ('000)	Level 1	Level 2	Level 3	Total	Carrying Value
Financial assets measured at amortized cost					
Cash and balances with central banks	-	5.057.649	-	5.057.649	5.057.649
Loans and advances to banks	-	96.120	-	96.120	96.120
Investments at amortized cost	825.780	49.707	227.260	1.102.747	1.093.042
Loans and advances to customers	-	-	874.390	874.390	874.390
Mortgages	-	-	1.230.877	1.230.877	1.251.646
Financial liabilities measured at amortized cost					
Loans and advances owed to banks	-	(9.184)	-	(9.184)	(9.184)
Customer deposits	-	(7.962.008)	-	(7.962.008)	(7.962.008)

The fair value of investments at amortized cost are based on market prices if available, and if not available, calculated by estimating future cash flows and adjusting them for time value using comparable market rates and mathematical methods to ensure accuracy.

The fair value of loans and advances to customers and mortgages are determined using valuation techniques that incorporates discounting the future contractual cash flows adjusted for estimated prepayments, using market risk-free interest rate curve with relevant credit spreads.

Due to the short-term nature of customer deposits, their carrying amounts are considered to be a reasonable approximation of their fair values.

There were no transfers between levels during the year.

5. Net interest income

	2025	2024
	EUR ('000)	EUR ('000)
Interest income		
Interest on bond portfolio	7.693	3.990
Interest on mortgage portfolio	42.979	30.592
Interest on loans and advances to customers	66.164	60.840
Interest on investments at amortized cost	48.678	43.052
Cash and balances at central banks	105.649	201.933
Interest income on non-trading derivatives	3.566	9.446
Other interest income	1.340	2.374
	276.069	352.227
Interest expense		
Interest owed to customers	(113.165)	(154.021)
Interest on external financing	-	(4)
Interest expense on non-trading derivatives	(3.033)	-
Other interest expense	(1.217)	(1.606)
	(117.415)	(155.631)
Net interest income	158.654	196.596

All interest income is calculated using the effective interest rate method (note 2.1), with the exception of EUR 25 326 thousand (2024: EUR 21 284 thousand) included within Interest on loans and advances to customers, which relates to the Asset Finance portfolio.

Other interest income is earned on loans to other advances to banks. Refer to note 15.

Other interest expense is made up of interest expense on lease liabilities and on other interest-bearing liabilities.

6. Net fee income

	2025	2024
	EUR ('000)	EUR ('000)
Fee income		
Product fees	51.829	52.101
Loans and advances fees	5.938	6.088
Other fees	22.994	21.978
	80.761	80.167
Fee expenses		
Card production fees	(1.442)	(1.353)
Clearing and settlement	(742)	(802)
Due diligence	(2.101)	(2.942)
Transaction based fees	(21.929)	(13.463)
Brokerage and other fees	(3.200)	(2.984)
Other fees	(514)	(620)
	(29.928)	(22.164)
Net fee income	50.833	58.003

Product fees are fees charged to consumers for the use of the bunq platform and include all fees shown on invoices to users of the platform.

Loans and advances fees are fees charged to beneficiaries of financing granted on origination of loans.

Other Fees is made up of interchange fees and fees on projects with business partners.

Product fees can be disaggregated between those earned on personal accounts and business accounts.

	2025	2024
	EUR ('000)	EUR ('000)
Fee type		
Consumer fees	35.545	38.097
Business fees	16.284	14.004
Total	51.829	52.101

The Group determines the disaggregation of total fee income by geographical location based on customer address.

	2025	2024
Country	EUR ('000)	EUR ('000)
Netherlands	32.358	34.737
Ireland	629	501
France/Belgium	3.256	3.596
Germany	8.168	9.476
Other	7.418	3.791
Total	51.829	52.101

7. Gains and losses from derivatives and financial instruments

	2025	2024
	EUR ('000)	EUR ('000)
Derivatives designated in hedge relationship	661	1.292
Total	661	1.292

During the period the interest rate hedge relationship was 99% effective. This is seen in note 17.

8. Provision for impairment

This item consists of the movement in the expected credit loss on the financial assets valued at amortized cost.

	2025	2024
	EUR ('000)	EUR ('000)
Advances to customers	5.749	5.138
Advances to customers with negative balances	1.719	4.432
Investments at amortized cost	14	(205)
Mortgages	235	43
Provision for bad debts	3.867	1.150
Total	11.584	10.558

The provision for bad debts reflects the movement in the provision held against the trade debtors balance, illustrated in note 21.

Further details on the remaining movements can be found within the Credit Risk section of note 31.

9. Personnel expenses

	2025	2024
	EUR ('000)	EUR ('000)
Wages and salaries	49.276	40.154
Social security contributions	7.210	4.480
Pension contributions	926	709
Tax credit	-	-
External hires	3.380	5.911
Other expenses	1.756	1.702
Total	62.548	52.956

Staff members at the year end are divided over the following departments:

	2025	2024
Board	4	6
Finance, Treasury, Risk, Legal, HR	89	105
Marketing, Business Development	80	89
Onboarding, Support, Compliance	280	229
Product, IT, Design, Data	119	133
Subsidiary Employees	93	88
Total	665	650

During 2025, the Group had on average 658 (2024: 557) staff members based on full time equivalents (FTE).

The number of persons the Group employs outside of The Netherlands is 296, the majority of which are in Bulgaria (118) and Turkey (138).

The Group has defined contribution pension arrangements in place for some of its employees in Ireland and Bulgaria.

Supervisory Board fees concern payments to the personal holdings of the members of the Supervisory Board. The remuneration of the Supervisory Boards is presented under note 33.

10. Other expenses

	2025	2024
	EUR ('000)	EUR ('000)
General & administrative expenses	22.870	31.944
Marketing expenses	52.078	41.873
Office expenses	3.041	2.672
Technical expenses	14.728	12.120
Incidents	2.905	12.622
Goodwill writeoff	-	-
Total before depreciation and amortization	95.622	101.231
Depreciation and amortization	5.793	5.804
Total	101.415	107.035

Incident costs include provisions for legal expenses expected in the current year, as well as reversals of prior year legal provisions.

11. Auditor remuneration

Expenses for audit services provided by the external auditor are presented in the table below. The fees stated for the audit of the financial statements are based on the total fees for the audit of the financial statements, regardless of whether the audit activities were performed before the year-end.

	2025	2024
	EUR ('000)	EUR ('000)
Fees payable for the audit of the Company and Group's financial statements	647	860
Fees payable to the Group's auditor for other assurance services	123	135
Total	770	995

Deloitte Accountants B.V. served as the Group's auditor in the prior financial year, with EY Accountants B.V. appointed as the Group's auditor for the current financial year.

Other audit fees relate to regulatory reports audit. The Group's auditors did not provide any non-audit services.

12. Corporate income tax

Taxation in the statement of comprehensive income – tax rate reconciliation:

	2025	2025	2024	2024
	Rate	EUR ('000)	Rate	EUR ('000)
Profit before tax		34.601		85.342
Taxes at local corporate tax rate	25,80%	(8.927)	25,80%	(22.018)
Impact of non-deductible items		(4.615)		-
Permanent Differences				
Local subsidiary differences	3,80%	1.325	0,40%	322
Total income tax expense	35%	(12.217)	25%	(21.696)

Irish corporate income tax rate is 12.5%.

The increase in the effective tax rate for 2025 is as a result of a reassessment of the 2024 tax position. All impacts have been recognized in the current year figures.

bunq performs a robust transfer pricing policy which it applies for intercompany transactions and loans. The transfer pricing policy ensures the Group remains compliant with all local and foreign tax authorities when considering applicable intercompany transactions. For all local branches the Group applies a “cost plus” agreement in order to minimize tax liabilities and be compliant with local authorities.

The table below details the movement in the corporate income tax liability.

	2025	2024
	EUR ('000)	EUR ('000)
Corporate income tax asset/(liability) as per January 1st	3.333	(7.306)
Tax on profits recognized	(12.217)	(22.018)
Payments made	9.349	19.580
Tax liability offset by previously unutilized losses	5.466	13.077
Corporate income tax asset/(liability) as of December 31st	5.931	3.333

Deferred taxes

Deferred taxes are recognized on temporary differences under the liability method using tax rates applicable in the jurisdictions in which the Group is subject to taxation. In prior years deferred tax liabilities arose due to fair value adjustments to financial assets and recognition of intangible assets on acquisition date of Capitalflow Group DAC and of tricont SA.

Deferred tax assets are recognized if it is probable that taxable profits will be available against which the deductible temporary difference may be utilized.

At the beginning of the reporting period, the Group had unused tax losses of EUR 21 186 thousand (2024: 57 542 thousand) available for offset against future profits. A deferred tax asset has been recognized in respect of EUR nil (2024: EUR nil) of such losses.

During the year, all of these historic tax losses have been utilized within the determination of the tax expense for the period.

Deferred tax movements are presented below:

	2025 EUR ('000)	2024 EUR ('000)
Movements during the year:		
Balance sheet values as of January 1st	5.466	15.532
Origination and reversal of temporary differences	-	(2.579)
Recognition of previously unutilized tax losses	-	-
Previously unutilized losses offset by current year profits	(5.466)	(7.487)
Balance sheet values as of December 31st	-	5.466

Deferred taxes are recognized in the following countries as follows:

		2025 EUR ('000)	2024 EUR ('000)	CIT percentage %
Deferred tax assets	Ireland	-	151	12,5 %- Ireland Corporate income tax rate
	The Netherlands	-	5.315	25.8% - maximum Dutch corporate income tax rate
Total			5.466	
Deferred tax liabilities	Ireland	-	-	12,5 %- Ireland Corporate income tax rate
	The Netherlands	(353)	(754)	25.8% - maximum Dutch corporate income tax rate

The DTL is considered short term as it will be realized in the next 12 months from the reporting date.

Pillar II legislation

On 19 December 2023, the Dutch Senate, where the parent company is incorporated, enacted the Pillar II income taxes legislation effective from 31 December 2023. Pillar II does not currently apply to the Group as the global consolidated revenue thresholds have not been met in any of the preceding periods to date. The Group is continuing to assess the impact of the Pillar II income taxes legislation on its future financial performance, however to the extent that the thresholds are met in subsequent periods, the Group does not anticipate any material exposure to this tax.

13. Financial instruments

The following table shows the carrying amount of each of the categories of financial instruments at the end of the reporting period.

	2025 EUR ('000)	2024 EUR ('000)
Financial assets measured at fair value through profit or loss (FVTPL)		
Derivative assets held for risk management	40.612	36.005
Total assets measured at fair value	40.612	36.005
Financial assets measured at amortized cost		
Cash and balances with central banks	4.072.552	5.057.649
Loans and advances to banks	90.830	96.120
Investments at amortized cost	2.173.194	1.093.042
Mortgages	1.462.491	1.251.646
Loans and advances to customers	1.064.597	874.390
Trade debtors	3.494	1.517
Total assets measured at amortized cost	8.867.158	8.374.364
Financial liabilities measured at amortized cost		
Customer deposits	8.427.026	7.962.008
Derivative liabilities held for risk management	12.719	26.193
Trade payables	6.610	6.799
Total liabilities measured at amortized cost	8.446.355	7.995.000

14. Cash and balances with central banks

	2025 EUR ('000)	2024 EUR ('000)
Balances held at central banks	4.072.552	5.057.649

The minimum reserve required to be held at the central banks at year end is EUR 84 090 thousand (2024: 76 825 thousand).

The fair value of balances with central banks is not materially different from their carrying amount.

15. Loans and advances to banks

	2025 EUR ('000)	2024 EUR ('000)
Current accounts at other financial institutions	56.714	67.024
Mastercard deposit	12.633	12.434
Collateral accounts at other financial institutions	5	94
Foreign exchange balances held	21.486	16.578
Provision for expected credit losses	(8)	(10)
Total	90.830	96.120

The fair value of loans and advances is not materially different to their carrying amount.

Current accounts at other financial institutions include EUR 29 556 thousand which have been pledged as part of the mortgage obligations (2024: 45 996 thousand).

The Mastercard deposit concerns a deposit held at another financial institution that has been pledged to secure the obligations arising from the use of debit cards issued by the Group to its customers as well as deposits made to facilitate the collection of amounts due under the Mastercard contract and for the use of credit cards held by the Group for its own purposes.

On request of Mastercard this can be adjusted every six months.

Foreign exchange balances are balances in foreign currencies held at year end. The majority of foreign currency balances are aligned to deposits owed to users in the same currencies for the same amounts. No foreign currency balances have been pledged as collateral.

bunq's exposure to credit risk arising from loans and advances to banks is described in note 31.

16. Investments at amortized cost

	2025	2024
	EUR ('000)	EUR ('000)
Bond investments	236.925	271.073
Capital call lending	147.060	31.590
Commercial paper	49.747	49.617
Fixed term funds	75.667	105.320
Fixed income investments	80.133	90.342
Collateralized loan obligations	1.333.600	218.500
Asset backed securities	250.107	326.628
Total investments at amortized cost	2.173.239	1.093.070
Less: Allowances for impairment losses	(45)	(28)
Net investments at amortized cost	2.173.194	1.093.042

Bonds

	2025	2024
	EUR ('000)	EUR ('000)
Bonds	236.925	271.073
Provision for expected credit losses	(6)	(14)
Balance sheet value as of December 31st	236.919	271.059
Movements during the year:		
Balance sheet value as of January 1st	271.059	62.790
Purchases of bonds	631	217.213
Amortization of premium/discounts	3.521	32
Matured bonds	(38.300)	(9.000)
Amortized cost as of December 31st	236.911	271.035
Impairment reversals/charges	8	24
Balance sheet value as of December 31st	236.919	271.059

Capital call lending

	2025	2024
	EUR ('000)	EUR ('000)
Capital call lending	147.060	31.590
Provision for expected credit losses	(7)	(1)
Balance sheet value as of December 31st	147.053	31.589
Movements during the year:		
Balance sheet value as of January 1st	31.589	-
Purchases	160.310	34.700
Repayments	(44.840)	(3.110)
Market movements	-	-
Amortized cost as of December 31st	147.059	31.590
Impairment reversals/charges	(6)	(1)
Balance sheet value as of December 31st	147.053	31.589

Commercial paper

	2025	2024
	EUR ('000)	EUR ('000)
Commercial paper	49.747	49.617
Provision for expected credit losses	(1)	(1)
Balance sheet value as of December 31st	49.746	49.616
Movements during the year:		
Balance sheet value as of January 1st	49.616	-
Purchases	98.781	98.125
Capitalized interest	1.349	1.492
Maturities	(100.000)	(50.000)
Amortized cost as of December 31st	49.746	49.617
Impairment reversals/charges	-	(1)
Balance sheet value as of December 31st	49.746	49.616

Fixed term funds

Fixed term funds are investments made with fixed short term repayment dates and variable rates of return. The movement in the funds can be analyzed as follows:

	2025	2024
	EUR ('000)	EUR ('000)
Fixed term funds	75.667	105.320
Provision for expected credit losses	-	-
Balance sheet value as of December 31st	75.667	105.320
Movements during the year:		
Balance sheet value as of January 1st	105.320	79.058
Purchases	37.284	77.917
Disposals	(63.769)	(60.372)
Foreign exchange rate gains/(losses)	(5.580)	2.708
Capitalized interest	2.412	5.998
Amortized cost as of December 31st	75.667	105.309
Impairment reversals/charges	-	11
Balance sheet value as of December 31st	75.667	105.320

The fixed term funds are all callable within 90 days. The funds earn an interest rate linked to EURIBOR and SOFR over the investment period.

Fixed income investments

Fixed income investments are short term investments made with a fixed rate of return and a fixed repayment date. The movement in the investments can be analyzed as follows:

	2025	2024
	EUR ('000)	EUR ('000)
Fixed income funds	80.133	90.342
Provision for expected credit losses	-	-
Balance sheet value as of December 31st	80.133	90.342
Movements during the year:		
Balance sheet value as of January 1st	90.342	181.375
Purchases	166.007	370.000
Disposals	(176.260)	(467.299)
Foreign exchange rate gains/(losses)	(544)	-
Capitalized interest	588	6.242
Amortized cost as of December 31st	80.133	90.318
Impairment reversals/charges	-	24
Balance sheet value as of December 31st	80.133	90.342

Investments are Euro deposits made into Swiss Kantonalbank in exchange for fixed rates of return over the period of investment. Investments are all short term and are not made for more than 32 days.

Collateralized loan obligations

	2025	2024
	EUR ('000)	EUR ('000)
Collateralized loan obligations	1.333.600	218.500
Provision for expected credit losses	(24)	(4)
Balance sheet value as of December 31st	1.333.576	218.496
Movements during the year:		
Balance sheet value as of January 1st	218.496	-
Purchases	1.115.100	218.500
Amortized cost as of December 31st	1.333.596	218.500
Impairment reversals/charges	(20)	(4)
Balance sheet value as of December 31st	1.333.576	218.496

Asset backed securities

Investments into Asset Backed Securities are investments made with fixed long term repayment dates and variable rates of return. The movement in the funds can be analyzed as follows:

	2025	2024
	EUR ('000)	EUR ('000)
Asset backed securities	250.107	326.628
Provision for expected credit losses	(6)	(7)
Balance sheet value as of December 31st	250.101	326.621
Movements during the year:		
Balance sheet value as of January 1st	326.621	207.926
Purchases	-	145.123
Notional redemptions	(76.521)	(26.449)
Amortized cost as of December 31st	250.100	326.600
Impairment reversals/charges	1	21
Balance sheet value as of December 31st	250.101	326.621

17. Derivatives held for risk management and hedge accounting

Fair value hedges of the interest rate risk

To minimize exposure to the interest risk on designated bonds and mortgage portfolios, the Group has entered into interest rate swaps. These derivatives have a nominal value of EUR 762 870 thousand (2024: EUR 762 870 thousand), and are hedging an equivalent value of mortgage assets.

The Group's exposure to interest rate risk, and the Group's method for managing this risk is disclosed in the note 31 of the annual report. By using derivative financial instruments to hedge exposures to changes in interest rates, the Group also exposes itself to credit risk of the derivative counterparty, which is not offset by the hedged item. The Group minimizes counterparty credit risk in derivative instruments by entering into transactions with high-quality counterparties.

All interest swaps are part of a hedge relation, where fair value hedge accounting is applied. In the fair value hedge accounting relations, the interest risk on the designated cash flows of the mortgage portfolio is mitigated. Hedge accounting is applied where economic hedging relationships meet the hedge accounting criteria.

The hedging relationship is not affected by IBOR reform as the swap hedging instrument is based on the EURIBOR rate and therefore not affected by IBOR reforms.

The hedge relation is determined on a monthly basis where the effectiveness is tested in the prospective test. The effectiveness is shown by the amount of the mutation in the fair value of the hedge instruments (cash flows of mortgages) are hedged by the fair value movement of the hedging instrument (interest swap). At the end of the monthly hedge relation period the actual ineffectiveness is measured in the retrospective test.

Ineffectiveness can be realized due to different reasons such as:

- Different timing in the cash flows of the mortgages in comparison to the interest swap;
- Deviations between the actual cash flows in comparison to the expected cash flows of the mortgages;
- A different movement in the yield curves on which the valuation of the derivative takes place, which is not covered in the hedge relation.

In the year 2025 the result of the hedge relation was EUR 661 thousand gain (2024: EUR 1 292 thousand gain). This result is presented under the 'Gains and losses from derivatives and financial instruments' in the consolidated statement of comprehensive income. The next table shows the details of the hedge accounting relation.

	Notional value EUR ('000)	Carrying value assets EUR ('000)	Carrying value liabilities EUR ('000)	Line item in balance sheet	Gains/(losses) from derivatives EUR ('000)	Line item in statement of comprehensive income
At 31 December 2025						
Interest rate swap	762.870	40.612	(12.719)	Derivative assets/(liabilities) held for risk management	661	Gains and losses from derivatives and financial instruments
Fair value adjustment hedged instrument		(29.847)	-	Mortgages		
At 31 December 2024						
Interest rate swap	762.870	36.005	(26.193)	Derivative assets/(liabilities) held for risk management	1.292	Gains and losses from derivatives and financial instruments
Fair value adjustment hedged instrument		(10.551)	-	Mortgages		

Collateral on the swaps is held at JP Morgan Chase and Citibank.

	Collateral value EUR ('000)	Reported under
At 31 December 2025		
JP Morgan Bank	12.681	Loans and advances owed to banks
Citi Bank	15.185	Loans and advances owed to banks
At 31 December 2024		
JP Morgan Bank	5.835	Loans and advances owed to banks
Citi Bank	3.348	Loans and advances owed to banks

The following table shows the maturity of the hedging instruments:

2025 EUR ('000)	Less than 3 months	3 - 12 months	1-5 years	More than 5 years	Total
Swap notional	-	-	257.000	505.870	762.870

18. Loans and advances to customers

	2025	2024
	EUR ('000)	EUR ('000)
Commercial real estate loans	737.145	585.964
Invoice finance	446	11.272
Asset finance	343.046	290.853
Negative customer deposit balances	12.115	13.253
Total Loans and advances to customers	1.092.752	901.342
Less: Allowances for impairment losses	(28.155)	(26.952)
Net loans and advances to customers	1.064.597	874.390

Commercial real estate

Property loans, or Commercial Real Estate lending, is funding provided to customers to purchase or develop corporate real estate for the customer's own use.

Property loans can be analyzed as follows:

	2025	2024
	EUR ('000)	EUR ('000)
Gross amounts of property loans receivables	737.145	585.964
Less than one year	94.802	93.144
One to five years	511.122	406.724
Greater than five years	131.221	86.095
Less: Allowances for impairment losses	(9.321)	(6.171)
Net loans and advances to customers	727.824	579.792

Asset finance

Asset finance can be analyzed as follows:

	2025	2024
	EUR ('000)	EUR ('000)
Gross amounts of asset financing receivables	343.046	290.853
Less than one year	136.537	112.205
Between one and two years	108.953	92.522
Between two and three years	78.046	68.337
Between three and four years	46.438	41.634
Between four and five years	18.421	16.424
Greater than five years	3.906	3.834
Unearned finance income	(49.255)	(44.103)
	343.046	290.853
Less: Allowances for impairment losses	(7.007)	(5.097)
Net loans and advances to customers	336.039	285.756

Invoice financing

Invoice financing can be analyzed as follows:

	2025	2024
	EUR ('000)	EUR ('000)
Gross amounts of invoice financing receivables	446	11.272
Less than one year	446	11.272
One to five years	-	-
Greater than five years	-	-
Less: Allowances for impairment losses	(318)	(3.144)
Net loans and advances to customers	128	8.128

19. Mortgages

	2025	2024
	EUR ('000)	EUR ('000)
Mortgages	1.462.847	1.251.771
Less: Allowances for impairment losses	(356)	(125)
Net Mortgages at amortized cost	1.462.491	1.251.646

bunq mortgage label

In 2022 the Group announced the creation of the bunq mortgage label. In order to facilitate this label a subsidiary Another Mortgage 3 B.V. was incorporated. Another Mortgage 3 B.V. is wholly owned by the Group and therefore, per IFRS 10, the SPV is consolidated into the Group annual financial statements.

Mortgages have fixed interest rates for periods between 1 month up to 30 years. The interest percentages on the mortgage portfolios are between 0.75% and 4.60%.

All mortgages are for owner occupied properties only and have first ranking mortgage rights.

Securitized mortgages

During the year, a portfolio of eligible mortgages originated by Another Mortgage III B.V., totaling EUR 711,1 million, were securitized in a special purpose vehicle (SPV). The SPV Solitaire II B.V. created Notes, of which 100% was transferred to bunq B.V. The securitized mortgages are consolidated in the annual accounts, and therefore are not represented in the movement schedule below.

In the 2021 financial year 2 mortgage portfolios, totaling EUR 375,4 million, were similarly securitized into the SPV Solitaire I B.V..

The notes issued in 2021 are held by bunq, held in custody at the European Central Bank (ECB), and are used as collateral to allow for further liquidity advances from the ECB. This allows the Group to invest a higher portion of user deposits. The nominal value of mortgages securitized and held as security at year end 2025 is EUR 269,7 million.

In both cases, the Group has maintained control over the SPVs, and therefore, per requirements set out in IFRS 10, the Group has consolidated the SPVs into the annual financial statements.

The portfolios have fixed interest rates for periods between 1 month up to 30 years. The interest percentages on the mortgage portfolios are between 0.75% and 2.97%.

All mortgages are for owner occupied properties only and have first ranking mortgage rights.

Below is an analysis of the movement in the total mortgage balances:

	2025	2024
	EUR ('000)	EUR ('000)
Mortgages	1.492.694	1.262.322
Allowances for impairment losses	(356)	(125)
Fair value hedge accounting	(29.847)	(10.551)
Balance sheet value as of December 31st	1.462.491	1.251.646
Movements during the year		
Cost as of January 1st	1.251.646	794.129
Net purchases	241.727	468.318
Amortization of premium/discounts	(679)	(125)
Cost as of December 31st	1.492.694	1.262.322
Accumulated amortization as of January 1st		
	(125)	(77)
Impairment provision/adjustment	(231)	(48)
Accumulated amortization as of December 31st	(356)	(125)
Offset of hedge accounting fair value		
	(29.847)	(10.551)
Balance sheet value as of January 1st	1.251.646	767.584
Net Mortgages at amortized cost	1.462.491	1.251.646

See note 35 for details of the Group's outstanding mortgage commitments as at 31 December 2025.

20. Inventory

The inventory at the Group consists of cards in stock, not personalized yet. The net realizable value is determined based on the contract value/lifetime of the user ordering a card, which is higher than the historical value and therefore there is no write-off applicable.

The cards are only recognized in fee expenses once ordered and personalized, as that makes the card usable for our users. The cards in stock are free of pledge.

During the year ended 31 December 2025, the Group recorded inventory costs of EUR 1 442 thousand in fee expense (2024: EUR 1 353 thousand)

21. Other Assets

	2025	2024
	EUR ('000)	EUR ('000)
Prepayments	3.587	2.370
Trade debtors	3.494	1.517
Unsettled transactions	15.242	18.457
Accrued income	18.411	23.506
Mortgage-related receivables	40.251	27.912
Other assets	3.343	3.910
Total	84.328	77.672

Unsettled transactions include balances arising from timing differences in the Group's settlement process between the cash settlement of a transaction and the de-recognition of the associated liability. The unsettled transactions within Other liabilities in note 27 are similar in nature except that the transactions represent a future outflow of cash.

The mortgage-related receivables balance consists of repayments of principal and interest to the mortgage servicers that are not yet transferred to the originators at the year end. All amounts are received within 30 days of the reporting date.

Other assets contain security deposits greater than 1 year, debt collected but not allocated and amounts receivable from portfolio managers.

The trade debtors balance can be further analyzed as follows:

	2025	2024
	EUR ('000)	EUR ('000)
Gross trade debtors	8.295	2.663
Allowance for bad debts	(4.801)	(1.146)
Total	3.494	1.517

22. Property plant and equipment

Cost	Leasehold improvements EUR ('000)	Equipment EUR ('000)	Right of use assets EUR ('000)	Total EUR ('000)
1 January 2024	746	2.929	2.578	6.253
Additions	4.431	986	5.583	11.000
Disposals	(31)	(660)	-	(691)
31 December 2024	5.147	3.254	8.161	16.562
Additions	131	311	166	607
Disposals	-	(178)	-	(178)
31 December 2025	5.278	3.387	8.327	16.991

Depreciation				
1 January 2024	374	1.939	1.236	3.549
Depreciation for the year	87	381	740	1.208
Impairment loss	(31)	(660)	-	(691)
31 December 2024	430	1.659	1.976	4.066
Depreciation for the year	985	552	1.100	2.637
Impairment loss	-	(178)	-	(178)
31 December 2025	1.416	2.033	3.076	6.525

Net book value				
31 December 2024	4.716	1.595	6.185	12.496
31 December 2025	3.862	1.353	5.251	10.466

Right of use assets

The Group leases a number of branch offices, namely in Amsterdam, Rotterdam, Sofia, Dublin and Istanbul. Leases typically run for a period of 5 years with renewal options on all the buildings at the 4-year mark. The Group also has a number of short-term vehicle leases which have a renewal period of 3 years.

Some leases of office premises contain extension options exercisable by the Group up to one year before the end of the non-cancellable contract period. Where practicable, the Group seeks to include extension options in new leases to provide operational flexibility.

The extension options held are exercisable only by the Group and not by the lessors. The Group assesses at lease commencement date whether it is reasonably certain to exercise the extension options. The Group reassesses whether it is reasonably certain to exercise the options if there is a significant event or significant changes in circumstances within its control.

23. Intangible assets and goodwill

Cost	Goodwill EUR ('000)	Customer relationships EUR ('000)	Brand EUR ('000)	Software EUR ('000)	Other EUR ('000)	Total EUR ('000)
Balance as of 1 January 2024	43.422	1.796	972	5.109	307	51.606
Additions	-	-	-	161	-	161
Disposals	-	-	-	-	-	-
Balance as of 31 December 2024	43.422	1.796	972	5.270	307	51.767
Additions	-	-	-	-	-	-
Disposals	-	-	-	(4)	-	(4)
Balance as of 31 December 2025	43.422	1.796	972	5.266	307	51.763

Amortization						
Balance as of 1 January 2024	-	1.035	272	1.527	137	2.971
Amortization for the year	-	102	171	190	170	633
Impairment loss	-	-	-	815	-	815
Disposals	-	-	-	-	-	-
Balance as of 31 December 2024	-	1.137	443	2.532	307	4.419
Amortization for the year	-	429	57	-	-	486
Impairment loss	-	-	-	687	-	687
Disposals	-	-	-	(4)	-	(4)
Balance as of 31 December 2025	-	1.566	500	3.215	307	5.588

Carrying amounts						
Balance as of 31 December 2024	43.422	659	529	2.738	-	47.348
Balance as of 31 December 2025	43.422	230	472	2.051	-	46.175

Goodwill impairment testing

Capitalflow goodwill

On 24 November 2021, bunq purchased 100% of the shares and voting rights of Capitalflow Group, which resulted in recognition of EUR 29,7 million of Goodwill. For the purposes of impairment testing, goodwill was allocated between the Group's Cash Generating Units ('CGUs') Corporate Real Estate, Asset Financing and Invoice Financing. During the year ended 31 December 2023, a decision was made to begin winding down the Invoice Financing portfolio and as such, EUR 2,1m of goodwill previously allocated to the Invoice Financing CGU was fully written off.

In line with IFRS, the recoverable amount for the CGU to which the goodwill has been allocated is estimated based on the value in use of the underlying Capitalflow asset portfolios, determined through a dividend discount model.

A summary of the allocation of the remaining goodwill balance and key judgements utilized within the impairment testing for the year ended 31 December 2025 is shown below.

	Method used for recoverable amount	Discount rate	Terminal growth rate	Goodwill allocated
Cash generating unit				
Corporate real estate	Value in use	14%	2%	18.692
Asset financing	Value in use	14%	2%	8.500
Total				27.192

No impairment losses were recognized on the Corporate Real Estate and Asset Financing CGUs during the period between the acquisition date and the 31 December 2025, year-end as the recoverable amounts of these portfolios were higher than their carrying amounts.

The dividend discount model uses 5 years of management approved plans, updated for expected changes in the macroeconomic environment. A long-term growth rate was used to estimate cash flows in the terminal period. Management estimates a post-tax discount rate of 14% based on the Cost of Equity and risk premiums. Management uses a terminal value growth rate of 2% based on the long-term outlook of the economy of Ireland based on research from the Economist Intelligence Unit. The key assumptions described above may change as economic and market conditions change.

Key assumptions in the goodwill impairment test are the locally available cash flows, discount rates and terminal growth rates. The recoverable amounts of the key CGU's are sensitive to the above key assumptions.

Sensitivity analysis has been performed on the key assumptions, including but not limited to growth rates of the portfolios, discount rates and credit loss rates. It has been determined that only in the case of an improbable change to these key assumptions is the recoverable amount of the CGU's lower than the carrying amount including goodwill.

tricount goodwill

On 4 May 2022, bunq purchased 100% of the shares and voting rights of tricount, which resulted in recognition of EUR 16,2 million of Goodwill.

During 2024, as a part of the planned integration strategy, the trade and assets of tricount were transferred into bunq, and the tricount legal entity was wound down. We have determined however that in line with IFRS 3, as the acquired assets and processes that make up tricount 'the business' have been retained, the future cash generating ability and synergies have also been retained and that therefore it is appropriate for the goodwill balance to be retained.

bunq maintains its conclusion that the tricount entity is not a separate CGU per IFRS criteria, and has therefore determined the entity of bunq to be the smallest identifiable CGU. bunq operates as a single entity driven by the app and not separated by divisions, regions or other separable criteria. The bunq CGU was also determined as the only CGU by assessing where the maximum synergies from the transaction would be. Maximum value will be realized at the bunq level through determination of the projected customer lifetime value for bunq versus the limited synergies attributable to tricount. As such, goodwill arising from the acquisition of tricount will be attributable to bunq.

In determining whether the goodwill is impaired, bunq has identified the recoverable amount of the bunq CGU based on the fair value less costs to sell. The recoverable amount of bunq has been calculated using the latest valuation price used when bunq has raised capital, prorated for subsidiary assets. The latest capital injection was in May 2024, which is the value used for the goodwill impairment exercise. The valuation price is the fair value of bunq to the parties involved, and is deemed a level 2 asset per the fair value hierarchy.

This recoverable amount is then compared to the carrying amount of the bunq CGU including goodwill.

As the recoverable amount is higher than the carrying value of the goodwill, goodwill is not impaired and no impairment charge was recognized for the year (2024: no impairment).

A sensitivity analysis was performed and deemed that only through an improbable change to key assumptions was the recoverable amount less than the carrying amount including goodwill of the bunq CGU.

Customer relationships

Customer relationships are intangible assets recognized in prior years in the acquisition of Capitalflow. The assets were valued based using the multi-period excess earning method. The multi-period excess earnings method considers the present value of net cash flows expected to be generated by the customer relationships, by excluding any cash flows related to contributory assets (including the capital requirements).

The intangible asset has a finite useful life and is amortized using the effective interest rate method based on underlying portfolio asset cash flows.

Brand name

Brand name intangible assets are assets recognized through the acquisition of tricount in the year ended 31 December 2022. The asset has a finite useful life of 5 years from purchase date and is amortized using the straight-line method over the useful life of the asset.

Software

Internally developed software was brought into use during the period by Capitalflow. After assessing the criteria set out in IAS 38 it was deemed internally developed software was eligible for capitalization during development.

The capitalised cost of internally developed software includes all costs directly attributable to developing software and is amortised over its useful life. The estimated useful lives of software for the current period is five years. . At year end there were no indicators of impairment of intangible assets in the Group.

Other

Other assets are made up of distribution networks and patent expenses recognized in the purchase of the Capitalflow Group in the prior year. The assets recognized have finite useful lives and are amortized on a straight line method.

24. Loans and advances owed to banks

	2025	2024
	EUR ('000)	EUR ('000)
Collateral accounts to other financial institutions	27.867	9.183
Total	27.867	9.183

Collateral accounts at other institutions contain an amount of EUR 27 867 thousand (2024: EUR 9 183 thousand) which has been collateralized for the fair value movement of the derivatives.

The rate of interest on the collateral account is a market related interest rate which is charged monthly by the counterparties. The balance of the collateral is held in Euros.

25. Customer Deposits

	2025	2024
	EUR ('000)	EUR ('000)
Consumer deposits	7.101.068	6.748.987
Business deposits	1.220.572	1.141.400
E-money deposits	1.532	1.397
Undesignated deposits	5.326	1.037
Foreign currency deposits	98.528	69.187
Total	8.427.026	7.962.008

All deposits from users are current account balances held by consumers or businesses. Not yet designated customer deposits consist of incoming payments that are under review before allocating to customer accounts or refunding back to the originator.

So-called e-money deposits are those where the user has not yet been verified. These accounts can be used up to EUR 150. When the amounts on the account exceed this, the account is frozen until verification.

Not yet designated deposits are those which are held in separate accounts before being distributed to users in order for the source of the funds to be determined, in line with anti-money laundering regulations. Further, funds which are required to be returned to senders due to incomplete payments are included here.

26. Provisions

	Legal and compensation	Property related	Total
Provisions as at 1 January 2024	782	-	782
Provisions realized	-	-	-
Provision reversed	(591)	-	(591)
Provisions raised	2.535	526	3.061
Provisions as at 31 December 2024	2.726	526	3.252
Provisions realized	-	-	-
Provision reversed	(56)	-	(56)
Provisions raised	2.562	30	2.592
Provisions as at 31 December 2025	5.232	556	5.788

The Group has created provisions for those matters for which the outcome is uncertain, but it is considered probable that there will be a future outflow of funds to a third party.

The provisions are measured at the best estimate of the amount expected to become payable.

Legal and compensation

During the ordinary course of business the Group may, from time to time, be subject to complaints, as well as threatened and actual legal proceedings. Any such material matters are periodically reassessed, with the assistance of external professional advisers where appropriate, to determine the likelihood of the Group incurring a liability. In those instances where it is concluded that it is more likely than not that a payment will be made, a provision is established to the Group's best estimate of the amount required to settle the obligation at the relevant balance sheet date. The Group's best estimate is based on legal advice and management's expectation of the most likely settlement outcome, which in some cases is calculated by external professional advisers. The timing of settlement of provisions for client compensation or litigation is dependent, in part, on the duration of negotiations with third parties.

The provisions balance includes amounts related to outcomes of regulatory reviews and other general legal matters. bunq has responded to the matter and will continue to monitor developments as the process unfolds.

Property-related

Property related provisions of EUR 556 thousand relate to dilapidation provisions expected to arise on leasehold premises held by the Group (2024: EUR 526 thousand). Dilapidation provisions are calculated using a discounted cash flow model.

The impact of discounting led to a charge of EUR 30 thousand (2024: EUR 8 thousand) being recognized during the year.

27. Other Liabilities

	2025	2024
	EUR ('000)	EUR ('000)
Lease liabilities	5.122	5.809
Unsettled positions	54.857	71.209
Creditors and accruals	35.478	25.560
Deferred income	6.281	4.694
VAT payable	4.891	6.481
Other liabilities	8.887	1.604
Prepaid mortgage payments	9	2
Share based payment liability	1.632	1.164
Total	117.157	116.523

28. Lease liabilities

Lease liability and maturity analysis of contractual undiscounted cash flows

	2025	2024
	EUR ('000)	EUR ('000)
Less than one year	724	707
One to five years	1.806	1.959
More than five years	2.737	3.143
Total	5.268	5.809

Amounts recognized in the statement of comprehensive income

	2025	2024
	EUR ('000)	EUR ('000)
Interest on lease liabilities	298	148
Depreciation charge	1.138	740
Expenses relating to short term leases	420	446
Total	1.856	1.776

29. Share capital, share premium and other reserves

Share capital

	Common shares	
	EUR ('000)	No. of shares ('000)
Balance as at 1 January 2024	145	14.458
Issue of shares during period	3	254
Balance as at 31 December 2024	148	14.712
Issue of shares during period	-	-
Balance as at 31 December 2025	148	14.712

The common share capital of bunq contains voting rights, has a par value of EUR 0,01 and is fully paid up. In the event that bunq B.V. has profits available for distribution to the shareholders in any accounting reference period, the shareholders shall procure, contrary to the articles of association, that the profit distribution will be paid on all shares held by bunq Holding B.V, Capitalflow Holding DAC and the remaining shareholder.

It was determined that through the repurposing of Stichting Stak Together I (the Stak) as a vehicle for the employee share option scheme, control over the Stak was gained in the financial year ended 2022. The Stak has control over 400 000 common shares of bunq B.V. amounting to a value paid of EUR 100 thousand.

After control of the Stak was obtained per the application of IFRS 10, the shares of bunq BV owned by the Stak are recognized as Treasury Shares as these shares are under the control of the Group. There are no costs associated with obtaining control over the Stak and therefore the Treasury Shares are measured at the value the Stak obtained the shares for.

In total 14 712 thousand common shares have been issued.

Share premium

	2025	2024
	EUR ('000)	EUR ('000)
Opening balance	405.725	374.228
Premium on issue of shares	-	31.497
Purchase of share options	-	-
Total share premium	405.725	405.725

The premium on issue of shares is due to the purchase of shares by the majority owner, the CIO and Capitalflow Holding DAC.

30. Share-based payments

The Group issues equity-settled share-based payment awards to certain employees, which are subject to service and vesting conditions. All equity-settled awards are measured at their fair value at the date of grant.

Employee Stock Option Plan

Early 2022 bunq introduced an Employee Stock Option Plan ('ESOP'), enabling all bunq employees to share in the success of their company. Options were granted twice a year based on performance and retention years and were purchased against fair value. The options are set to vest once the value of the Company exceeds a pre-set value per share (the 'Hurdle Price'). This plan ended in December 2024.

The options are granted with a fixed exercise price, are exercisable after they have vested and the hurdle price has been met, and expire after five years.

As options are purchased at fair value by employees, there is no effect on the statement of comprehensive income for the issuance of options. The increase in the equity reserves is the only effect of the options on the balance sheet.

Management Incentive Program

During 2024 bunq introduced a new Management Incentive Program ('MIP') for management and other key employees as a replacement for the previous ESOP scheme. Options are offered to the employees on one occasion, and have been granted a number of times since the inception of the scheme as a reward for performing well and to incentivize them to make bunq a success. All options were purchased by the employees at a discount to their fair value.

The scheme is made up of two options, which are granted in equal proportions based on the employee's contribution. The options are identical in all respects with the exception of the hurdle price that must be met before the options may vest, with one providing a more ambitious target.

Similarly to its predecessor, the MIP scheme options are granted with a fixed exercise price, are exercisable upon the occurrence of a liquidity event after they have vested and the hurdle prices have been met, and expire after eight years.

We calculate the overall cost of the option award using the number of options expected to vest and the fair value of the options at the grant date, less the cash receipts from their discounted sale to employees. The expense for the share options granted is recognized over the period between the grant date and the vesting date of those options. The overall cost is recognized as a personnel expense, with a corresponding increase in other reserves within equity, over the period that employees provide services. This is the period between the award being granted and the vesting date of the options.

Measurement approach

We measure the cost of all equity-settled options based on the fair value of the awards at the date of grant. We determine the grant date fair value using the barrier option pricing method discounted for the vesting period, which takes into account the terms and conditions attached to the awards. Inputs into the valuation models include the risk free rate, an estimate of our market share price, the hurdle share price, dividend yield and the expected volatility of the share price. Service and non-market performance conditions attached to the arrangements were not taken into account in measuring fair value.

The final fair value is calculated using a Gap Option model, based on a regular Black-Scholes option pricing formula, to value the options throughout their expected life. The fair values determined for each expected life assumption are then used to create a weighted average fair value for each option.

Valuation assumptions

Next to the share value at the grant date, the exercise price and the applicable hurdle prices, the key assumptions used in determining the values of options granted in the MIP scheme during 2025 are detailed below.

Valuation assumptions	2025	2024
Risk-free rate	1,78% - 2,40%	2,27% - 2,70%
Volatility	39,29% - 40,22%	38,94% - 39,60%
Dividend yield	nil	nil
Expected life	3 - 8 years	3 - 8 years

The share value at the grant date has been estimated based on the most recent valuation from a capital transaction with an external party.

The expected volatility was determined by assessing the historical volatility of listed comparable companies to obtain an estimated 'implied' volatility. The yield on 10 year Netherlands government bonds at the grant date of the scheme has been used to ascertain the risk-free rate.

Calculating the fair value of options in private companies requires making highly subjective assumptions including the methodology used. These assumptions can materially affect the fair value of share-based payments. A 10% increase in the share price assumption would result in approximately an additional EUR 149 thousand charge in the year ending 31 December 2025 (2024: EUR 100 thousand). Several external sources are used to assess comparable companies which may not fully represent bunq.

Reconciliation of outstanding share-based payment awards

A reconciliation of the ESOP scheme option movements over the years ended 31 December 2025 and 2024 is shown below:

ESOP Scheme	Weighted average exercise price		Weighted average exercise price	
	2025	2025	2024	2024
Outstanding at the beginning of the year	90,57	160.286	95,74	127.044
Granted during the year	-	-	73,36	37.412
Exercised during the year	-	-	-	-
Sold or forfeited during the year		(8.904)	-	(4.170)
Outstanding at the end of the year	90,62	151.382	90,57	160.286

A reconciliation of the MIP scheme option movements over the years ended 31 December 2025 and 2024 is shown below:

MIP Scheme	Weighted average exercise price		Weighted average exercise price	
	2025	2025	2024	2024
Outstanding at the beginning of the year	73,36	765.258	-	-
Granted during the year	73,36	144.150	73,36	765.258
Exercised during the year	-	-	-	-
Sold or forfeited during the year	73,36	(1.406)	-	-
Outstanding at the end of the year	73,36	908.002	73,36	765.258

The outstanding options' weighted average remaining contractual life by exercise price as of 31 December 2025 is shown below:

	Exercise price (EUR)	Weighed average remaining contractual life (years)
ESOP scheme	90,62	2,1
MIP scheme	73,36	6,3

No share options have been exercised during the period (2024: nil).

31. Risk Management

Basis of disclosure

The risk management section contains information relating to the nature and extent of the risks of financial instruments as required by International Financial Reporting Standards (IFRS) 7 'Financial Instruments: Disclosures'.

bunq B.V. Group is exposed to the following risks:

Overview of risk categories

Risk categories	Sub categories	Defined as:
Financial risk	Credit risk	Risk of potential loss due to default by the Group's debtors or trading counterparties
	Financial stability risk	The risk that the Group cannot meet minimum capital requirements or financial liabilities when they become due at a reasonable cost and in a timely manner
	Market risk	The risk of potential loss due to adverse movements in market variables
Non-financial risk	Compliance risk	A threat posed to the Group's standing resulting from a failure to act in line with applicable laws and regulations, internal rules and/or societal expectations
	Legal risk	The risk of loss resulting from disputes for or against the company, failure to correctly document, enforce or adhere to contractual arrangements, inadequate management of non-contractual rights. We consider separately this operational risk due to its specific nature
	Operational risk	The risk of direct or indirect loss arising from inadequate or failed internal processes, people and systems or from external events

Overarching risks	Business and strategic risk	The value or earnings loss due to business and strategic decisions that do not materialize as planned. This risk can be expressed in terms of volumes, margins, expenses and fees and commissions
	Conduct risk	The risk of failing to meet appropriate standards of consumer protection
Transversal risks	Climate risk	The risk of losses arising from any negative financial impact on the institution stemming from the current or prospective impacts of environmental, social or governance factors on the institution's counterparties or invested assets

Risk Management framework

The Group's managing board has overall responsibility for the establishment and oversight of the Group's risk management framework. The managing board has established that bunq use a Three lines of defense model:

- First line – Business Operations, whose main responsibility is to carry out activities aimed at achieving bunq's business objectives;
- Second line – Risk and Compliance, whose main responsibilities are: maintaining a comprehensive understanding of the risk that bunq faces and alerting management in case of changes to the risk profile or the environment in which it operates; challenging the activities, processes, and controls in the First line;
- Third line – System Checker, or the internal audit, which provides an independent and objective perspective on the design and effectiveness of internal systems that are aimed at achieving the business objectives.

The managing board steers bunq's risk management approach by approving risk management policies at the Group level.

The purposes of the Group's risk management policies is to identify and analyze the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. The Group has specified its risk limits and articulated its appetite for risk taking in a Risk Appetite Statement, which is reviewed and updated frequently and approved by the Managing and Supervisory Board.

The risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Group's Risk Committee oversees how management monitors compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group. The committee regularly monitors subsidiaries based outside of the Netherlands to ensure compliance with risk policies and to ensure sufficient safeguards are in place in Group subsidiaries.

The Risk Committee complements the oversight role of the Supervisory Board with insights obtained by the System Checker (Internal Audit). bunq's System Checker serves as our robust third line of defense. The internal team evaluates the sufficiency and efficiency of our governance, risk management, and control systems. The System Checker ensures thorough evaluations, fostering continuous improvement. Their findings are transparently communicated to both management and the governing body, in alignment with our System Checker Charter. The Audit Plan is defined yearly on a risk-based approach and submitted to management and governing body approval. Next to that, regular penetration tests and reviews are performed of the Group's IT and network infrastructure, as well as the systems and the app, by a specialized white hacker agency.

A. Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Group's loans to customers.

Management of credit risk – default risk

Credit risk arises from exposures to customers and counterparties and primarily relates to credit provided through a subsidiary, as well as the investment and mortgage portfolios. Additional sources of credit risk include deposits held with other banks for operational purposes, limited exposures to financial institutions and customers resulting from unsettled transactions and direct debits that may be returned or rejected, and trade receivables included in other assets.

Credit risk on funds provided to customers is mitigated through the application and control of the Group's underwriting and arrears-management functions. The credit risk function is responsible for, among others:

- Formulating and maintaining credit risk policies, methodologies and risk appetite parameters
- Establishing and monitoring credit approval and authorization structures
- Developing, maintaining and overseeing processes for measurement and monitoring of expected credit losses
- Reviewing and assessing credit risk
- Setting, monitoring, and reporting concentration limits across products, counterparties and portfolios
- Maintaining internal credit grading and scoring frameworks
- Providing independent guidance and risk expertise to the Management Board in relation to credit decisions, portfolio developments and new product initiatives

Board-approved Credit Risk policies are in place across the Group and enable the Group to achieve sustainable risk and reward performance whilst maintaining credit exposures within acceptable parameters. The Board is responsible for setting and understanding the Group's credit risk profile, in comparison with an established risk appetite, and monitor ongoing credit risk performance on a regular basis.

Assets subject to credit risk include:

- Cash balances with central banks (note 14)
- Loans and advances to banks (note 15)

- Loans and advances to customers (note 18)
- Investments at amortized costs (note 16) and
- Mortgages (note 19)

On the 31st of December 2025, all loans and advances to banks were at institutions with a credit rating of A or higher (Moody's/S&P). No risk appetite limit has been breached in 2025.

Credit risk in the investment portfolio is managed through the establishment and ongoing monitoring of minimum acceptable credit ratings for issuers and counterparties. All new fixed income investments and investments in fixed term funds are made with institutions that meet a minimum credit rating threshold of BBB-, as assessed by recognised rating agencies.

The maximum exposures allowed for bonds, commercial paper and certificates of deposits that have a credit rating between BBB- - BBB+ is up to EUR 50 million for maturities less (or equal) than 6 months and EUR 25 million for other maturities. For structured credit (ABS, CLO, RMBS), the maximum exposure allowed for ratings A- and above is up to EUR 30 million and between BBB- to BBB+ is up to EUR 20 million.

All loans to customers are scrutinized before granting. Each loan is reviewed and granted based on its own risk profile. The risk relating to loans to customer portfolios is minimal.

Credit risk for mortgages is managed by focusing on high-quality residential lending. Mortgages are only originated for properties in the Netherlands that serve as the borrower's primary residence. Each mortgage is secured by first or first-and-sequentially-ranking mortgages rights, with a maximum legal term of 30 years.

To further mitigate risk, at least 95% of mortgages have a loan-to-value (LTV) ratio of no more than 80% or are backed by the Nationale HypotheekGarantie (NHG). In addition, a maximum exposure of 1.0 million applies to each individual borrower.

Management of credit risk - concentration risk

Concentration risk arises from the Group holding substantial balances in demand accounts with the central bank, as well as significant placements with a limited number of financial institutions. The Group actively monitors and assesses all major exposures to ensure that concentration risk remains within the parameters set by the Groups/ risk appetite. Overall, the risk is considered low. To enhance this monitoring framework, the credit risk concentration model was recently updated.

2025 EUR ('000)	Cash and balances with central banks	Loans and advances to banks	Mortgages/investments	Other assets and derivatives	Off balance sheet items	Total
Netherlands	3.872.293	20.461	1.557.412	54.530	65.862	5.570.558
Germany	199.641	-	114.108	50.982	-	364.731
Ireland	-	1.628	1.320.795	15.262	-	1.337.685
United Kingdom	-	25.175	147.060	1.257	-	173.492
Bulgaria	-	-	-	6	-	6
Belgium	-	11	79.402	174	-	79.587
France	-	29.602	151.156	500	-	181.258
Spain	618	12.633	-	1.573	-	14.824
Finland	-	-	58.694	28	-	58.722
Luxembourg	-	1.080	1.409	-	-	2.489
Japan	-	-	1.001	-	-	1.001
Poland	-	-	371	3	-	374
Turkey	-	160	-	11	-	171
United States of America	-	88	60.000	412	-	60.500
Switzerland	-	-	80.133	-	-	80.133
Italy	-	-	21.922	8	-	21.930
Slovakia	-	-	9.961	183	-	10.144
Lithuania	-	-	5.057	-	-	5.057
Canada	-	-	26.973	-	-	26.973
Other	-	-	632	11	-	643
Total gross amount	4.072.552	90.838	3.636.086	124.940	65.862	7.990.278
Impairments	-	(8)	(401)	-	-	(409)
Total carrying amount	4.072.552	90.830	3.635.685	124.940	65.862	7.989.869

Note– derivative exposure is included in “investments in the Netherlands” above.

2024 EUR ('000)	Cash and balances with central banks	Loans and advances to banks	Mortgages/investmen ts	Other assets and derivatives	Off balance sheet items	Total
Netherlands	108.614	18.336	1.371.737	40.729	72.694	1.612.110
Germany	4.948.211	-	126.393	33.292	-	5.107.896
Ireland	-	2.245	250.160	11.295	-	263.700
United Kingdom	-	18.227	96.883	108	-	115.218
Bulgaria	-	-	-	6	-	6
Belgium	-	25	80.168	138	-	80.331
France	-	46.020	183.200	501	-	229.721
Spain	824	12.434	-	1.047	-	14.305
Finland	-	-	10.000	28	-	10.028
Luxembourg	-	-	1.432	2	-	1.434
Japan	-	-	1.002	-	-	1.002
Poland	-	-	374	3	-	377
Austria	-	-	10.000	153	-	10.153
Turkey	-	99	-	11	-	110
United States of America	-	-	34.817	39	-	34.856
Switzerland	-	-	90.342	-	-	90.342
Italy	-	-	48.365	(82)	-	48.283
Slovakia	-	-	9.966	211	-	10.177
Lithuania	-	-	4.923	-	-	4.923
Canada	-	-	25.079	-	-	25.079
Total gross amount	5.057.649	97.386	2.344.841	87.481	72.694	7.658.280
Impairments	-	-	(27.105)	-	-	(27.105)
Total carrying amount	5.057.649	97.386	2.317.736	87.481	72.694	7.631.175

Concentration risk per industry

Industry	2025	2024
EUR ('000)		
Residential mortgages - Netherlands	1.462.491	1.324.340
Cash at central banks	4.072.552	5.057.649
Investments in oil, gas and energy production	-	-
Commercial real estate	579.596	459.723
Agriculture	40.798	34.936
Construction and manufacturing	90.410	79.606
Mining	-	-
Quarrying	7.499	7.843
Transport	106.136	94.056
Fossil fuel trading	-	-
Other industries	155.477	137.174
Green bonds (per below)	66.390	69.846
Financial institution's swap collateral	-	-
IT services	1.964	1.691
Banking investment products	2.252.217	1.127.031
Public administration	-	34.308
Total carrying amount	8.835.530	8.428.203

Investments in Climate Bond Initiative (CBI) Aligned Green bonds are broken down into the following industries

Industry	2025	2024
EUR ('000)		
Financial Services	60.918	64.477
Industrial services	371	374
Social Services	5.101	4.995
Total carrying amount	66.390	69.846

Investments in green bonds are broken down into the following countries

Country	2025	2024
EUR ('000)		
Poland	371	374
France	63.609	67.038
Japan	1.001	1.002
Luxembourg	1.409	1.432
Total carrying amount	66.390	69.846

Investments in green bonds have the following ratings

Rating	2025	2024
EUR ('000)		
AAA	1.409	1.432
AA-	63.609	67.038
A+	1.001	1.002
A	371	374
A-	-	-
Total carrying amount	66.390	69.846

Exposure to credit risk

The table below details the company's exposure to credit risk for each asset class in the financial statements. The credit risk exposure amounts do not include off balance sheet values nor do the values include impairments or provisions for impairments.

EUR ('000)	2025	2024
Loans and advances to banks	90.838	97.901
Loans and advances to customers	1.092.752	901.342
Mortgages	1.462.847	1.251.771
Investments at amortized cost (other)	2.173.239	1.093.070
Derivatives	31.001	11.573
Total carrying amount	4.850.677	3.355.657

The following table presents information on the credit quality of financial assets measured at amortized cost. Unless otherwise stated, the amounts shown represent the gross carrying amounts of the assets.

Credit quality is determined on a per asset basis, taking into account factors such as repayment and prepayment history, days of arrears, entity credit rating and prevailing market conditions.

EUR ('000)	Stage 1	Stage 2		Stage 3		Total		
	2025	2024	2025	2024	2025	2024	2025	2024
Gross amount of financial instrument								
Loans and advances to banks	90.838	97.901	-	-	-	-	90.838	97.901
Bonds	236.925	271.073	-	-	-	-	236.925	271.073
Mortgages	1.461.226	1.250.655	489	787	1.132	204	1.462.847	1.251.646
Loans and advances to other institutions	-	-	-	-	-	-	-	-
Fixed term funds	75.667	105.320	-	-	-	-	75.667	105.320
Fixed income investments	80.133	90.342	-	-	-	-	80.133	90.342
Asset backed securities	240.399	315.423	9.708	11.205	-	-	250.107	326.628
Collateralized loan obligations	1.333.600	218.500	-	-	-	-	1.333.600	218.500
Commercial paper	49.747	49.617	-	-	-	-	49.747	-
Capital call lending	147.060	31.590	-	-	-	-	147.060	-
Advances to customers - deposits	-	-	-	-	12.115	13.253	12.115	13.253
Advances to customers	1.016.558	814.738	29.182	55.309	34.897	19.185	1.080.637	889.232
Derivatives	40.612	36.005	-	-	-	-	40.612	36.005
Total gross value	4.772.765	3.281.164	39.379	67.301	48.144	32.642	4.860.288	3.381.107
Expected credit loss							-	-
Loans and advances to banks	8	10	-	-	-	-	8	10
Bonds	6	14	-	-	-	-	6	14
Mortgages	184	78	38	19	134	27	356	125
Loans and advances to other institutions	-	-	-	-	-	-	-	-
Fixed term funds	-	-	-	-	-	-	-	-
Fixed income investments	-	-	-	-	-	-	-	-
Asset backed securities	4	5	2	2	-	-	6	7
Collateralized loan obligations	24	4	-	-	-	-	24	4
Commercial paper	1	1	-	-	-	-	1	1
Capital call lending	7	1	-	-	-	-	7	1
Advances to customers - deposits	-	-	-	-	11.509	12.540	11.509	12.540
Advances to customers	5.252	4.662	1.424	1.837	9.969	7.771	16.646	14.270
Derivatives	-	-	-	-	-	-	-	-
Total expected credit losses	5.486	4.775	1.464	1.858	21.612	20.338	28.563	26.972

Continued...

EUR ('000)	Stage 1	Stage 2		Stage 3		Total		
	2025	2024	2025	2024	2025	2024	2025	2024
Net amount of financial instruments							-	-
Loans and advances to banks	90.830	97.891	-	-	-	-	90.830	97.891
Bonds	236.919	271.059	-	-	-	-	236.919	271.059
Mortgages	1.461.042	1.250.577	451	768	998	176	1.462.491	1.251.521
Loans and advances to other institutions	-	-	-	-	-	-	-	-
Fixed term funds	75.667	105.320	-	-	-	-	75.667	105.320
Fixed income investments	80.133	90.342	-	-	-	-	80.133	90.342
Asset backed securities	240.395	315.418	9.706	11.203	-	-	250.101	326.621
Collateralized loan obligations	1.333.576	218.496	-	-	-	-	1.333.576	218.496
Commercial paper	49.746	49.616	-	-	-	-	49.746	49.616
Capital call lending	147.053	31.589	-	-	-	-	147.053	31.589
Advances to customers - deposits	-	-	-	-	606	713	606	713
Advances to customers	1.011.306	810.076	27.758	53.472	24.928	11.414	1.063.991	874.962
Derivatives	40.612	36.005	-	-	-	-	40.612	36.005
Net carrying amount	4.767.279	3.276.390	37.915	65.443	26.532	12.303	4.831.725	3.354.135

Internal credit ratings of Capitalflow assets

The tables below present the portfolio composition per internal credit rating categories. Each portfolio has a specific set of scales used to classify the credit quality of an asset. These credit ratings are used by the risk department to monitor and manage the credit risk of the portfolios held by Capitalflow. All Capitalflow assets are denoted as “Advances to Customers” in the table above.

Corporate Real Estate (CRE) loans are rated internally using the scales shown below, with the first column indicating the loan-to-value (LTV) of each asset.

2025						
EUR '(000)	Strong	Good	Satisfactory	Watchlist	Default	Total
< 50%	36.516	25.918	9.379	124	-	71.938
< 60%	15.954	102.312	63.767	4.085	535	186.653
< 70%	77.917	137.730	127.440	6.901	18.874	368.862
< 80%	4.315	37.025	65.745	4.637	-	111.722
Total	134.702	302.986	266.332	15.746	19.409	739.175
2024						
EUR '(000)	Strong	Good	Satisfactory	Watchlist	Default	Total
< 50%	30.653	17.653	12.000	-	-	60.307
< 60%	12.205	83.949	56.048	447	2.604	155.253
< 70%	39.170	100.305	113.011	13.361	5.598	271.444
< 80%	11.130	29.945	54.064	4.068	440	99.646
Total	93.158	231.852	235.123	17.875	8.643	586.651

The Invoice Finance (ABL) internal risk grade scale and distribution is as follows.

Internal credit rating EUR '(000)	Notional 2025	Notional 2024
2 Satisfactory Risk	-	5.264
3 Fair Risk	-	2.200
4 Watchlist	-	624
5 Substandard	-	-
6 Bad and Doubtful	3.383	3.161
Total	3.383	11.249

Asset Finance (AF) doesn't have the same internal rating approach as ABL and CRE, but the below tables provide some guidance as to the current riskiness of the portfolio.

Internal credit rating EUR '(000)	Notional 2025	Notional 2024
No Arrears	329.747	281.733
1-30 Days in Arrears	2.561	3.177
30-90 Days in Arrears	2.209	2.310
In Default	9.186	4.332
Total	343.702	291.551

Credit ratings of investments at amortized cost

The table below presents the credit ratings of the investments classified as measured at amortized cost. The most recent credit ratings available from third-party credit rating agencies have been used as at the reporting date.

Investments credit rating									
Book value EUR '(000)	Prime	High Grade			Upper Medium Grade		Lower Medium Grade		Total
	AAA	AA+	AA	AA-	A+	A	A-	BBB+	
Asset backed securities	246.680	2.884	543	-	-	-	-	-	250.107
Bonds	24.426	71.034	-	82.995	6.058	371	19.961	32.080	236.925
Capital call lending	-	-	-	-	147.060	-	-	-	147.060
Collateralized loan obligations	1.333.600	-	-	-	-	-	-	-	1.333.600
Commercial paper	-	-	-	-	49.747	-	-	-	49.747
Fixed income investments	80.133	-	-	-	-	-	-	-	80.133
Fixed term funds	75.667	-	-	-	-	-	-	-	75.667
Total	1.760.506	73.918	543	82.995	202.865	371	19.961	32.080	2.173.239

Amounts arising from ECL

Amounts arising from Expected Credit Losses (ECL) are included within the amortized cost of the relevant assets in the statement of financial position.

In assessing ECL, the Group evaluates, at each reporting date, whether the credit risk of an asset has increased significantly since its initial recognition, across all asset classes. This assessment considers all reasonable and supportable information that is available without undue cost or effort, including both quantitative and qualitative data. The analysis is based on historical experience, expert credit judgement, and forward-looking information.

The objective is to determine whether a significant increase in credit risk has occurred for a given exposure by comparing:

- The remaining lifetime probability of default (PD) as at the reporting date; with
- The remaining lifetime PD at initial recognition (adjusted where appropriate for changes in prepayment expectations).

The Group uses three criteria to identify a significant increase in credit risk:

- Quantitative assessment based on changes in PD;
- Qualitative indicators;
- Past-due backstops: 30 days for Stage 2 exposures, and 90 days for Stage 3 exposures.

Under IFRS 9, financial assets are classified into three stages based on their credit risk:

- Stage 1 consists of performing assets accounts where the credit risk on the underlying financial instrument has not increased significantly since initial recognition. For these assets, the loss allowance is measured based on 12-month expected credit losses.
- Stage 2 consists of performing assets that have experienced a significant increase in default risk but are not credit impaired. For these accounts, the loss allowance is measured based on lifetime expected credit losses.
- Stage 3 consists of defaulted accounts (credit impaired). Similar to stage 2, the loss allowance for Stage 3 assets is measured based on lifetime expected credit losses. Defaulted assets include accounts that are more than 90 days past due, have breached financial covenants, or have experienced other events of default.

Credit grades based on qualitative criteria

Due to lack of sufficient internal data, stage allocation has been primarily developed based on qualitative criteria which are informed by expert judgment where the above backstops are not available. More advanced methods such as the use of changes in Lifetime PD, 12m PD or PD grade deterioration are utilized for defining stages in this model only for Commercial Property.

Portfolios held in Ireland

The Group recognizes that credit loss, as defined by the IFRS 9 standard as the present value of cash shortfalls, is equivalent to calculating the sum of discounted marginal losses. Marginal losses are further derived from risk parameters of PD, EAD and LGD. To achieve an unbiased estimate that reflects reasonable and supportable information, including current and future economic conditions, the Group adjusts long-run estimates of risk parameters, to obtain Point in Time (PIT) estimates.

An internally developed model and macroeconomic model is employed that uses GDP growth and unemployment forecasts to estimate portfolio default rates and translate them into PIT PDs. This results in PD grades that reflect S&P benchmarks from Global Credit Data (GCD) data.

EAD values are assumed not to vary from the long-run estimate across the cycle. Therefore, no PIT adjustment is performed.

The IFRS 9 standard requires expected credit losses that are unbiased and probability weighted. In the Group's approach, the Group recognises that whilst the future of the world is uncertain, like any other random process it is possible to model the distribution of future losses and its evolution over time. The Group has therefore chosen to model the weighted-average ECL using three weighted economic scenarios:

- Base – 50%
- Upside – 15%
- Adverse – 35%

Scenario weights are set using industry benchmark analysis, EBA benchmark data and EBA stress test assumptions, supported by internally replicated scenario paths. The scenarios reflect varying macroeconomic conditions, from expected performance (Base) to favourable (Upside) and adverse outlooks.

For the Commercial Real Estate portfolio, LGD is determined using a Cure and Forced Sale model structure, where expected losses are driven by projected collateral recoveries at the point of disposal. Collateral values are forecast using externally benchmarked HPI and MSCI indices (replacing the previous Monte Carlo approach), and adjusted for sale costs, forced sale discounts and time to sale. The Probability of Cure has been recalibrated and benchmarked against Global Credit Data (GCD), ensuring alignment with broader market experience and improving the transparency and defensibility of recovery assumptions.

For the Asset Finance (AF) portfolio, LGD is based on an internally calibrated cure and write-off framework grounded in observed historical loss experience. Non-performing LGD is segmented by time-in-default and has been refined using actual recovery data to reduce conservatism and improve accuracy, while cure rates and loss-given-cure assumptions remain supported by back-testing and remediation analysis.

Macroeconomic models

The previous Credit Cycle Index (CCI) and Monte Carlo simulation approach used to generate forward-looking probability of default estimates was replaced with macroeconomic models designed to better capture the relationship between economic conditions and portfolio default rates.

For the Asset Finance portfolio, default rates are estimated using a macroeconomic model incorporating historical relationships between observed default rates and key macroeconomic variables. The primary drivers included in the model are gross domestic product and unemployment.

For the Commercial Real Estate portfolio, default rates are estimated using a regression-based macroeconomic model which assesses the relationship between macroeconomic conditions and observed default rates. The model incorporates a range of economic and property market indicators, including gross domestic product, unemployment, inflation and property price indices.

In line with IFRS 9 requirements, macroeconomic forecasts are applied over a three-year reasonable and supportable forecast period. Beyond this horizon, model outputs gradually revert to the long-run average (LRA) of default rates to ensure stability in lifetime expected credit loss estimates.

Portfolios in the Netherlands

Mortgages

A significant part of the mortgage portfolio is covered by the Nationale Hypotheek Garantie (NHG) program. This guarantee is provided by Stichting Waarborgfonds Eigen Woningen, and is supported by the Dutch government in the event of borrower default or illiquidity. Mortgages under the NHG are treated in accordance with the Group's credit risk framework for government-guaranteed loans.

This guarantee applies if the borrower is unable to meet their mortgage obligations and a shortfall remains after a forced sale of the property. In such cases, the NHG will cover 90% of this remaining debt.

As of December 31, 2025, 92,21% of the mortgage portfolio is covered by NHG insurance. The total value of the collateral covered accounts for EUR 1.389,442,963 (2024: 1,170,533).

The total amount of the collateral on the mortgages that are not covered by NHG amounts to EUR 101,568,139 (2024: EUR 583,220). The loan to value (LTV) ratio of the mortgages covered by NHG is 74,46% %, while those not covered by NGH is currently 57.35%. Average LTV is 68,48% for the mortgage portfolios.

Under IFRS 9, exposures more than 90 days past due are considered in default and classified as Stage 3. Additionally, if a borrower has over 20% of their total exposures in default, all exposures for that borrower are classified as Stage 3. Exposures in a probation period that become more than 30 days past due will also be returned to defaulted status.

Sensitivity of ECL to future economic conditions in the Netherlands

The Expected Credit Losses (ECL) are sensitive to the judgements and assumptions used in developing forward-looking scenarios and incorporating them into the calculations. Management performs a sensitivity analysis on the ECL recognized on material classes of its assets. The Potential of Default (PD) and the Loss Given Default (LGD) are the key factors driving ECL across the portfolios. The results of the sensitivity analysis on the expected credit losses on the statement of profit and loss are presented below:

Scenario ECL output			
EUR ('000)	Pessimistic	Base	Optimistic
Change in provision as at 31 December 2025	(4)	(1)	24

The table discloses the total changes in expected credit loss allowances.

ECL Mortgage model

For the 2025 reporting period, the Expected Credit Loss (ECL) on our mortgage portfolio was calculated using the model developed and implemented in December 2024. This model was based on bunq's early historical credit loss data and served as a foundational step in our risk modeling capabilities.

In our continuous effort to refine and enhance our risk management framework, we redeveloped this methodology throughout Q3 and Q4 of 2025. As of December 31, 2025, a new, more sophisticated ECL model has been finalized. This updated model for all ECL calculations from the 2026 reporting period onwards. The methodology and its assumptions will continue to be reviewed regularly, with ad-hoc reviews triggered by significant changes in portfolio composition, market conditions, or the availability of new internal data.

Probability of Default (PD)

Under IFRS 9, loans are classified into different stages based on creditworthiness, a classification that is integrated into bunq's mortgage ECL model. Stage 1 consists of performing loans, Stage 2 covers underperforming loans, and Stage 3 includes credit impaired loans. The Probability of Default (PD) for each stage is calculated distinctly.

Stage 1: the model remains a Point-in-Time (PiT) logistic regression, but its predictive features have been enhanced to combine both structural and short-term behavioural risk

drivers for greater accuracy. The scorecard now incorporates dynamic behavioural indicators including current LTV and recent arrears history. This approach ensures the model provides a stable and intuitive representation of default risk by blending long-term loan characteristics with recent payment behaviour.

Stage 2: the model uses a lifetime PD based on historical observed default rate (ODR) by looking at the total number of accounts that have defaulted after they have entered Stage 2 in the same period as the Stage 1 scorecard. The value is based upon the current Stage 2 default data available from bunq's portfolio, from January 2021 to November 2025.

Stage 3: the PD value for Stage 3 mortgages is set to 100%. Under IFRS 9, Stage 3 loans include non-performing loans, meaning, they have either been in default for a prolonged period or are otherwise deemed unlikely to be repaid in full.

Loss Given Default (LGD)

The redeveloped Loss Given Default (LGD) methodology has been significantly enhanced to produce a more dynamic, risk sensitive, and forward-looking estimate, in full compliance with IFRS 9 principles.

At its core, the methodology calculates the LGD under multiple macroeconomic scenarios. This includes a baseline scenario, which assumes normal market conditions, and a pessimistic scenario, which quantifies risk in a stressed housing market. To stimulate these distinct conditions, the model applies a specific property value decline parameter to each; a modest decline and a significantly more severe for the downside scenario, which is benchmarked against historical market crises.

The final LGD figure used in our Expected Credit Loss (ECL) calculation is then determined as a probability-weighted average of the outcomes from these two scenarios, using weights of 80% for the baseline and 20% for the pessimistic scenario. This blended approach results in a new, more robust LGD, ensuring that the risk of a potential market downturn is inherently captured within our ECL provisions for a more comprehensive and prudent assessment of potential credit losses.

Macroeconomic Scenarios

In compliance with IFRS 9, our Expected Credit Loss (ECL) model must incorporate forward-looking macroeconomic information. To enhance the robustness and transparency of this process, bunq has redeveloped our methodology and implemented a distinct, isolated macroeconomic model.

The development of this new model was grounded in a robust, publicly available proxy for economic stress: a long-run historical arrears series for the Netherlands sourced from Eurostat. The data sources and variables are as follows:

- Centraal Bureau voor de Statistiek (CBS) for House Price Index (HPI)
- OECD for GDP growth and unemployment

To complement the baseline ECL model, bunq has developed a robust stress testing framework designed to assess the resilience of its mortgage portfolio under adverse conditions. This model leverages the core ECL methodology to quantify the potential impact on credit provisions across two distinct scenarios, each simulating a severe but plausible economic crisis.

Treasury ECL Model

The Expected Credit Loss (ECL) model for the Treasury portfolio was developed in February 2023 with the purpose of determining the ECL for all investments managed by Treasury that are accounted for at amortized cost under IFRS 9. This comprehensive framework covers a diverse range of assets including bunq's Bond, Asset-Backed Securities (ABS) and Collateralized Loan Obligations (CLO) portfolios, as well as deposits held with other financial institutions. At the closing of each reporting period, the model's output provides both the individual and total ECL for the entire fixed-income portfolio.

To ensure the integrity and methodological soundness of this framework, the Treasury ECL model was subjected to a rigorous independent validation by an external party in November 2025. The validation confirmed that the model is robust, conceptually sound, and fit for its intended purpose under the IFRS 9 framework.

Probability of default

The Probability of Default (PD) parameter input data comes from the S&P Cumulative Default rates. The PDs are matched by type, credit rating and time horizon of the exposure. For corporate exposures, the PDs are TTCs, estimated by S&P over the period 1981-2022, and are provided using annualized term-structure from year 1 until year 15. There is a distinction made between US and EU corporate exposures. For sovereign counterparties, the PDs are TC, and are estimated over the period 1975-2022, with the term structure provided on a monthly basis from month 1 to month 15. A distinction is made between the Eurozone, Central and Eastern Europe and CIS, and Asia-Pacific sovereigns.

Loss given default

The Loss Given Default (LGD) methodology incorporates the potential reduction in property values during forced sales, adjusting the expected loss estimation to align with current market conditions. The approach assumes a smaller decrease in property value, reflecting stronger housing market trends. It also includes an average fixed cost factor for foreclosures, expressed as a percentage of the mortgage portfolio's Exposure at Default (EAD). This proportion, referred to as the fixed cost surcharge or "VK" (vaste kosten) is calculated by dividing the average fixed costs by the mortgage exposure.

The Loss Given Default (LGD) parameter is a fixed value of 45% for other positions. 45% LGD is assigned to all senior, unsecured exposures on the basis of Basel III, due to the fact that bunq does not have recovery experience in case of default.

Macroeconomic scenarios

The model incorporates forward-looking PDs to account for macroeconomic variables, using expert judgement and a proxy model, which utilizes the z-factor model. Then, the Merton-Vasicek function is applied to the z-factor and baseline TTC PDs given the macroeconomic projections.

Loss allowances

The following tables show reconciliations from the opening to the closing balance of the loss allowance by class of financial instrument. The basis for determining movements due to changes in credit risk is set out in our accounting policy. The methodology is presented above in the “Amounts arising from ECL” section. In cases where there is movement between stages is due to assets experiencing significant increases in credit risk per the criteria explained above. Movement of an asset between stages is triggered when it experiences a significant increase in credit risk, as defined by the criteria previously outlined.

Loans and advances to other banks loan loss provisions									
EUR ('000)	Stage 1	ECL	Stage 2	ECL	Stage 3	ECL	Total	ECL	
	Gross carrying amount		Gross carrying amount		Gross carrying amount		Gross carrying amount		
Opening balance per January 1st 2024	68.248	7	-	-	-	-	68.248	7	
Movements between stages	-	-	-	-	-	-	-	-	-
New assets originated or purchased	27.872	3	-	-	-	-	27.872	3	
Remeasurement of loss allowance	-	-	-	-	-	-	-	-	-
Write-offs	-	-	-	-	-	-	-	-	-
Balance per December 31st 2024	96.120	10	-	-	-	-	96.120	10	
Movements between stages	-	-	-	-	-	-	-	-	-
Payments and assets derecognised	(5.282)	(2)	-	-	-	-	(5.282)	(2)	
Remeasurement of loss allowance	-	-	-	-	-	-	-	-	-
Write-offs	-	-	-	-	-	-	-	-	-
Balance per December 31st 2025	90.838	8	-	-	-	-	90.838	8	

Loans and advances to customers loan loss provisions

EUR ('000)	Stage 1	ECL	Stage 2	ECL	Stage 3	ECL	Total	ECL
	Gross carrying amount		Gross carrying amount		Gross carrying amount		Gross carrying amount	
Opening balance per January 1st 2024	674.934	3.132	60.990	1.885	19.139	11.245	755.063	16.263
Movements between stages	(36.626)	1.121	23.407	(1.919)	13.219	799	-	-
New assets originated or purchased	176.091	4.882	(29.157)	204	-	-	146.934	5.086
Remeasurement of loss allowance	(709)	(3.500)	-	2.723	1.077	7.134	368	6.357
Write-offs	-	-	-	-	(1.022)	(755)	(1.022)	(755)
Balance per December 31st 2024	813.691	5.636	55.239	2.892	32.413	18.423	901.343	26.951
Movements between stages	(9.524)	437	(17.661)	(1.596)	27.185	1.159	-	-
New assets originated or purchased	404.866	912	1.360	124	-	-	406.226	1.036
Payments and assets derecognized	(192.474)	(319)	(9.755)	(71)	(11.797)	(1.031)	(214.026)	(1.420)
Remeasurement of loss allowance	-	(129)	-	261	-	1.668	-	1.800
Write-offs	-	-	-	-	(790)	(212)	(790)	(212)
Balance per December 31st 2025	1.016.559	6.538	29.183	1.611	47.011	20.007	1.092.752	28.155

Investments at amortized cost loan loss provisions

EUR ('000)	Stage 1	ECL	Stage 2	ECL	Stage 3	ECL	Total	ECL
	Gross carrying amount		Gross carrying amount		Gross carrying amount		Gross carrying amount	
Opening balance per January 1st 2024	537.869	236	-	-	-	-	537.869	236
Movements between stages	(9.474)	(5)	9.474	5	-	-	-	-
New assets originated or purchased	564.647	248	-	-	-	-	564.647	248
Remeasurement of loss allowance	-	(456)	-	-	-	-	-	(456)
Write-offs	-	-	-	-	-	-	-	-
Balance per December 31st 2024	1.093.042	23	9.474	5	-	-	1.102.516	28
Movements between stages	(489)	-	489	-	-	-	-	-
New assets originated or purchased	1.070.723	26	-	-	-	-	1.070.723	26
Remeasurement of loss allowance	-	(7)	-	(2)	-	-	-	(9)
Write-offs	-	-	-	-	-	-	-	-
Balance per December 31st 2025	2.163.276	42	9.963	3	-	-	2.173.239	45

Mortgage commitments loan loss provisions

EUR ('000)	Stage 1	ECL	Stage 2	ECL	Stage 3	ECL	Total	ECL
	Gross carrying amount		Gross carrying amount		Gross carrying amount		Gross carrying amount	
Opening balance per January 1st 2024	767.584	76	-	1	-	-	767.584	77
Movements between stages	(991)	(116)	787	1	204	116	-	1
New assets originated or purchased	484.062	44	-	-	-	-	484.062	44
Remeasurement of loss allowance	-	74	-	18	-	(89)	-	3
Write-offs	-	-	-	-	-	-	-	-
Balance per December 31st 2024	1.250.655	78	787	19	204	27	1.251.646	125
Movements between stages	(630)	(125)	(298)	(1)	928	107	-	(20)
New assets originated or purchased	211.201	231	-	-	-	-	211.201	231
Remeasurement of loss allowance	-	-	-	20	-	-	-	20
Write-offs	-	-	-	-	-	-	-	-
Balance per December 31st 2025	1.461.226	184	489	38	1.132	134	1.462.847	356

B. Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting obligations associated with its financial liabilities that are settled by delivering cash or other financial assets. Liquidity risk arises from mismatches in the timing and amount of cashflows, which is inherent to the Group's operations and investments. The Group's primary source of funds consists of cash flows from deposits entrusted to the bank by users of the bank.

Liquidity buffer

As part of the management of liquidity risk arising from financial liabilities, the Group holds a liquidity buffer comprising cash, cash equivalents, high-quality liquid assets (HQLA) and additional sources of liquidity, such as bunq originated RMBS, ECB repo eligible securities and investments maturing in 3 months.

Exposure to liquidity risk

The Group is exposed to liquidity risk through a number of risk drivers, such as:

- Outflow of user deposits: the liability side of the Group's balance sheet almost entirely consists of user deposits. Following the launch of term deposits in December 2025, these deposits are now composed of both freely-withdrawable funds and funds with fixed terms. For freely-withdrawable deposits, users can withdraw their funds at any time, and these withdrawals are determined by behavioristic properties, such as the interest rate sensitivities (measured by "pass-through rates") of Savings deposits, users' everyday transaction needs (measured by "stability of deposits"²) and users leaving bunq (measured by "churn"³). Consequently, the Group needs to have sufficient liquidity available to support these withdrawals, even in stressed conditions.
- Payments supporting the committed mortgage origination: the Group has committed to provide funds for further mortgage originations, and liquidity needs to be put aside to fund these loans.
- Supporting further CFG asset growth: the Group aims to fund future CFG growth with user deposits. Sufficient liquidity and capital needs to be available to facilitate this growth.
- Collateral calls on the derivatives portfolio: with the introduction of the mortgage portfolio, bunq also engages in hedging using interest rate swaps. To limit the credit risk in this portfolio, the interest rate swaps are subject to a collateral agreement. As part of the collateral agreement, the Group will be required to post

collateral depending on the market value movements of the derivatives portfolio. Sufficient liquidity is required to meet these collateral calls.

Management of liquidity risk

The Group holds significant balances with central banks, which allow it to settle its obligations immediately. Balances are monitored closely and managed to appropriate levels. This is done daily by Finance based on the average in- and outflow of that month. Within the Group the Treasury department performs stress tests to ensure that it can meet its obligations in times of stress and monitors the liquidity risk indicators on a monthly basis and discusses the outcome of these tests with Risk and Finance. This is monitored by the ALCO risk committee put in place by the board.

The liquidity risk is also taken into account in the mandatory exit scenario.

The Group uses a wide range of liquidity risk measures, including the following:

- Regulatory liquidity requirements - Net Stable Funding Ratio (NSFR) and Liquidity Coverage Ratio (LCR).
To ensure compliance with the Pillar 1 Liquidity Requirements, the Group calculates both LCR and NSFR on a monthly basis.
 - Liquidity Coverage Ratio (LCR) - proportion of high-quality liquid assets (HQLA) to cash outflows for the next 30 days.
 - Net Stable Funding Requirement (NSFR) - proportion of stable funding to cover the duration of the long-term assets.
 Additional KPIs are defined to guarantee immediate access to liquidity in case of sudden and severe outflows.
- Survival period liquidity stress test. The Group aims to maintain a sufficient liquidity position to meet all obligations for at least 12 months in stressed conditions. This includes all the available forward-looking information on the portfolio and implies that the available liquid positions (e.g. deposits at central banks and the HQLA portfolio) should be sufficient to cover the outflow during a severe stress event. The outflow assumptions include, among others, withdrawals of a significant part of user deposits, increased operational expenses and potential collateral calls on the derivatives portfolio. The completeness and relevance of stress scenarios is assessed annually.
- Liquidity gap analysis. To ensure the Group has enough funds on hand and does not invest too much into long-term assets like mortgages, it performs the Liquidity gap analysis that provides insight on the difference between the available cash and the financial obligations over specific periods in future under minor difficulties scenario as well as limits the gaps.
- Asset encumbrance. With mortgage pipeline commitments and collateral requirements for derivative contracts, monitoring asset encumbrance levels is

¹ Pass-through rates define how much of user balances will we lose in a case of market stress - e.g. other investments are more profitable for users and they withdraw funds

² Stability rates measure the volatility of account balances.

³ Churn rates are rates at which our current users leave bunq

critical to ensure that sufficient unencumbered assets are available to generate liquidity in a stress situation or are available to unsecured depositors in an exit scenario.

To ensure that the Group keeps a significant amount of interest rate sensitive ("non-core") deposit balances in liquid assets, there are limits defining how much funds should be allocated to the liquidity buffer.

The Group has sufficiently mitigated liquidity risk.

Our deposit base grew steadily through 2025, a testament to our users' loyalty and the inherent stability of our funding model. We have proactively managed this growth through diligent daily monitoring of our liquidity buffer and other key capital metrics, in particular our leverage ratio. .

Our investment strategy is directly linked to the value we deliver to our users. The returns generated from our investment portfolio are a primary determinant of our savings rates. To ensure that bunq can readily accommodate potential user outflows, which could arise from changes in savings rates among other factors, we maintain a substantial liquidity buffer, particularly in the accounts held at the Dutch Central Bank.

Maturity analysis

The following tables set out the remaining contractual maturities of the Group's financial liabilities and financial assets. The amounts are gross, undiscounted and include contractual interest payments and exclude the impact of netting agreements. In cases where instruments are based on floating rates, we use the forward curve to establish the market's expectation of what the respective rate will be at the time at future rate setting dates.

The Maturity Analysis table is as follows:

2025 EUR ('000)	On Demand	Less than 3 months	3 - 12 months	1-5 years	More than 5 years	Undefined	Adjustment	Total
Cash and Cash Equivalents	4.072.552	-	-	-	-	-	-	4.072.552
Loans and advances to banks	90.830	-	-	-	-	-	-	90.830
Asset Finance	-	43.440	101.818	234.656	-	-	(43.875)	336.039
Asset-Based Lending	-	159	-	-	-	-	(31)	128
Commercial Real Estate	-	56.316	118.765	412.984	385.070	-	(245.311)	727.824
Advances to customers	-	606	-	-	-	-	-	606
Fixed Income Investments	-	80.133	-	-	-	-	-	80.133
Bonds	-	57.911	105.605	82.205	-	-	(8.802)	236.919
Fixed term funds	-	75.667	-	-	-	-	-	75.667
Asset Backed Securities	-	2.784	35.555	228.371	184	-	(16.793)	250.101
Capital call lending	-	7.002	132.254	11.156	-	-	(3.359)	147.053
Commercial paper	-	49.746	-	-	-	-	-	49.746
Collateralized loan obligations	-	11.022	62.954	1.397.234	2.105	-	(139.739)	1.333.576
Mortgage Investments	-	42.069	107.751	536.146	1.250.535	-	(474.010)	1.462.491
Derivatives collateral	-	-	27.867	-	-	-	-	27.867
Other assets	-	58.987	25.341	-	-	-	-	84.328
Total Assets	4.163.382	485.842	717.910	2.902.752	1.637.894	-	(931.920)	8.975.860
Deposits from Business	1.240.573	-	-	-	-	-	-	1.240.573
Deposits from Consumers	7.151.941	2.113	32.299	100	-	-	-	7.186.453
Loans to other Banks	-	-	27.867	-	-	-	-	27.867
Other Liabilities	-	110.258	724	3.438	2.737	-	-	117.158
Total Liabilities	8.392.514	112.371	60.890	3.538	2.737	-	-	8.572.051
Off balances derivatives	-	-	-	-	-	-	-	-
GAP Analysis	(4.229.132)	373.471	657.020	2.899.214	1.635.157	-	(931.920)	403.809

2024								
EUR ('000)	On Demand	Less than 3 months	3 - 12 months	1-5 years	More than 5 years	Undefined	Adjustment	Total
Cash and Cash Equivalents	5.057.649	-	-	-	-	-	-	5.057.649
Loans and advances to banks	85.706	-	-	-	12.185	-	-	97.891
Asset Finance	-	31.141	93.400	197.555	6.742	-	(43.082)	285.756
Asset-Based Lending	-	3.897	8.759	1.143	385	-	(6.056)	8.128
Commercial Real Estate	-	37.672	110.366	312.313	357.576	-	(238.135)	579.792
Advances to customers	-	713	-	-	-	-	-	713
Fixed Income Investments	-	90.342	-	-	-	-	-	90.342
Bonds	-	11.993	32.718	246.174	182	-	(20.008)	271.059
Fixed term funds	-	105.320	-	-	-	-	-	105.320
Asset Backed Securities	-	2.761	6.590	232.500	125.154	-	(40.384)	326.621
Capital call lending	-	391	32.762	-	-	-	(1.564)	31.589
Commercial paper	-	49.515	-	-	-	-	101	49.616
Collateralized loan obligations	-	2.420	5.676	178.747	64.279	-	(32.626)	218.496
Mortgage Investments	-	41.513	99.715	397.215	1.154.278	-	(441.075)	1.251.646
Derivatives collateral	-	-	9.812	-	-	-	-	9.812
Tangible fixed assets	-	-	-	-	-	6.312	-	6.312
Right-of-use assets	-	-	-	-	-	6.185	-	6.185
Intangible assets	-	-	-	-	-	47.348	-	47.348
Inventory	-	-	-	-	-	744	-	744
Other assets	-	47.886	29.786	-	-	-	-	77.672
Corporate income tax	-	-	673	-	-	-	-	673
Deferred tax asset	-	-	4.576	-	-	-	-	4.576
Total Assets	5.143.355	425.564	434.833	1.565.647	1.720.781	60.589	(822.829)	8.527.940
Deposits from Business	1.141.400	-	-	-	-	-	-	1.141.400
Deposits from Consumers	6.821.404	-	-	-	-	-	-	6.821.404
Loans to other Banks	-	-	9.184	-	-	-	-	9.184
Other Liabilities	-	110.795	707	3.123	3.143	-	-	117.768
Provision	-	-	-	-	-	3.252	-	3.252
Deferred tax liability	-	-	754	-	-	-	-	754
tricont deferred consideration	-	-	-	-	-	-	-	-
Total Liabilities	7.962.804	110.795	10.645	3.123	3.143	3.252	-	8.093.762
Off balances derivatives	-	-	-	-	-	-	-	-
GAP Analysis	(2.819.449)	314.769	424.188	1.562.524	1.717.638	57.337	(822.829)	434.178

The adjustments column reconciles the contractual undiscounted cash flows to the statement of financial position values.

The contractual maturity analysis indicates a funding gap in the first 12 months after year-end 2025. Switching from a contractual to a behavioural view, where a quantitative model is used to determine the stability of on-demand funds, turns our funding gap in the first 12 months positive. This is a standard outcome for our business model, as the contractual view treats all on-demand deposits as overnight liabilities, regardless of their historical stability, while the most stable portion of those funds is invested for longer periods. .

We estimate the stability of our user balances via a non-maturing deposit model. The model was redeveloped in 2025 to establish a more robust estimate of potential liquidity needs. The new methodology tracks the run-off of existing user balances irrespective of net inflows from other users, ensuring bunq can support its investment strategy with existing funds only.

Our funding is granular and primarily composed of retail deposits protected by the national Deposit Guarantee Scheme (DGS). In case of sudden withdrawals then first high liquid assets are available to repay monies. Second, we have securitized our residential mortgages portfolio and the associated securities can be used as collateral to access a repo facility at the Dutch Central Bank. This can provide up to EUR 269,7 million.

The Directors expect the cash and cash equivalents and the cash flows from operating activities will satisfy its needs with respect to current commitments and debt obligations over the next 12 months.

C. Market risk

Market risk is the risk that changes in market variables, such as interest rates, equity prices, foreign exchange rates and credit spreads will affect the Group's income or the value of its holdings of financial instruments.

For the interest rate risk in the banking book, the following sub-risk types have been identified:

Gap risk

The main interest rate sub-risk type is gap risk. It reflects the sensitivity to changes in the interest rate curve (both parallel and non-parallel). The Group is exposed to gap risk, as there is a mismatch between the short duration of the user deposits and the longer duration of the mortgage portfolio. To ensure the Group adequately addresses this risk the Group uses interest rate swaps to significantly reduce the interest rate sensitivity differential between assets and liabilities.

EUR ('000)	2025	2024
Parallel up	4.101	648
Parallel down	(2.493)	(1.216)

Basis risk

Basis risk is the risk that offsetting investments in a hedging strategy will not experience price changes in entirely opposite directions from each other. This imperfect correlation between the two investments creates the potential for excess gains or losses in a hedging strategy, thus adding risk to the position. The fair value of the Group's assets, liabilities and interest rate swaps are calculated using different curves. As these curves can move independently of each other, basis risk exists in the Group's portfolio.

However, the impact of this risk is only relevant in an exit scenario, or a liquidity stress event, as assets are purchased to hold-to-collect, and hedge accounting is applied. There is a small impact on earnings at risk, where basis risk can lead to hedge accounting ineffectiveness impacting the P&L statement.

Option risk

Following the introduction of the mortgage portfolio, the Group is also exposed to two types of option risk:

- In the offering phase, clients have a so-called '*dagrente-optie*': the client is entitled to the lower of the offered mortgage rate and the mortgage rate at the time of the execution of the mortgage. This introduces a one-sided risk: the Group is exposed to interest rate increases but does not profit from interest rate decreases.
- After execution of the mortgage, the client has the right to prepay the mortgage. Depending on the situation, a prepayment penalty may apply. The expected prepayments are included in the cash flow projections. The Group monitors the accuracy of its prepayment expectation, adjusts assumptions when needed and measures the impact on various interest rate risk measures from deviations of prepayment volumes from expectations.

Client behavior risk

This interest rate sub-risk type reflects the sensitivity to expected client behavior. This is relevant for both the user deposits and the mortgage portfolio. For the user deposits assumptions are for example made about the attrition of the core user deposits and for the mortgage portfolio assumptions are for example made about the conversion rate (from offerings to mortgages) and the Constant Prepayment Rate (CPR). If the realizations deviate from the assumptions, there can be a financial impact.

Credit spread risk

The financial impact of changes in credit risk spreads, which are not explained by expected default risk, is captured under credit spread risk. The Group is primarily exposed to this credit risk sub-risk type due to its investments in the bond and mortgage portfolio and corporate loans. Even though the importance of this sub-risk type has increased, with the size of the mortgage portfolio investment, the risk itself (expressed in P&L volatility) is limited as both the bond and mortgage portfolio all assets are accounted for at Amortized Cost and thus not subsequently revalued to fair value at each period end.

Pipeline risk

The interest rate pipeline risk is the risk that, after an interest rate offer has been made to a client, the underlying market interest rate will change during the period that the interest rate offer is valid, and the offer has not been hedged yet. This results in an open position for the Group in the underlying period. The risk is that between the offer and the moment the loan is paid out, the underlying market interest rates have increased and the interest rate swap as a consequence has increased in costs, therefore causing margin erosion and decreasing the Net Return.

The Group aims to achieve a stable NIM (net interest margin). The Group manages its interest rate risk using plain vanilla interest rate swaps. Interest rate risk is managed using an extensive set of limits and thresholds on key interest rate risk ratios.

IBOR benchmark reform

The Group has analyzed its significant hedging relationships directly affected by the benchmark reform. All of the Group's floating financial instruments are linked to benchmark rates and, as a result, so are its hedging relationships. All financial instruments are based on EURIBOR and SONIA, and no reform is anticipated in the short term for these interest rates. Consequently, the Group's financial instruments hedging relationships are not affected by the IBOR reform.

Sensitivity rates risk

The Group has performed sensitivity analyses on the interest rate of the bonds, investments, mortgages, other loans and CFG portfolios. The Group has many assets for which the value is not or only insignificantly sensitive to interest rate moves (Economic Value at Risk). These include floating rate assets such as our CRE portfolio or short term, liquid investments. On the other hand we have assets such as our mortgage portfolio and to a lesser extent our Asset Finance loans that exhibit duration, i.e. interest rate sensitivity. These are offset on the liability side by our core deposits, the deposits deemed in our non maturing deposit model to have duration.

Additionally, bunq hedges the remaining net asset interest rate sensitivity by entering into interest rate swap agreements. This combined portfolio is stressed with European Banking Authority prescribed scenarios such as the 200bps up and down parallel and 4 non-parallel shocks along with Group specific scenarios. The changes in economic value are measured and maintained within acceptable limits. In each case, the upside and downside represented an acceptable risk for management.

The table below represents the quantitative change in the fair value of Group assets based on interest rate movements:

2025	Percentage point movement					
EUR '000)	-3%	-2%	-1%	1%	2%	3%
Asset Finance	16.806	11.008	5.409	(5.228)	(10.284)	(15.175)
Commercial Real Estate	6.328	4.164	2.055	(2.004)	(3.958)	(5.865)
Mortgages	311.631	197.126	93.697	(85.115)	(162.637)	(233.420)
Other investments	14.886	9.832	4.871	(4.784)	(9.483)	(14.100)

Management of interest rate risk

Interest rate risk is managed principally through monitoring interest rate gaps and by having pre-approved limits for repricing bands. Treasury monitors these limits in its day-to-day monitoring activities. These day-to-day activities include the development of our deposit and asset balances and composition, changes in market rates and other factors

such as prepayment rates mentioned in the previous sections. If and when necessary, interest rate swaps are executed to ensure that interest rate positions are within limits. ALCO is responsible for setting the overall hedging strategy of the Group. Treasury is responsible for implementing that strategy by putting in place the individual hedge arrangements.

Exposure to currency risks

The majority of the foreign currency holdings of the Group are offset by amounts owing to customers.

bunq has foreign currency exposure due to deposits owed to bunq users in non-Euro currencies. On the asset side this is partially offset with foreign currency assets held in the form of loans and advances to customers and other investments.

Investments in foreign currencies have been made during the period. In order to mitigate any open positions the Group has purchased investment-grade bonds and entered into forward exchange rate contracts to ensure open positions are managed. Hedge accounting has not been applied for the forward contracts.

During the prior period a foreign entity has been established by the Group in Turkey. Funding to the Turkish entity is provided in Euros which are then converted as and when needed to Turkish Lira in order to minimize the open currency position. At year end this position is deemed immaterial.

The Group's open exposure to foreign currencies is maintained at below EUR 3 000 thousand. The Group has exposures at year end of below the acceptable amount agreed by the risk appetite statement.

2025					
EUR '(000)					
Assets	USD	GBP	TRY	Other	Total
Loans and advances to banks	11.102	5.521	351	4.827	21.801
Loans and advances to customers	-	520	-	-	520
Investments at amortized cost (other)	48.694	26.973	-	632	76.299
Other Assets	-	-	1.012	-	1.012
Total Assets	59.796	33.014	1.363	5.459	99.632
Liabilities					
Customer Deposits	59.608	33.004	719	5.197	98.528
Other liabilities	-	-	1.363	-	1.363
Total Liabilities	59.608	33.004	2.081	5.197	99.891
Net on balance sheet position	188	10	(719)	262	(259)
Net position	188	10	(719)	262	(259)

2024					
EUR '(000)					
Assets	USD	GBP	TRY	Other	Total
Loans and advances to banks	7.252	5.054	11	4.189	16.507
Loans and advances to customers	-	1.352	-	-	1.352
Investments at amortized cost (other)	39.095	14.489	-	-	53.584
Other Assets	-	-	1.130	-	1.130
Total Assets	46.347	20.895	1.141	4.189	72.572
Liabilities					
Customer Deposits	44.718	20.553	25	3.891	69.187
Other liabilities	-	-	1.229	-	1.229
Total Liabilities	44.718	20.553	1.254	3.891	70.416
Net on balance sheet position	1.629	342	(113)	298	2.156
Net notional amount of Derivatives	-	-	-	-	-
Net position	1.629	342	(113)	298	2.156

A 10% strengthening of the US Dollar against the Euro would have reduced the year end net assets by EUR 17 thousand. A 10% strengthening of the Pound Sterling against the Euro would have reduced the year end net assets by EUR 1 thousand. A 10% weakening of these currencies would have had an equal and opposite effect. This analysis assumes that all other variables, in particular other exchange rates, remain constant.

D. Compliance risk

Compliance Risk

Compliance risk refers to the risk of not being able to service our users due to restrictions imposed by regulators on bunq, following non-compliance with applicable laws and regulations.

Management of Compliance Risk

Banks operate under a complex regulatory framework, and compliance with all relevant laws, regulations, and published guidance can be challenging. The Compliance team maintains oversight of the regulatory environment, analyzes the impact on users, products, and countries of operation, and provides guidance to the business on required policies, processes, systems, and behaviors to address compliance gaps.

License continuity risks, assessments, and mitigation measures are documented in the Systematic Integrity Risk Analysis (SIRA) report. The Compliance Annual Plan, updated yearly, outlines the focus areas for the Compliance team's monitoring, reporting, and advisory activities. For 2025, key themes included financial crime, fraud, payment regulations such as PSD2 and the Instant Payments Regulation, data protection, privacy and international expansion.

Our business principles, outlined in the Code of Conduct, establish minimum standards of behavior. This is supported by a robust policy framework, which includes our Anti-Bribery and Corruption Policy, Conflict of Interest Policy, Whistleblowing Policy, Private Investment Transactions Policy, AML Policy, Acceptance Policy, and Incident Management Policy. The Compliance team continuously monitors the framework for relevant legal, social, and international developments.

Through continuous dialogue with all departments, the Compliance team not only identifies and resolves potential challenges but also provides support, enabling employees to act with integrity and adhere to the applicable laws and regulations.

Financial Crime

In recent years, the importance of financial crime prevention has significantly increased, especially in the areas of Client Due Diligence (CDD) and Anti-Money Laundering (AML). bunq recognizes the critical role of CDD and AML measures in preventing the abuse of its services by criminals and fraudsters and continues to enhance these processes.

To comply with regulatory obligations, bunq applies onboarding and dynamic risk scoring models to assess user risk both during and after onboarding. These risk scores are used to determine the frequency of periodic reviews and the intensity of transaction monitoring. Users with higher risk classifications are subject to more frequent reviews and stringent

monitoring thresholds. The risk scoring models are regularly reviewed and adjusted based on historical data to ensure they remain effective.

In line with statutory requirements, bunq employs advanced machine learning models to detect suspicious transactions and behaviors. Our transaction monitoring rules are also updated continuously to address emerging risks and regulatory expectations.

bunq's commitment to combating financial crime includes adjusting customer due diligence measures on a risk-sensitive basis. This ongoing focus on compliance helps ensure that our services are not misused by criminals.

Given the current geopolitical environment, increased attention continues to be paid to sanctions.

Fraud Prevention

bunq places a strong emphasis on fraud prevention to protect both the institution and its users from fraudulent activities. Fraud risks can arise from various sources, including phishing, social engineering, identity theft, and unauthorized access to user accounts. To combat these risks, bunq implements robust preventive measures across all touchpoints of its services.

Our fraud prevention framework includes sophisticated fraud detection systems that monitor user transactions and behaviors in real-time. These systems are supported by machine learning algorithms designed to identify unusual patterns that could indicate fraudulent activity.

We also implement multi-factor authentication (MFA) and stringent verification procedures during onboarding and for high-risk transactions. In addition, our teams regularly review and adjust fraud prevention measures based on the latest threats and evolving tactics used by fraudsters.

bunq provides ongoing fraud awareness training for both employees and users to help them recognize and respond to potential fraud attempts. By fostering an informed and vigilant community, we further strengthen our defenses against fraud.

If fraud is detected, swift corrective actions are taken to safeguard user accounts, with suspected fraudulent transactions blocked and reported to the relevant authorities. We also conduct post-incident analysis to identify potential vulnerabilities and adjust our systems accordingly.

Duty of Care

At bunq, we place great importance on our duty of care to users, ensuring that all business relationships are continually monitored in accordance with regulatory obligations. This

includes the ongoing review of internal processes to identify areas for improvement and the implementation of enhancements to mitigate risks.

As part of this duty of care, we ensure that users' interests are protected by adhering to high standards in the management of risks associated with our services. Improvements identified through audits by DNB and Internal Auditors have been incorporated into our processes, and further enhancements will be made throughout 2026. These will be subject to review by DNB and the AFM to ensure compliance.

Data Privacy and GDPR Compliance

Data privacy remains a priority, and bunq maintains a Data Privacy Officer (DPO) responsible for ensuring compliance with GDPR and other data protection regulations. During 2024, all potential breaches were identified and, where necessary, reported to the relevant authorities.

We process personal data in compliance with the GDPR, ensuring it is handled lawfully, fairly, and transparently, in alignment with the rights of data subjects. Regular data protection impact assessments (DPIAs) and internal audits ensure that personal data processing across the Group, including the use of new technologies, remains compliant and secure.

Our staff is regularly trained on data protection practices through various awareness initiatives, and we maintain transparency regarding the use of personal data. Personal data is managed securely, in line with current information security standards. More details can be found in the privacy statement on our website (<https://www.bunq.com/documents/privacy>).

The DPO reports to the Head of Compliance, advising and ensuring that bunq meets its GDPR obligations towards customers, employees, suppliers, and business partners, keeping personal data secure, compliant, and ethically managed.

Compliance with Emerging Regulations and the AI Act

bunq is committed to remaining at the forefront of compliance with emerging regulations. The regulatory landscape is evolving, with new requirements such as the Digital Operational Resilience (DORA), the Network and Information Systems Directive 2022 (NIS2), and the Artificial Intelligence Act (AI Act).

In 2025, we operationalized the changes to model governance related to the EU AI Act, ensuring bunq operates with the required levels of transparency and prudence. This enables us to continue leveraging AI technology while adhering to regulatory standards. We fully implemented DORA within a general upgrade of our IT and Operational Resilience framework. Similarly, as a digital-first bank, we are progressing toward full compliance with NIS2.

E. Business risk

Business risk is the risk that over a longer period of time the revenues are lower and/or the costs are higher than foreseen. This risk may question the long-term viability of the Group.

Management of business risk

The Group closely monitors the financial and business performance. If necessary, we take action to address a potential negative development. The Management board oversees strategy, and this is articulated through company goals and OKRs. The Management Board continuously monitors business risk and its impact on company goals and monitors through quarterly KPIs. The Group submits monthly reports to the Management and Supervisory boards containing business reviews.

The Group strongly believes in its business model, but if the worst happens then The Group has a plan to manage an orderly wind down. The Dutch deposit guarantee scheme, which covers balances up to EUR 100,000, is applicable.

Capital management

The Group performs a regular internal capital adequacy assessment at least once a year, with a forward-looking horizon of at least three years. Its starting point is the business growth plan, a risk assessment, and the definition of a risk appetite. Based on the outcomes, the Group sets its capital requirements.

These projections are regularly reviewed and updated. Such projections include required capital injections to remain compliant with relevant rules such as the capital requirements from the regulator. This allows for short- and longer-term management of capital. The capital requirement mainly consists of capital held to fund balance sheet growth taking into account the Group's financial forecasts under different scenarios, also including stress scenarios. Secondly the capital requirement is determined by the asset-management activities performed by the Group, resulting in Risk Weighted Assets.

The Group has a funding plan in place which describes the measures available To meet future capital requirements. For the situation that no capital funds are available the Group has developed a plan to manage the growth rate. As at both reporting dates, and on a quarterly basis throughout the year, the Group complied with the externally imposed capital requirements.

The DNB supervises bunq B.V. as of 2023 on a consolidated basis including CapitalFlow Group following the article 9 waiver CRR.

DNB also supervises bunq B.V. consolidated on the level of bunq holding B.V. We refer to the financial statements of bunq holding B.V. for the consolidated capital position at year-end.

The table below shows bunq's capital ratios as of year-end:

In EUR ('000)	2025	2024
Total Risk Weighted Assets (RWA)	1,648.838	1,347.927
Available Common Equity Tier 1 Capital (CET1)	384.519	351.527
CET1 ratio %	23,32%	25,00%
Leverage ratio	4,20%	4,10%

As of March 17, 2023, an Article 9 waiver has been approved by DNB which allows bunq to include all of the subsidiaries in the individual consolidation scope for the purposes of determining CET1 and total Tier Capital of bunq B.V.. This was effective during the first quarter of 2023, and since this point the Group has no longer reported these figures separately.

F. Climate risk

Climate-Related Risk refers to the potential negative impacts of Climate Change on the entity. It includes potential for adverse effects on the Group's clients, users, infrastructure, investments, and activities.

The Group has taken an active effort to invest in environmentally sustainable investments. Investments are scrutinized for environmental impact and are selected based on a number of criteria, including impact on the environment and use of sustainable resources.

For climate-related risks, bunq does not finance companies active in:

- Fossil fuel-fired power generation and/or extraction of oil and gas, including oil generated from tar sands for any part of their business activities
- Coal-fired power generation and/or coal mining for any part of their business activities
- Nuclear energy
- Mining activities

Due to the above investment criteria, the Group's assets are less vulnerable to devaluation due to climate risk. The portfolio is vulnerable to climate risks such as flooding.

Further, the Group's infrastructure is powered by renewable energy sources, decreasing the reliance on non-renewable energy and minimizing environmental impact. We use Amazon Web Services (AWS) and rely on their sustainability report published in July 2023⁴.

The Group incentivizes users of the Group platform by planting trees for funds spent by users. This has a positive impact on the environment and also supports the economy and work opportunities in Madagascar and Kenya. We partner with Veritree Technology Inc⁵.

⁴ <https://sustainability.aboutamazon.com/products-services/the-cloud?energyType=true>

⁵ <https://www.veritree.com/>

G. Operational risk

Operational risk is the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events. Operational risk has various sources of which we describe a few.

IT Risk

bunq specifies three types of IT risks:

- **IT Resilience:** The risk that business processes and/or information resources are not sufficiently sound or cannot continuously be backed by the IT system. This can result in long-term failure of the system and/or errors in the applications.
- **IT Security:** The risk that business processes and information resources are inadequately secured by the IT system causing theft of data and/or unauthorized access by customers, external parties or employees.
- **Data Security:** The risk of user sensitive data being lost, stolen, copied or otherwise compromised due to the threats and vulnerabilities associated with the operation and use of information systems and the environments in which those systems operate. This risk can be seen as a subset of a broader IT Security risk (that deals also with loss of assets and operational disruptions). bunq monitors it as a separate category given its importance for our users and connections to GDPR regulation.

Governance over IT risk

Security measures are in place to protect the Group's systems including encrypted connections and multi-layered security. All services are inherently designed to mistrust all other services ensuring all data is verified with checks and balances in place when there is any interaction between services. In addition, intrusion and detection and vulnerability management solutions are implemented to scan (on a continuous basis) all infrastructure and backend systems on security threats. Specific periodic tests are performed on systems processing card payments, which comply with the Payment Card Industry Data Security Standard (PCI-DSS). Additionally, regular penetration tests are performed by a specialized third party focusing on the security of all IT components including network infrastructure and mobile applications on the existence of outside vulnerabilities & threats.

A Business Continuity Plan covers unexpected disruptions. Other contingency measures include outsourced infrastructure hosting based on the highest availability and compliance standards. Software is built on a hardware agnostic basis.

To protect bunq users, MFA requirements are applied for the bunq app according to the PSD2 Strong Customer Authentication guidelines: this includes a secure login authentication procedure with 6-figure pin and device authentication. Any sensitive data stored on customers' devices is encrypted.

The first line of defense is composed by a dedicated security and controls team, led by the Chief Information Security Officer, and by the DevSecOps team, which is staffed by infrastructure engineers. With this configuration bunq adheres to the so-called "shift left" philosophy: this approach entails tackling security issues across the whole development work stream, instead of performing security checks at an advanced stage of a project. The approach is proven to have great benefits, among which greater transparency, a more secure codebase, standardization and automation, all while keeping a high delivery speed.

Fraud risk

This is the risk of reputation or financial losses due to deceptive actions by third parties, customers or staff to enrich themselves at the expense of others.

Management of fraud risk

The Group's processes, controls and segregation of duties are important mitigants against external and internal fraud risk. Transactions are monitored to detect suspicious behavior with the goal of intercepting them before they result in financial losses for either bunq users or bunq itself. Confirmed fraud cases are recorded and reported to the authorities. Staff are screened before being employed and the Code of Conduct for staff is applied, in line with the Banker's Oath.

With apps like bunq's advanced security helping to thwart direct system attacks, fraudsters are individual users, using manipulation and deceit to gain access to user funds.

As such, we continually introduce both visible and invisible measures to protect our users from fraud. Recently, we have introduced additional techniques to safeguard users, even if they have shared their details with fraudsters and are at risk of losing money — such as "Delayed Payments."

Features like extra in-app warnings, Auto Freeze, our transaction filtering system, and Delayed Payments have proven to be highly effective, significantly reducing the total number of fraud cases (phishing and helpdesk fraud).

Legal risk

This is the risk that agreements are not accurately documented, contracts may not be enforceable or that legal disputes and conflicts may lead to financial losses. Provisions for legal claims are recognized when the Company has a present legal or constructive obligation as a result of past events and when it is more likely than not that an outflow of resources will be required to settle the obligation and the amount has been reliably estimated. From time to time the Company is involved in claims and litigations. Management makes estimates as to whether provisions are needed on a case-by-case basis.

Management of legal risk

Legal risks are identified, monitored and managed by the Group's legal department. The department is involved with material contracts and when disputes occur.

With the growth of local branches in multiple countries, and therefore jurisdictions, bunq is increasingly staffing local teams with legal officers for a more efficient decentralized handling of local legal issues.

External legal advice is sought whenever it is determined that the available in-house knowledge is insufficient.

Outsourcing risk

The risk that engaging a third party to provide services adversely impacts the bank's performance and risk management. The risk may materialize due to inadequate delivery of service or due to the liability of the third party to deliver the service.

Management of outsourcing risk

The Company has a Third Party Risk Management policy that dictates the framework within which all third parties should be managed, including – and above all – any outsourcing activities. The policy defines the key controls around the acquisition and ongoing monitoring of vendors: it sets out guidelines for the decision process, applicable risk assessments whose depth goes hand in hand with the sensitivity of the activity performed by and the data shared with the supplier, contractual provisions and service level agreements, monitoring and possible contingency arrangements that need to be in place.

32. List of Group companies

These consolidated financial statements comprise the Company and its subsidiaries (collectively, the “Group”). The following subsidiaries are included in the Group:

Subsidiary	Principal activity	Statutory place of incorporation	Principal country of operation	Proportion of ownership held by the Group	
				2025	2024
Another Mortgage I B.V.	Special purpose vehicle - mortgages	Amsterdam	the Netherlands	100%	100%
Another Mortgage II B.V.	Special purpose vehicle - mortgages	Amsterdam	the Netherlands	100%	100%
Solitaire I B.V.	Securitization vehicle	Amsterdam	the Netherlands	¹	-
Another Mortgage III B.V.	Special purpose vehicle - mortgages	Amsterdam	the Netherlands	100%	100%
Solitaire II B.V.	Securitization vehicle	Amsterdam	the Netherlands	¹	-
Capitalflow Group D.A.C.	Property and asset financing activities	Dublin	Ireland	100%	100%
BUNQ TEKNOLOJİ ANONİM ŞİRKETİ	Customer support services and compliance operations	Istanbul	Türkiye	100%	100%
Stichting STAK together	Special purpose vehicle - share option plan	Amsterdam	the Netherlands	¹	-
bunq US Holding LLC	Holding company	New York	United States of America	100%	100%
bunq UK LTD	Foreign branch	London	United Kingdom	100%	100%

¹ bunq does not own the share capital of these entities, however the Group has full control over them per the requirements set out in IFRS 10.

33. Related parties

Parent and ultimate controlling entity

bunq Holding B.V. has held over 86% of the outstanding ordinary common shares throughout 2024.

In December 2017 Stichting Stak Together acquired 400 000 of common shares from bunq Holding B.V. The Stichting holds shares for members of the share participation plan and is consolidated. The Stichting holds 2.8% of issued shares in bunq B.V. at year end in 2024.

During 2021, the Group went through a series A funding round. As a result of this, Pollen Street Capital Limited acquired the rights to 9.96% of issued shares in bunq B.V.. Further share issuances in 2024 resulted in Pollen Street Capital Limited holding 9.58% of issued shares in bunq B.V. at year end in 2024.

In 2022, a further 0.29% of common shares was allocated to Stichting STAK Together 2. The entity holds the shares for the previous owners of tricount who acquired the rights to 0.29% of issued shares in bunq B.V. Further share issuances in 2024 result in Stichting STAK Together 2 holding 0.27% of issued shares in bunq B.V. at year end in 2024.

Common shares amounting to 0.68% of bunq B.V.'s share capital were acquired by the Chief Information officer over the course of 2022, 2023 and 2024. The sale of shares was in order to raise capital in order to fulfill capital requirements.

All transactions with related parties were made on terms equivalent to an arm's length transaction.

Transactions with key management personnel

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of that entity.

The Group defines key management as the supervisory board, the management board and the individuals with a direct mandate to influence decision making in the Group.

Below the total personnel compensation is presented for current and former key management personnel.

No bonuses, performance dependent remunerations, shares or loans have been granted to key management personnel of the Managing and Supervisory Boards as per December 31st 2025.

Options held by Management

The number of MIP share options held by members of the Managing Board at the 2025 year end was 75.000 (2024: 60 000). The number held by other key decision makers was 225.000 (2024: 122 000). No share options were held by members of the Supervisory Board. See note 30 for further details.

No other balances, such as mortgages or deposits, are held with key management.

		2025	2024
		EUR ('000)	EUR ('000)
Managing board	Short term employment benefits	944	685
	Post-term employment benefits	12	-
	Other long term employment benefits	-	-
	Termination benefits	-	-
	Share based payment benefits	-	-
Supervisory board	Short term employment benefits	122	176
	Post-term employment benefits	-	-
	Other long term employment benefits	-	-
	Termination benefits	-	-
	Share based payment benefits	-	-
Key decision makers	Short term employment benefits	2.401	2.548
	Post-term employment benefits	84	150
	Other long term employment benefits	-	-
	Termination benefits	-	-
	Share based payment benefits	-	-

Related parties

		2025	2024
	Associated balance	EUR ('000)	EUR ('000)
bunq Holding B.V.	Capital Injection	-	31.500
Another Mortgage 1 B.V.	Loans to subsidiaries	77.040	79.753
Another Mortgage 2 B.V.	Loans to subsidiaries	99.085	92.939
Another Mortgage 3 B.V.	Loans to subsidiaries	280.330	756.805
Solitaire I B.V.	Investment in notes	327.374	329.740
	Current assets	8.489	4.625
	Interest income and deferred purchase price payment	5.280	5.060
Solitaire II B.V.	Investment in notes	711.111	-
	Interest income and deferred purchase price payment	21.203	-
Capitalflow Group DAC	Loans to subsidiaries	1.105.106	911.641
	Interest income	42.457	45.803
BUNQ TEKNOLOJİ ANONİM ŞİRKETİ	Loans to subsidiaries	1.037	1.037
	Intercompany expenses	(5.236)	(2.461)
bunq US Holding LLC	Participation in subsidiaries	88	551

Loans to Capitalflow Group DAC are extended with an interest charge of the 1 month EURIBOR rate with a premium of 2,2%, reduced from 2,4% during the year.

bunq has the right of pledge for all receivables under any Corporate Real Estate loans in Capitalflow Group DAC as collateral for the intercompany loan.

Other related parties

The capitalization of bunq US Broker Dealer LLC was funded by a capital contribution from the ultimate parent company, via a loan provided by bunq B.V.

34. Subsequent Events

No events occurred after the reporting date that require adjustment to or disclosure in these financial statements

35. Contingent assets and liabilities

Mortgage commitments

As of 31 December, 2025, the Group has outstanding mortgage commitments in its pipeline of a total of EUR 65 862 thousand divided between:

- Interest proposal sent EUR 11 917 thousand
- Interest proposal received EUR 19 314 thousand
- Offer accepted 34 631 thousand

The Group also has exposure to building deposit liabilities of EUR 11 208 thousand at the reporting date.

Loan commitments

As of 31 December, 2025, the Group has the following revocable commitments in place totalling EUR 102 714 thousand for lending to be distributed to its Commercial Real Estate customers.

Contingent liabilities

In presenting the Consolidated Annual Financial Statements, management estimates the outcome of legal, regulatory and arbitration matters, and takes provisions to the income statement when losses with respect to such matters are more likely than not. Provisions are not recognised for matters for which an expected cash outflow cannot be reasonably estimated or that are not more likely than not to lead to a cash outflow. Some of these matters may be regarded as a contingency and could materially affect our earnings.

A photograph of two women hiking on a dirt path along a steep, green cliffside. The woman on the left is wearing a light blue jacket and glasses, smiling. The woman on the right is wearing a dark jacket and is also smiling. In the background, the ocean is visible, with waves crashing against the base of the cliff. The sky is clear and blue.

Parent company financial statements

Parent company statement of financial position

As at 31 December 2025

	Notes	2025 EUR ('000)	2024 EUR ('000)
Assets			
Cash at central bank	14	4.072.552	5.057.649
Loans and advances to banks		77.572	87.151
Loans and advances to customers		606	713
Investment in notes	40	1.011.944	316.013
Investments at amortized cost	16	2.173.194	1.093.042
Derivative assets held for risk management		40.612	36.005
Participation in subsidiaries	39	593.369	1.048.131
Receivables from Subsidiaries	41	1.021.397	832.892
Intangible assets	44	17.415	17.472
Property, plant and equipment and right of use assets		8.263	10.515
Inventory		461	744
Other assets		35.585	40.778
Deferred tax asset		-	5.314
Corporate income tax asset		6.216	3.396
Total Assets		9.059.186	8.549.815

	Notes	2025 EUR ('000)	2024 EUR ('000)
Liabilities and provisions			
Loans and advances owed to banks		27.867	9.184
Customer deposits	25	8.427.026	7.962.008
Payables to subsidiaries	42	4.949	4.825
Other liabilities		120.110	106.355
Derivative liabilities held for risk management		12.719	26.193
Provisions		5.788	3.252
Total liabilities		8.598.459	8.111.817
Equity			
Share capital	45	148	148
Share Premium	45	405.725	405.725
Retained earnings	45	54.854	32.125
Total equity		460.727	437.998
Total liabilities and equity		9.059.186	8.549.815

The parent company financial statements were approved by the Managing and Supervisory Boards, and authorized for issue on 28 May 2026 and were signed on its behalf by:

Ali Niknam

Founder & Chief Executive Officer

Kris Wulteputte

Chief Risk Officer

Mr. R. Latenstein

Supervisory board - Chair

Mr. J. Hüpscher

Supervisory board

Mr. J. Scott

Supervisory board

The accompanying notes form an integral part of the parent company financial statements.

Parent company statement of comprehensive income

For the year ended 31 December 2025

	Notes	2025 EUR ('000)	2024 EUR ('000)
Interest income		224.535	287.877
Interest expense		(116.907)	(148.716)
Net interest income		107.628	139.161
Result of participation in Subsidiaries	46	23.838	32.245
Fee income		74.720	73.384
Fee expense		(26.818)	(19.012)
Net fee income		47.902	54.372
Result on financial transactions		179.368	225.778
Total operating income		179.368	225.778
Personnel expenses		(46.160)	(38.779)
Other expenses		(92.627)	(97.964)
Depreciation and amortization		(1.929)	(801)
Gains and losses from derivatives		661	1.292
Impairment losses on financial instruments		(5.600)	(5.377)
Total operating expenses		(145.655)	(141.629)
Result on ordinary activities before taxation		33.713	84.149
Income tax expense	47	(11.329)	(20.503)
Net result on ordinary activities		22.384	63.646

The accompanying notes form an integral part of the parent company financial statements

Parent company statement of changes in equity

For the year ended 31 December 2025

	Share Capital EUR ('000)	Share Premium EUR ('000)	Total Share Capital and Share Premium EUR ('000)	Retained EarningsUnappropriated Result EUR ('000)	EUR ('000)	Total Retained Earnings EUR ('000)	Total Equity EUR ('000)
Balance as per December 31st 2023	145	374.228	374.373	(85.332)	53.164	(32.168)	342.205
Appropriation of result	-	-	-	53.164	(53.164)	-	-
Net result for the period	-	-	-	-	63.646	63.646	63.646
Acquisitions	-	-	-	-	-	-	-
Shares issued	3	31.497	31.500	-	-	-	31.500
Share options granted	-	-	-	647	-	647	647
Balance as per December 31st 2024	148	405.725	405.873	(31.521)	63.646	32.125	437.998
Appropriation of result	-	-	-	63.646	(63.646)	-	-
Net result for the period	-	-	-	-	22.384	22.384	22.384
Acquisitions	-	-	-	-	-	-	-
Shares issued	-	-	-	-	-	-	-
Share options granted	-	-	-	345	-	345	345
Balance as per December 31st 2025	148	405.725	405.873	32.470	22.384	54.854	460.727

See note 45 for further details.

The accompanying notes form an integral part of the parent company financial statements.

Notes to the company financial statements

36. Basis of preparation

36.1 Reporting entity

bunq B.V. (the "Company") was incorporated on March 26th 2012 and is domiciled in the Netherlands. The Company's registered office is at Basisweg 32, 1043AP Amsterdam. The Company is registered at the Commercial Register of Amsterdam under number 54992060. The principal activities of the Company are banking and holding activities.

36.2 Basis of accounting

The parent company financial statements of bunq B.V., have been prepared in accordance with Title 9 Book 2 of the Dutch Civil Code, making use of the option of Article 362 section 8 of the Code, meaning that the accounting principles used are the same as those applied for the Consolidated financial statements.

bunq B.V. applies the provisions in Section 362, paragraph 8, Title 9 of Book 2 of the Netherlands Civil Code that make it possible to prepare the company financial statements in accordance with the accounting policies (including those for the presentation of financial instruments as equity or liability) used in its consolidated financial statements.

All accounting policies are included in note 2 of the consolidated financial statements. Investments in subsidiaries are valued on the basis of the equity method. Expected credit losses on loans to subsidiaries are eliminated in this line item consistent with the elimination of intercompany loans in the consolidated financial statements.

The financial statements, as at and for the year ended 31 December 2025, were authorized for issue by the Managing and Supervisory Boards on 28 May 2026.

36.3 Going concern

These financial statements were prepared under a going-concern assumption. The going concern assumption is a significant accounting judgment.

The going concern of bunq is based on the profitable forecasts prepared in alignment with SREP requirements and the capital injections received early in 2024.

The financial plan has been discussed and agreed in the Management Board and Supervisory Board.

Both capital and liquidity ratios are well above the regulated threshold in the forecast, as well as in the Group's stress test scenarios as part of the SREP.

36.4 Functional currency

These consolidated financial statements are presented in euro, which is the Group functional currency. All amounts have been rounded to the nearest thousand, except when otherwise indicated.

On consolidation, the results and financial position of all foreign operations that have a functional currency different from the Group's functional currency are translated into the Group's functional currency as follows:

- All transactions in the foreign entity are converted into Euro amounts at the exchange rates at the dates of the transactions; and
- Foreign currency asset and liability positions are translated into the Group's functional currency at the exchange rate at the reporting date.

Any gains or losses resulting from foreign currency exchange differences are reported in the statement of comprehensive income.

37. Subsidiaries

Another Mortgage 1 B.V., Another Mortgage 2 B.V., Solitaire I B.V. and Capitalflow Group DAC are subsidiaries of bunq B.V. in which the Company holds a 100% ownership interest and is registered in Amsterdam. Another Mortgage 1 B.V. and Another Mortgage 2 B.V. are 100% included in the consolidation.

The Company Opened Another Mortgage 3 B.V. during 2023 in order to house bunq label mortgages. The shares are 100% owned by the Company and Another Mortgage 3 B.V. is fully consolidated into the Company.

During 2022, the Company opened BUNQ TEKNOLOJİ ANONİM ŞİRKETİ in Istanbul, Turkey. The entity was opened with the purpose of providing support services to the Company in an operational capacity. BUNQ TEKNOLOJİ ANONİM ŞİRKETİ (bunq Turkey) is 100% owned by the Company and therefore is fully consolidated into the Company.

In 2022 the Company opened bunq US Holding LLC, a 100% fully owned entity based in the United States of America. The company is intended to be a holding company as part of the US banking license application. During the financial year 2025 there were no transactions in the entity.

There is a 403 declaration signed for the year 2023 for Another Mortgage 1 B.V., Another Mortgage 2 B.V. and Another Mortgage 3 B.V.

In 2023 the Group opened a 100% fully owned entity based in the United Kingdom. The company is intended to be the operational entity for the Group's application to be an Electronic Money Institution in the United Kingdom. During the financial year 2025 there were no transactions in the entity.

The subsidiaries are valued using the equity method as of December 31st, 2025.

38. Financial risk management

Please refer to note 31 in the financial statements of the Group.

39. Participation in subsidiaries

	2025	2024
Subsidiary	EUR ('000)	EUR ('000)
Another Mortgage I B.V.	86.304	86.752
Another Mortgage II B.V.	118.878	107.298
Another Mortgage III B.V.	316.631	783.276
Capitalflow Group D.A.C.	80.155	72.637
Tricount SA	-	-
BUNQ TEKNOLOJİ ANONİM ŞİRKETİ	1.360	1.183
bunq US Holding LLC	55	518
bunq UK LTD	-	-
Total	603.383	1.051.664
Hedged liability set against underlying mortgages in subsidiaries	(10.014)	(3.533)
Total	593.369	1.048.131

The balances above are inclusive of intercompany funding provided by bunq, and the cumulative net result of each respective subsidiary.

	2025	2024
Another Mortgage I B.V.	EUR ('000)	EUR ('000)
Opening Balance	86.752	85.073
Increased/(decreased) participation	(2.713)	(264)
Results from participation in subsidiary	2.265	1.924
Closing balance	86.304	86.752

100% of the shares in Another Mortgage I B.V. is owned by bunq B.V. All mortgages are held by residents of the Netherlands.

	2025	2024
Another Mortgage II B.V.	EUR ('000)	EUR ('000)
Opening Balance	107.298	100.940
Increased participation	6.146	1.740
Results from participation in subsidiary	5.434	4.618
Closing balance	118.878	107.298

100% of the shares in Another Mortgage II B.V. is owned by bunq B.V. All mortgages are held by residents of the Netherlands.

	2025	2024
Another Mortgage III B.V.	EUR ('000)	EUR ('000)
Opening Balance	783.276	324.283
Increased participation	234.636	438.258
Investment in Solitaire 2 Notes	(711.111)	-
Result from participation in subsidiary	9.830	20.735
Closing balance	316.631	783.276

100% of the shares in Another Mortgage III B.V. is owned by bunq B.V. All mortgages are held by residents of the Netherlands.

	2025	2024
Capitalflow DAC	EUR ('000)	EUR ('000)
Opening Balance	72.637	67.820
Results from participation in subsidiary	7.518	4.817
Closing balance	80.155	72.637

100% of the shares in Capitalflow Group DAC. is owned by bunq B.V. The entity is registered in Ireland and operates solely in Ireland. Purchase of shares occurred on 26 November 2021.

	2025	2024
Tricount	EUR ('000)	EUR ('000)
Opening Balance	-	17.430
Transfer of capital	-	(17)
Results from participation in subsidiary	-	120
Transfer to intangible assets	-	(17.533)
Closing balance	-	-

During 2024, the trade and assets of tricount were transferred into bunq, and the legal entity was wound down. At this time, the participation in subsidiary balance was transferred to intangible assets to reflect that this is no longer an interest in a separate legal entity. See note 44 for further details.

	2025	2024
BUNQ TEKNOLOJİ ANONİM ŞİRKETİ	EUR ('000)	EUR ('000)
Opening Balance	1.183	138
Increased participation	-	1.000
Result from participation in subsidiary	177	45
Closing balance	1.360	1.183

100% of the shares BUNQ TEKNOLOJİ ANONİM ŞİRKETİ is owned by bunq B.V. The entity is registered in Istanbul and operates solely in Turkey. Purchase of shares occurred on 18 November 2022.

	2025	2024
Bunq US Holding LLC	EUR ('000)	EUR ('000)
Opening Balance	518	612
Increased/(decreased) participation	923	(61)
Result from participation in subsidiary	(1.386)	(33)
Closing balance	55	518

100% of the shares bunq US Holding LLC is owned by bunq B.V. The entity is registered in New York and operates solely in the USA. Purchase of shares occurred on 18 November 2022.

40. Investments in notes

During the year, the company purchased notes issued by Solitaire II B.V. on underlying securitized mortgages. The opening balance shown below relates to notes purchased in 2022 from Solitaire I B.V..

	2025	2024
	EUR ('000)	EUR ('000)
Opening Balance	316.013	308.083
Notes issued	711.111	-
Repayment of notes	(2.214)	(2.784)
Repayment of interest	(151)	(152)
Movement in hedged liability set against underlying mortgages in subsidiaries	(12.815)	10.866
Closing balance	1.011.944	316.013

All mortgages are held by residents of the Netherlands.

The overall fair value of the mortgages, both those underlying the notes and those not eligible for securitization, have been disclosed under the Risk management section in the consolidated financial statements.

The hedge liability presented above is apportioned over all mortgage portfolios owned by subsidiaries of bunq B.V.

Notes issued through securitizations can be analyzed as follows:

	Issued nominal value	Amortised cost value on December 31st 2025	Amortised cost value on December 31st 2024	Interest rate applicable
	EUR ('000)	EUR ('000)	EUR ('000)	
Notes issued by Solitaire I B.V.				
Note A	352.300	299.874	302.240	0,05%
Note B	27.500	27.500	27.500	0,00%
	379.800	327.374	329.740	
Notes issued by Solitaire II B.V.				
Note A	675.555	675.555	-	0,50%
Note B	35.556	35.556	-	0,00%
	711.111	711.111	-	

Solitaire I B.V. pays out all profits towards the noteholder. bunq received EUR 152 thousand in interest on the notes (2023: EUR 168 thousand), and EUR 2,8 million (2023: EUR 16,1 million) in deferred purchase price payment from Solitaire I B.V. from the period.

Note B noteholders are repaid after note A note holders.

All credit losses are absorbed by Note B initially. Once Note B has a carrying value of nil, any further credit losses is then absorbed by Note A.

The notes have a maturity profile equal to that of the underlying mortgage portfolios which is 30 years after initialization of the notes.

The Notes are held by the European Central Bank and may be deemed to be held as collateral against any lending bunq B.V. may wish to obtain from the European Central Bank.

As of yet no lending from the ECB has been obtained by bunq B.V.

The European central bank regularly performs valuations on the notes allowing the company to borrow any funds against the value of the notes from the European Central Bank. The fair value of the notes itself cannot be calculated due to the lack of specific observable characteristics underlying and due to the specific features of the note in place.

41. Receivables from subsidiaries

Receivables from Subsidiaries includes loans to Capitalflow Group, as well as receivables in the form of notes held in the securitized mortgages in Solitaire I B.V. and a current account with bunq Turkey.

	2025	2024
	EUR ('000)	EUR ('000)
Intercompany loan receivables	1.012.908	828.267
Current account Solitaire I B.V.	8.489	4.625
Closing balance	1.021.397	832.892

The loan was issued on 26 November, 2021. The agreement allows for Capitalflow to make a drawdown of up to EUR 1 090 million (2024: 900 million).

The current accounts are current accounts which are expected to be settled within the next month after year end.

The fair value of the loan to Capitalflow Group is not able to be calculated due to the lack of specific observable characteristics underlying Capitalflow Group DAC. Loans to Capitalflow Group DAC are extended with a floating rate of 1- month Euribor plus a 2,2% risk premium per annum. bunq has the right of pledge for all receivables under any Corporate Real Estate portfolio loans in Capitalflow Group DAC as collateral for the intercompany loan. The Corporate real Estate portfolio loans are not pledged to any other counterparty.

The current account with Solitaire I B.V. has a fair value approximating the carrying value presented above. This is due to the short-term nature of the asset.

42. Payables to subsidiaries

	2025	2024
	EUR ('000)	EUR ('000)
Current account Another Mortgage I B.V.	(1.259)	(1.238)
Current account Another Mortgage II B.V.	(3.773)	(3.670)
Current account bunq Turkey	83	83
Closing balance	(4.949)	(4.825)

The fair value of the current accounts above are immaterially different from their carrying value. This is due to the short-term nature of the debt.

43. Derivatives held for risk management and hedge accounting

	2025	2024	Line item in balance sheet in current year
	EUR ('000)	EUR ('000)	
Interest rate swaps			
Derivative asset held for risk management	40.612	36.005	Derivative asset held for risk management
Derivative liability held for risk management, split between:	29.847	10.551	
Mortgages	10.014	3.533	Participation in subsidiaries
Mortgage notes	19.833	7.018	Investment in notes

To minimize exposure to the interest risk on designated bonds and mortgage portfolios, the Group has entered into interest swaps. These derivatives have a nominal value of EUR 762 870 (2024: EUR 762 870 thousand).

The Groups exposure to interest rate risk, and the Groups method for managing this risk is disclosed in the Risk management section of the annual report.

By using derivative financial instruments to hedge exposures to changes in interest rates, the Group also exposes itself to credit risk of the derivative counterparty, which is not offset by the hedged item. The Group minimizes counterparty credit risk in derivative instruments by entering into transactions with high-quality counterparties.

All interest swaps are part of a hedge relation, where fair value hedge accounting is applied. In the fair value hedge accounting relations, the interest risk on the designated cash flows of the mortgage portfolio is mitigated. Hedge accounting is applied where economic hedging relationships meet the hedge accounting criteria.

The hedging relationship is not affected by IBOR reform as the hedging relationship as the swap hedging instrument is based on the ERIBOR rate and therefore not affected by not IBOR reforms.

The hedge relation is determined on a monthly basis where the effectiveness is tested in the prospective test. The effectiveness shows the amount the mutation in the fair value of the hedge instruments (cash flows of mortgages) are hedged by the fair value movement of the hedging instrument (interest swap). At the end of the monthly hedge relation period the actual ineffectiveness is measured in the retrospective test.

Ineffectiveness can be realized due to different reasons such as:

- different timing in the cash flows of the mortgages in comparison to the interest swap;
- deviations between the actual cash flows in comparison to the expected cash flows of the mortgages;
- a different movement in the yield curves on which the valuation of the derivative takes place, which is not covered in the hedge relation.

In the year 2025 the result of ineffectiveness of the hedge relation was EUR 661 thousand gain (2024: EUR 1 292 thousand gain). This result is presented under Gains and losses from derivatives in the company only statement of comprehensive income.

44. Intangible assets

As set out in note 23, during 2024, the trade and assets of tricont were transferred into bunq. At this point the participation balance was reclassified to intangible assets as it no longer reflected an interest in a separate legal entity. Instead it represents a historic investment into an ongoing business, defined in IFRS 3 as '*An integrated set of activities and assets that is capable of being conducted and managed for the purpose of providing goods or services to customers, generating investment income (such as dividends or interest) or generating other income from ordinary activities*'.

The participation balance arose from the original acquisition of tricont in 2021 and represents a historical cost tied to the transferred business with continuing operations and the economic benefits expected to be realized following the integration of the company's operations.

The individually identifiable amounts relating to the brand name and software have been recognized separately, and the remaining balance has been recognized as goodwill. The assets were initially recognized at their carrying amounts at the point of the hive-up transaction.

Cost	Goodwill EUR ('000)	Brand EUR ('000)	Software EUR ('000)	Total EUR ('000)
Balance as of 1 January 2024	-	-	-	-
Additions	16.416	572	545	17.533
Disposals	-	-	-	-
Balance as of 31 December 2024	16.416	572	545	17.533
Additions	-	-	-	-
Disposals	-	-	-	-
Balance as of 31 December 2025	16.416	572	545	17.533

Amortization				
Balance as of 1 January 2024	-	-	-	-
Amortization for the year	-	43	18	61
Disposals	-	-	-	-
Balance as of 31 December 2024	-	43	18	61
Amortization for the year	-	-	-	-
Disposals	-	-	-	-
Balance as of 31 December 2025	-	43	18	61

Carrying amounts				
Balance as of 31 December 2024	16.416	529	527	17.472
Balance as of 31 December 2025	16.416	529	527	17.472

45.Total equity

The following table details the equity balance of the company only financial statements.

	2025 EUR ('000)	2024 EUR ('000)
Share capital	148	148
Share premium	405.725	405.725
Retained earnings	32.470	(31.521)
Unappropriated result	22.384	63.646
Total equity	460.727	437.998

Common shares contain voting rights and have a par value of EUR 0.01.

In total 14 763 thousand common shares have been issued

Share premium

	2025 EUR ('000)	2024 EUR ('000)
Opening balance	405.725	374.228
Premium on issue of shares	-	31.497
Closing balance	405.725	405.725

46. Result of participation in subsidiaries

	2025	2024
Subsidiary	EUR ('000)	EUR ('000)
Another Mortgage I B.V.	2.265	1.943
Another Mortgage II B.V.	5.434	4.618
Solitaire I B.V.	-	-
Another Mortgage III B.V.	9.830	20.735
Solitaire II B.V.	-	-
Capitalflow Group D.A.C.	7.518	4.817
Tricount SA	-	120
BUNQ TEKNOLOJİ ANONİM ŞİRKETİ	177	45
bunq US Holding LLC	(1.386)	(33)
Total	23.838	32.245

47. Income tax

Corporate income tax

bunq BV is a part of a fiscal union with Another Mortgage I B.V., Another Mortgage II B.V. and Another Mortgage III B.V. As such bunq BV recognized and is liable for the corporate income taxes for the combined fiscal union.

The table below details the movement in the corporate income tax asset.

	2025	2024
	EUR ('000)	EUR ('000)
Corporate income tax liability at January 1st	3.396	(7.293)
Tax on profits recognized	(11.329)	(20.503)
Payments made	9.016	19.580
Tax liability offset by previously unutilized losses	5.466	11.612
Corporate income tax asset/(liability) as of December 31st	6.549	3.396

Deferred taxes

Deferred taxes are recognized on temporary differences under the liability method using tax rates applicable in the jurisdictions in which the Group is subject to taxation. In prior years deferred tax liabilities arose due to fair value adjustments to financial assets and recognition of intangible assets on acquisition date of Capitalflow Group DAC and of tricount SA.

Deferred tax assets are recognized if it is probable that taxable profits will be available against which the deductible temporary difference may be utilized.

At the reporting date, the Group has unused tax losses of EUR nil (2024: 57,543 thousand) available for offset against future profits. A deferred tax asset has been recognized in respect of EUR nil (2024: EUR nil thousand) of such losses.

No portion of the unused tax losses remain. This is as per the forecast performed to SREP requirements it is probable bunq will have sufficient taxable profits available for offset in future periods.

	Net opening balance	Change through net result	Net closing balance
	EUR ('000)	EUR ('000)	EUR ('000)
2025			
Unused tax losses carried forward	2.227	(2.227)	-
2024			
Unused tax losses carried forward	15.304	(13.077)	2.227

No taxes were paid or recouped in prior years.

48. Subsequent events

No events occurred after the reporting date that require adjustment to or disclosure in these financial statements

49. Related party transactions

Please refer to note 32 in the consolidated annual financial statements.

50. Contingent assets and liabilities

Mortgage commitments

As of 31 December, 2025, the Group has outstanding mortgage commitments in its pipeline of a total of EUR 65 862 thousand divided between:

- Interest proposal sent EUR 11 917 thousand
- Interest proposal received EUR 19 314 thousand
- Offer accepted 34 631 thousand

Loan commitments

As of 31 December, 2025, the Group has the following revocable commitments in place totalling EUR 102 714 thousand for lending to be distributed to its Commercial Real Estate customers.

Contingent liabilities

Please see the discussion included within Note 35 of the Consolidated Financial Statements for discussion around contingent liabilities.

Other information

Appropriation of result as defined in the articles of association

According to article 25.1 of the articles of association of the Company the net profit is at the disposal of the Annual General Meeting of Shareholders. If the annual accounts indicate that there has been a loss in a particular year that is not recorded in a reserve or mitigated in any other way, then there will be no pay-out of dividends as long as such a loss has not yet been recovered.

Trading names

bunq operates in a number of European countries and has a branch in three, excluding the Netherlands. The countries which bunq has branches and the trading names are summarized below:

Branch country	Trading name
Netherlands	bunq B.V.
Germany	bunq B.V. Niederlassung Deutschland
France	bunq B.V.
Spain	bunq B.V. Sucursal en España
Ireland	bunq B.V.
Turkey	BUNQ TEKNOLOJİ ANONİM ŞİRKETİ
United States of America	bunq US Holding LLC
United Kingdom	bunq UK LTD

Definitions

The table below gives further details on the indicators used within this annual report and financial statements.

Indicator	Figure	Definition
Fee margin	63%	The proportion of total fee income retained as net fee income after deducting directly related fee expenses, reflecting the efficiency and profitability of the Group's fee-generating activities.
NII margin	57%	The proportion of total interest income that remains as net interest income after interest expenses, indicating how effectively the Group earns income from its interest-bearing assets relative to its cost of funding.
Operating margin	17%	The proportion of net operating income retained as profit before tax, highlighting the overall profitability of the Group's core operations.

Glossary of Key Terms

Auditor	An organization or individual responsible for reviewing a company's financial records and expressing an opinion regarding whether those records are free from material misstatement
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Customer Deposits	Customer balances in fiat currencies held on-balance sheet, representing the sum of customer liabilities in respect of deposits and e-money in issues
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Effective interest rate ('EIR')	The interest rate at which revenue is recognized on loans and discounted to their carrying value over the life of the financial asset
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Effective tax rate	Tax on operating profit/(loss) as a percentage of operating profit/(loss) on ordinary activities before tax
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E-money Institution	E-money Institutions ('EMIs') are regulated by the Financial Conduct Authority ('FCA') and must safeguard customer funds
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Financial Conduct Authority ('FCA')	A financial regulatory body in the UK, regulating financial firms and maintaining the integrity of the UK's financial market
--	--

IBAN	International Bank Account Number, an internationally agreed system of identifying bank accounts that allows cross-border transactions
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Internal Capital Adequacy Assessment Process ('ICAAP')	An assessment of the Group's current risks, how the Group plans to alleviate those risks and the quantity of current and future capital that is required
---	--

Internal Liquidity Adequacy Assessment Process ('ILAAP')	A comprehensive framework designed to identify, measure, manage and monitor the liquidity risk of a bank ensuring that it has sufficient resources to meet its financial obligations as they fall due
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International Financial Reporting Standards ('IFRS')	A globally accepted set of accounting standards issued by the IFRS Foundation and the IASB
---	--

KPI	Key Performance Indicator, a quantifiable measure of performance relating to a specific objective
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Liquidity	The ease with which an asset or security can be converted to ready cash
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Net promoter score ('NPS')	A widely used metric of customer satisfaction calculated by subtracting the percentage of customers who are detractors (giving a score of 6 or less) from the percentage of promoters (giving a score of 9 or 10), with a final score of between -100 and 100
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Operating expenses	The ongoing costs incurred from the day-to-day running of the business
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Independent auditor's report

To: the shareholders and supervisory board of bunq B.V.

Report on the audit of the financial statements 2025 included in the annual report

Our opinion

We have audited the accompanying financial statements 2025 of bunq B.V. based in Amsterdam, the Netherlands. The financial statements comprise the consolidated financial statements and the parent company financial statements.

In our opinion:

- The consolidated financial statements give a true and fair view of the financial position of bunq B.V. as at 31 December 2025 and of its result and its cash flows for 2025 in accordance with International Financial Reporting Standards as adopted in the European Union (EU-IFRSs) and with Part 9 of Book 2 of the Dutch Civil Code
- The parent company financial statements give a true and fair view of the financial position of bunq B.V. as at 31 December 2025 and of its result for 2025 in accordance with Part 9 of Book 2 of the Dutch Civil Code

The consolidated financial statements comprise:

- The consolidated statement of financial position as at 31 December 2025
- The following statements for the year ended 31 December 2025: the consolidated statements of comprehensive income, changes in equity and cash flows
- The notes comprising material accounting policy information and other explanatory information

The parent company financial statements comprise:

- The parent company statement of financial position as at 31 December 2025
- The parent company statement of comprehensive income for the year ended 31 December 2025
- The notes comprising a summary of the accounting policies and other explanatory information

Basis for our opinion

We conducted our audit in accordance with Dutch law, including the Dutch Standards on Auditing. Our responsibilities under those standards are further described in the Our responsibilities for the audit of the financial statements section of our report.

We are independent of bunq B.V. in accordance with the EU Regulation on specific requirements regarding statutory audit of public-interest entities, the Wet toezicht accountantsorganisaties (Wta, Audit firms supervision act), the Verordening inzake de onafhankelijkheid van accountants bij assurance-opdrachten (ViO, Code of Ethics for Professional Accountants, a regulation with respect to independence) and other relevant independence regulations in the Netherlands. Furthermore, we have complied with the Verordening gedrags- en beroepsregels accountants (VGBA, Dutch Code of Ethics for Professional Accountants).

We believe the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Information in support of our opinion

We designed our audit procedures in the context of our audit of the financial statements as a whole and in forming our opinion thereon. The following information in support of our opinion and any findings were addressed in this context, and we do not provide a separate opinion or conclusion on these matters.

Our understanding of the business

bunq B.V. (hereinafter: the company or, together with its consolidated subsidiaries, the group) is a fintech and neobank providing digital banking services for individuals and corporate entities. Mortgage products to private individuals are offered via subsidiaries in the Netherlands. Business lending to small and medium sized entities is offered in Ireland via its fully owned subsidiary. The company is owned by bunq Holding B.V. and the ultimate main shareholder is the CEO of the company. Funding is predominantly attracted through (non-)retail savings and deposits in the Netherlands and a few branches in Europe. We paid specific attention in our audit to a number of areas driven by the operations of the group and our risk assessment.

We determined materiality and identified and assessed the risks of material misstatement of the financial statements, whether due to fraud or error in order to design audit procedures responsive to those risks and to obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion.

Materiality

Materiality	€7 million.
Benchmark applied	1.5% of total equity as at 31 December 2025.
Explanation	We determined materiality based on our understanding of the company's business and our perception of the financial information needs of users of the financial statements. We consider a benchmark of 1.5% of total equity an appropriate quantitative indicator of materiality as it best reflects the company's financial position and is the basis for determining the company's own funds under the regulatory capital requirements.

We have also taken into account misstatements and/or possible misstatements that in our opinion are material for the users of the financial statements for qualitative reasons.

We agreed with the supervisory board that misstatements in excess of €0.4 million, which are identified during the audit, would be reported to them, as well as smaller misstatements that in our view must be reported on qualitative grounds.

Scope of the group audit

bunq B.V. has its head office in the Netherlands, branches and subsidiaries in Ireland, other EU member states, Türkiye, UK and USA. The financial information of the group is included in the financial statements.

We are responsible for planning and performing the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the financial statements. We are also responsible for the direction, supervision, review and evaluation of the audit work performed for purposes of the group audit. We bear the full responsibility for the auditor's report.

Based on our understanding of the group and its environment, the applicable financial framework and the group's system of internal control, we identified and assessed risks of material misstatement of the financial statements and the significant accounts and disclosures. Based on this risk assessment, we determined the nature, timing and extent of audit work performed, including the entities or business units within the group (components) at which to perform audit work. For this determination we considered the nature of the relevant events and conditions underlying the identified risks of material misstatements for the financial statements, the association of these risks to components and the materiality or financial size of the components relative to the group. Based on this risk assessment, we determined the nature, timing and extent of audit work performed.

We performed the work ourselves for the head office including the centralized operation and the branches and subsidiaries in the Netherlands. As Capitalflow Group DAC (Ireland) is managed on a stand-alone basis, we used the work of a component auditor from our EY Global member firm in Ireland. We communicated the audit work to be performed and identified risks through instructions as well as requesting the component auditor to communicate matters related to the financial information of the component that is relevant to identifying and assessing risks.

This resulted in a coverage of 100% of total assets, 100% of total equity and 100% of the Result before tax. For other components, we performed specified audit procedures and analytical procedures to corroborate that our risk assessment and scoping remained appropriate throughout the audit.

We performed a site visit to meet with local management of the Irish subsidiary and the component team, observed the operations, discussed the group risk assessment and risks of material misstatements for the Irish subsidiary. We reviewed and evaluated the adequacy of the deliverables from the component auditor and reviewed key working papers. We interacted regularly with the component team during various stages of the audit. We reviewed and evaluated the adequacy of the deliverables from the component auditor and reviewed key working papers.

By performing the audit work mentioned above at the entities or business units within the group, together with additional work at group level, we have been able to obtain sufficient and appropriate audit evidence about the group's financial information to provide an opinion on the financial statements.

Teaming and use of specialists

We ensured that the audit teams both at group and at component level included the appropriate skills and competences which are needed for the audit of a client in the banking industry. We included specialists in the areas of IT audit, forensics and income tax and have made use of our own experts in the areas of credit risk modelling, business valuation, valuations of derivatives and hedge accounting.

Our focus on climate-related risks and the energy transition

The managing board reported under F. Climate risk of the Risk Management section in the annual report, how the company is addressing climate-related and environmental risks also taking into account related regulatory and supervisory ESG risk management guidelines and expectations.

As part of our audit of the financial statements, we evaluated the extent to which climate-related risks and the effects of the energy transition, are taken into account in estimates and significant assumptions, as well as in the design of relevant internal control measures. Furthermore, we read the annual report and considered whether there is any material inconsistency between the non-financial information and the financial statements.

Based on the audit procedures performed, we do not deem climate-related risks to have a material impact on the financial reporting judgements, estimates or significant assumptions as at 31 December 2025.

Our focus on fraud and non-compliance with laws and regulations

Our responsibility

Although we are not responsible for preventing fraud or non-compliance and we cannot be expected to detect non-compliance with all laws and regulations, it is our responsibility to obtain reasonable assurance that the financial statements, taken as a whole, are free from material misstatement, whether caused by fraud or error. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Our audit response related to fraud risks

We identified and assessed the risks of material misstatements of the financial statements due to fraud. During our audit we obtained an understanding of the company and its environment and the components of the system of internal control, including the risk assessment process and the managing board's process for responding to the risks of fraud and monitoring the system of internal control and how the supervisory board exercises oversight, as well as the outcomes.

We refer to G. Operational risk in the Risk Management section of the annual report for the managing board's risk assessment after consideration of potential fraud risks.

We evaluated the design and relevant aspects of the system of internal control and in particular the fraud risk assessment, as well as the bunq Code of Conduct Policy, Whistleblowing Policy and incident registration. We evaluated the design and the implementation and, where considered appropriate, tested the operating effectiveness, of internal controls designed to mitigate fraud risks.

As part of our process of identifying fraud risks, we evaluated fraud risk factors with respect to financial reporting fraud, misappropriation of assets and bribery and corruption in close co-operation with our forensic specialists. We evaluated whether these factors indicate that a risk of material misstatement due to fraud is present.

We incorporated elements of unpredictability in our audit. We also considered the outcome of our other audit procedures and evaluated whether any findings were indicative of fraud or non-compliance.

We addressed the risks related to management override of controls, as this risk is present in all organizations. For these risks we have, among other things, performed procedures to evaluate whether the selection and application of accounting policies by the company, particularly those relating to subjective measurements and complex transactions, as disclosed in Note 3 Use of estimates and judgment to the consolidated financial statements, may be indicative to fraudulent financial reporting. As described in our key audit matter Estimation of expected credit losses on loans and advances to customers, we specifically considered the risk of management override of controls in relation to the expected credit loss allowance.

We have also used data analysis to identify and address high-risk journal entries and other adjustments made in the financial reporting process. We evaluated the business rationale (or the lack thereof) of significant extraordinary transactions, including those with related parties.

When identifying and assessing fraud risks we presumed that there are risks of fraud in revenue recognition. We evaluated that these risks of fraud are present in non-automated transactions, more specifically transactions related to the crypto fee income recognition. We designed and performed our audit procedures relating to revenue recognition responsive to this presumed fraud risk. We evaluated the design and implementation of relevant controls, tested a sample of fees to ensure that the income recorded is accurate and had occurred and performed year-end cut-off procedures to evaluate timely recognition of transactions.

Considering risk factors based on our understanding of the company's internal control, we identified a risk of unauthorized payments. We evaluated that this may occur through unsettled positions (in the other asset account) or the company's operational expenses. We describe the audit procedures responsive to this risk in the description of our audit approach for the key audit matter The system of internal control including information systems.

We considered available information and made enquiries of relevant members of the managing board, executives, directors, internal audit, legal, compliance, human resources and the supervisory board.

The fraud risks we identified, enquiries and other available information did not lead to specific indications for fraud or suspected fraud potentially materially impacting the view of the financial statements.

Our audit response related to risks of non-compliance with laws and regulations

We performed appropriate audit procedures regarding compliance with those laws and regulations that have a direct effect on the determination of material amounts and disclosures in the financial statements. Furthermore, we assessed factors related to the risks of non-compliance with laws and regulations that could reasonably be expected to have a material effect on the financial statements, based on our general industry experience. Our procedures included, amongst others, making enquiries of the managing board, inspection of the integrity risk analysis (SIRA), reading minutes, inspection of internal audit and compliance reports and performing substantive tests of details of classes of transactions, account balances and disclosures. We refer to note 26. Provisions to the consolidated financial statements for information in relation to fines received following regulatory reviews.

We also inspected lawyers' letters and correspondence with regulatory authorities and remained alert throughout the audit to any indication of (suspected) non-compliance. In cases of potential non-compliance with laws and regulations that could have a material effect on the financial statements, we assessed whether the company had adequate processes in place to evaluate the impact of such non-compliance on its activities and financial reporting and, where relevant, whether appropriate remediation plans had been implemented. Finally, we obtained written representations from the managing board that all known instances of non-compliance with laws and regulations have been disclosed to us.

Our audit response related to going concern

As disclosed in Note 1.4 Going concern to the consolidated financial statements, the financial statements have been prepared on a going concern basis. When preparing the financial statements, the managing board made a specific assessment of the company's ability to continue as a going concern and to continue its operations for the foreseeable future.

We discussed and evaluated the specific assessment with the managing board exercising professional judgment and maintaining professional skepticism. We considered whether the managing board's going concern assessment, based on our knowledge and understanding obtained through our audit of the financial statements or otherwise, contains all relevant events or conditions that may cast significant doubt on the company's ability to continue as a going concern, also focusing on whether the company will continue to meet the regulatory capital and liquidity requirements. To this end, we also inspected the most recent Supervisory Review and Evaluation Process letter.

If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion.

Based on our procedures performed, we did not identify material uncertainties about going concern or the managing board's use of the going concern basis of accounting. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause a company to cease to continue as a going concern.

Our key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements. We have communicated the key audit matters to the supervisory board. The key audit matters are not a comprehensive reflection of all matters discussed.

Estimation of expected credit losses on loans and advances to customers

Risk

The portfolio of loans and advances to customers is measured at amortized cost, less an allowance for expected credit losses. At 31 December 2025, the total gross loans and advances to customers of EUR 1.096 million and EUR 31 million of expected credit losses are reported and disclosed in note 18 to the consolidated financial statements and further disclosed in A. Credit Risk in the Risk Management section of the annual report.

In accordance with IFRS 9 Financial Instruments' and as disclosed in sections Impairment of financial assets and Measurement of ECL of Note 2.5 Financial assets to the consolidated financial statements, the loss allowance for expected credit losses is based on expected credit losses which includes assumptions such as the probability of default,

Estimation of expected credit losses on loans and advances to customers

the loss given default, the allocation of loans to stages and the use of macro-economic scenarios and forward looking information. Credit loss models for the calculation of the allowance are updated, validated and enhanced periodically.

In accordance with the requirements of IFRS 9, the allowance for expected credit losses is calculated using a three-stage expected credit loss impairment model. The company determined loan impairments in stage 1 and stage 2 on a modelled basis and loan impairments in stage 3 are determined on a loan-by-loan basis. Loans and advances move from stage 1 to stage 2 when there is a significant increase in credit risk since initial recognition.

The appropriateness of the expected credit loss allowance is a key area of judgment for the managing board. The identification of a significant increase in credit risk and the determination of recoveries are part of an inherently uncertain process involving various assumptions and factors including the financial condition of the counterparty, expected future cash flows, the value of collateral and the assessment of whether a default has occurred with regard to loans and advances to customers. The use of different assumptions could produce significantly different estimates of the expected credit loss allowance. The modeling assumptions are disclosed in A. Credit Risk in the Risk Management section of the annual report.

Given the materiality of the loans and advances to customers of bunq B.V., the complex accounting requirements with respect to calculating allowances for expected credit losses and the subjectivity involved in the judgments made as well as the identified risk of management override of controls in relation to the expected credit loss allowance for defaulted (stage 3) loans and advances, we considered this to be a key audit matter.

Our audit approach

Our audit procedures included, amongst others, evaluating the appropriateness of bunq B.V.'s accounting policies related to expected credit losses in accordance with the relevant paragraphs and application guidance of IFRS 9. We also obtained an understanding of the impairment allowance process, evaluated the design and tested operating effectiveness of controls relevant to the expected credit loss calculations including monitoring of arrears and the period-end estimation process for determining expected credit loss allowances and the governance over the calculations.

We analyzed the expected credit losses in relation to developments in the loans and advances to customers and the composition of the portfolio.

Further, with the support of own modelling specialists, we evaluated the appropriateness of the models used by bunq B.V. for collectively assessing expected credit loss allowances and verified whether the models were adequately designed, implemented and periodically validated. We performed an overall assessment of the allowance levels by risk stage to determine if they were reasonable considering the risk profile of the loans and advances to customers, arrears management and credit risk management practices. We challenged the criteria used to allocate loans to risk stage 1, 2 or 3 in accordance with IFRS 9 and tested a sample of loans on appropriate stage allocation.

Estimation of expected credit losses on loans and advances to customers

	Finally, we assessed the retrospective review procedures performed by management which compare modelled predictions to actual results. We performed substantive procedures including the reconciliation of the data used in the allowance calculations and disclosures to source systems. This included challenging probability weights and the severity and magnitude of modelled downside scenarios, as well as assessing the sensitivity of changes in the assumptions in the calculations. For the calculation of the expected credit loss allowance per 31 December 2025, we selected a sample of individual loans, performed detailed credit file reviews and challenged the internal assessment of impairment identification and measurement. In addition, we assessed the assumptions underlying the impairment identification and quantification, including forecasts of future cash flows and valuation of underlying collateral. We applied professional judgment in selecting those exposures for our detailed inspection of the reasonableness of the managing board's valuation of collateral for certain loans. We tested the data used in the expected credit losses calculation by reconciliation to source systems. Additionally, in order to respond to the identified fraud risk, we specifically paid attention to any deviations from the expected credit loss allowance provisions, as approved by the Provision Forum Committee of the Irish subsidiary, as this may be indicative for management override of controls. Finally, we evaluated the completeness and accuracy of the relevant disclosures in accordance with the relevant paragraphs and application guidance of IFRS 7 Financial instruments: disclosures.
Key observations	Based on our procedures performed we consider the expected credit loss allowances on loans and advances to customers to be reasonable.

The system of internal control including information systems

Risk	The effectiveness of the company's internal control system is critical ensuring the reliability of financial reporting and compliance with applicable laws and regulations. Given the complexity of the information systems and the significant volume of transactions processed, significant deficiencies in internal control could lead to material misstatements in the financial statements. As the activities and financial reporting of bunq B.V. are highly dependent on the reliability and continuity of the IT environment, effective general IT controls with respect to change management, logical access that enforces the segregation of duties, infrastructure and operations, support the integrity and continuity of the IT systems as well as the operating effectiveness of the automated and IT-dependent manual controls. We refer to G. Operational risk in the Risk Management section of the annual report, that amongst others discusses (Governance over) IT risks and (management of) fraud risk. Taking into account the company's dependency on its IT systems and IT infrastructure, the identified risk of inadequate segregation of duties or independent checks relating to the
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The system of internal control including information systems	
	company's payments process and the significance for the company's process of preparing the financial statements free from material misstatement whether due to fraud or error, we considered the system of internal control including the reliability of the information technology and systems a key audit matter.
Our audit approach	IT audit specialists are an integral part of the engagement team. We assessed the reliability and continuity of the IT environment to the extent necessary for the scope of our audit of the financial statements. Our audit was not primarily designed to express an opinion on the continuity and reliability of the company's automated data processing (or parts thereof). As part of our audit procedures, we obtained an understanding of the company's internal control, including the IT environment, evaluated the design of the IT processes and tested the operating effectiveness of general IT controls, as well as application controls over data processing, data feeds and interfaces, within the scope of our audit of the financial statements. Our procedures included evaluating the design and testing operating effectiveness of controls with regards to IT systems and processes relevant for financial reporting as well as additional (substantive) procedures if deemed necessary. We evaluated the outsourced IT processes and IT general controls from service providers and inspected ISAE 3402 type 2 reports, evaluated testing exceptions and how complementary user entity control considerations have been addressed. In response to the identified risks relating to the company's payments process, we performed additional audit procedures, focusing on manual payments, and payments related to unsettled positions (other asset account) or company expenses.
Key observations	Our evaluation of the company's system of internal control and our tests of controls and additional audit procedures performed, provided sufficient appropriate evidence to enable us to conclude on the (electronic) data processing and the financial information from the company's information systems relevant for our audit of the financial statements.

Compliance with SBR Regulatory Technical Standard, including XBRL mark-ups, unaudited

We did not examine the compliance with the requirements of the Regulatory Technical Standard of the SBR domain Trade Register (including the applied eXtensible Business Reporting Language (XBRL) mark-ups) and, accordingly, do not express an opinion thereon.

Report on other information included in the annual report

The annual report contains other information in addition to the financial statements and our auditor's report thereon.

Based on the following procedures performed, we conclude that the other information:

- Is consistent with the financial statements and does not contain material misstatements
- Contains the information as required by Part 9 of Book 2 of the Dutch Civil Code for the management report and the other information as required by Part 9 of Book 2 of the Dutch Civil Code

We have read the other information. Based on our knowledge and understanding obtained through our audit of the financial statements or otherwise, we have considered whether the other information contains material misstatements. By performing these procedures, we comply with the requirements of Part 9 of Book 2 of the Dutch Civil Code and the Dutch Standard 720. The scope of the procedures performed is substantially less than the scope of those performed in our audit of the financial statements.

The managing board is responsible for the preparation of the other information, including the management report in accordance with Part 9 of Book 2 of the Dutch Civil Code and other information required by Part 9 of Book 2 of the Dutch Civil Code.

Description of responsibilities regarding the financial statements

Responsibilities of the managing board and the supervisory board for the financial statements

The managing board is responsible for the preparation and fair presentation of the financial statements in accordance with EU-IFRSs and Part 9 of Book 2 of the Dutch Civil Code. Furthermore, the managing board is responsible for such internal control as the managing board determines is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud or error.

As part of the preparation of the financial statements, the managing board is responsible for assessing the company's ability to continue as a going concern. Based on the financial reporting framework mentioned, the managing board should prepare the financial statements using the going concern basis of accounting unless the management board either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so. The managing board should disclose events and circumstances that may cast significant doubt on the company's ability to continue as a going concern in the financial statements.

The supervisory board is responsible for overseeing the company's financial reporting process.

Our responsibilities for the audit of the financial statements

Our objective is to plan and perform the audit engagement in a manner that allows us to obtain sufficient and appropriate audit evidence for our opinion.

Our audit has been performed with a high, but not absolute, level of assurance, which means we may not detect all material misstatements, whether due to fraud or error during our audit.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements. The materiality affects the nature, timing and extent of our audit procedures and the evaluation of the effect of identified misstatements on our opinion.

We have exercised professional judgment and have maintained professional skepticism throughout the audit, in accordance with Dutch Standards on Auditing, ethical requirements and independence requirements. The Information in support of our opinion section above includes an informative summary of our responsibilities and the work performed as the basis for our opinion.

Our audit further included among others:

- Performing audit procedures responsive to the risks identified, and obtaining audit evidence that is sufficient and appropriate to provide a basis for our opinion
- Obtaining an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control
- Evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the managing board
- Evaluating the overall presentation, structure and content of the financial statements, including the disclosures
- Evaluating whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation

Communication

We communicate with the supervisory board regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant findings in internal control that we identify during our audit.

In this respect we also submit an additional report to the audit committee of the supervisory board in accordance with Article 11 of the EU Regulation on specific requirements regarding statutory audit of public-interest entities. The information included in this additional report is consistent with our audit opinion in this auditor's report.

We provide the audit committee of the supervisory board with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the supervisory board, we determine the key audit matters: those matters that were of most significance in the audit of the financial statements. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, not communicating the matter is in the public interest.

Report on other legal and regulatory requirements

Engagement

We were appointed by the supervisory board as auditor of bunq B.V. on 22 October 2024, as of the audit for the year 2025.

No prohibited non-audit services

We have not provided prohibited non-audit services as referred to in Article 5(1) of the EU Regulation on specific requirements regarding statutory audit of public-interest entities.

Amsterdam, 28 May 2026

EY Accountants B.V.

signed by W.J. Smit